

CONTURA ENERGY, INC.



CONSOLIDATED AND PREDECESSOR COMBINED FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2017

Date published: March 29, 2018

Contura Energy, Inc.

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Bristol, Tennessee 37620
(423) 573-0300

State of incorporation: Delaware

I.R.S. Employer Identification Number: 81-3015061

Number of shares of Common Stock, \$0.01 par value, outstanding as of December 31, 2017: 9,924,668.

The contents of these Consolidated Financial Statements and Report for the year ended December 31, 2017 should not be construed as investment, legal or tax advice. This report is being prepared pursuant to contractual arrangements and is not required by any rules or regulations of, and will not be filed with, the U.S. Securities and Exchange Commission ("SEC") or any other securities regulatory authority of any country, state or any other relevant jurisdiction, nor has the SEC or any other authority or commission passed upon the accuracy or adequacy of this report. Contura Energy, Inc. continues to develop its disclosure controls and procedures and internal control over financial reporting.

Statements contained herein describing documents and agreements are summaries only and are qualified in their entirety by reference to the corresponding documents and agreements.

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Report of Independent Registered Public Accounting Firm

To the Stockholders and Board of Directors

Contura Energy, Inc.:

Opinion on the Financial Statements

We have audited the accompanying consolidated balance sheets of Contura Energy, Inc. and subsidiaries (the Company) as of December 31, 2017 and 2016, the related consolidated statements of operations, comprehensive income (loss), stockholders' equity, and cash flows for the year ended December 31, 2017 (Successor) and for the period July 26, 2016 to December 31, 2016 (Successor), the related combined statements of operations, comprehensive loss, business equity, and cash flows for the period January 1, 2016 to July 25, 2016 (Predecessor) and for the year ended December 31, 2015 (Predecessor), and the related notes (collectively, the financial statements). In our opinion, the financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2017 and 2016, and the results of its operations and its cash flows for the year ended December 31, 2017 (Successor), the period July 26, 2016 to December 31, 2016 (Successor), the period January 1, 2016 to July 25, 2016 (Predecessor), and the year ended December 31, 2015 (Predecessor), in conformity with U.S. generally accepted accounting principles.

Basis of Presentation

As discussed in Note 1 to the financial statements, effective July 26, 2016, the Company acquired certain core coal operations of Alpha Natural Resources, Inc. in a transaction accounted for as a business combination. As a result of the acquisition, the consolidated financial information for the Successor periods is presented on a different cost basis than that for the Predecessor periods and, therefore, is not comparable.

Basis for Opinion

These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits. We are a public accounting firm registered with the Public Company Accounting Oversight Board (United States) (PCAOB) and are required to be independent with respect to the Company in accordance with the relevant ethical requirements relating to our audits.

We conducted our audits in accordance with the standards of the PCAOB and in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement, whether due to error or fraud. Our audits included performing procedures to assess the risks of material misstatement of the financial statements, whether due to error or fraud, and performing procedures that respond to those risks. Such procedures included examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements. Our audits also included evaluating the accounting principles used and significant estimates made by management, as well as evaluating the overall presentation of the financial statements. We believe that our audits provide a reasonable basis for our opinion.

/s/ KPMG LLP

We have served as the Company's auditor since 2016.

Greensboro, North Carolina

March 29, 2018

Financial Statements

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF OPERATIONS AND
PREDECESSOR COMBINED STATEMENTS OF OPERATIONS
(Amounts in thousands, except share and per share data)

	Successor		Predecessor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from January 1, 2016 to July 25, 2016	Year Ended December 31, 2015
Revenues:				
Coal revenues	\$ 1,392,481	\$ 431,692	\$ 344,692	\$ 816,010
Freight and handling revenues	247,402	70,544	52,076	97,237
Other revenues	10,086	4,060	14,343	12,774
Total revenues	1,649,969	506,296	411,111	926,021
Costs and expenses:				
Cost of coal sales (exclusive of items shown separately below)	1,090,660	324,961	324,732	730,812
Freight and handling costs	247,402	70,544	52,076	97,237
Depreciation, depletion and amortization	34,910	5,973	66,076	149,197
Amortization of acquired intangibles, net	59,007	61,281	11,567	2,223
Selling, general and administrative expenses (exclusive of depreciation, depletion and amortization shown separately above)	67,459	19,135	29,568	44,158
Asset impairment and restructuring	—	—	3,096	297,425
Secondary offering costs	4,491	—	—	—
Total other operating (income) loss:				
Mark-to-market adjustment for acquisition-related obligations	3,221	(10,616)	—	—
Gain on settlement of acquisition-related obligations	(38,886)	—	—	—
Other expenses	178	—	2,184	(99)
Total costs and expenses	1,468,442	471,278	489,299	1,320,953
Income (loss) from operations	181,527	35,018	(78,188)	(394,932)
Other income (expense):				
Interest expense	(35,977)	(20,496)	(2)	(28)
Interest income	210	23	19	4
Loss on early extinguishment of debt	(38,701)	—	—	—
Equity loss in affiliates	(3,339)	(2,287)	(2,735)	(7,712)
Mark-to-market adjustment for warrant derivative liability	—	(33,975)	—	—
Bargain purchase gain	1,011	7,719	—	—
Miscellaneous income, net	1,025	232	473	(85)
Total other expense, net	(75,771)	(48,784)	(2,245)	(7,821)
Income (loss) from continuing operations before reorganization items and income taxes	105,756	(13,766)	(80,433)	(402,753)
Reorganization items, net	—	—	(20,989)	(10,085)
Income (loss) from continuing operations before income taxes	105,756	(13,766)	(101,422)	(412,838)
Income tax benefit	67,979	1,920	39,881	155,052

Net income (loss) from continuing operations	173,735	(11,846)	(61,541)	(257,786)
Discontinued operations:				
(Loss) income from discontinued operations	(36,894)	1,467	(679)	(259,317)
Income tax benefit (expense) from discontinued operations	17,681	(551)	(4,992)	99,543
(Loss) income from discontinued operations	(19,213)	916	(5,671)	(159,774)
Net income (loss)	<u>\$ 154,522</u>	<u>\$ (10,930)</u>	<u>\$ (67,212)</u>	<u>\$ (417,560)</u>
Basic income (loss) per common share:				
Income (loss) from continuing operations	\$ 17.01	\$ (1.15)		
(Loss) income from discontinued operations	\$ (1.89)	\$ 0.09		
Net income (loss)	<u>\$ 15.12</u>	<u>\$ (1.06)</u>		
Diluted income (loss) per common share				
Income (loss) from continuing operations	\$ 16.13	\$ (1.15)		
(Loss) income from discontinued operations	\$ (1.78)	\$ 0.09		
Net income (loss)	<u>\$ 14.35</u>	<u>\$ (1.06)</u>		
Weighted average shares - basic	10,216,464	10,309,310		
Weighted average shares - diluted	10,770,005	10,309,310		

See accompanying Notes to Consolidated Financial Statements.

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME (LOSS) AND
PREDECESSOR COMBINED STATEMENTS OF COMPREHENSIVE LOSS
(Amounts in thousands)

	Successor		Predecessor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from January 1, 2016 to July 25, 2016	Year Ended December 31, 2015
Net income (loss)	\$ 154,522	\$ (10,930)	\$ (67,212)	\$ (417,560)
Other comprehensive (loss) income, net of tax:				
Employee benefit plans:				
Current period actuarial (loss) gain	\$ (3,832)	\$ 3,268	\$ (3,415)	\$ 6,818
Income tax	—	(1,181)	1,227	(549)
	\$ (3,832)	\$ 2,087	\$ (2,188)	\$ 6,269
Prior service (cost) credit for period	\$ —	\$ —	\$ —	\$ (8,854)
Income tax	—	—	—	713
	\$ —	\$ —	\$ —	\$ (8,141)
Less: reclassification adjustment for amounts reclassified to earnings due to amortization of net actuarial (gain) loss and settlements	\$ (203)	\$ —	\$ 206	\$ 121
Income tax	—	—	(74)	(10)
	\$ (203)	\$ —	\$ 132	\$ 111
Less: reclassification adjustment for amounts reclassified to earnings due to amortization of prior service credit	\$ —	\$ —	\$ 3,536	\$ 181
Income tax	—	—	(1,271)	(15)
	\$ —	\$ —	\$ 2,265	\$ 166
Cash flow hedges:				
Reclassification adjustment for amounts reclassified to earnings related to settlement of cash flow hedges	\$ —	\$ —	\$ —	\$ 1,455
Income tax	—	—	—	(442)
	\$ —	\$ —	\$ —	\$ 1,013
Total other comprehensive (loss) income, net of tax	\$ (4,035)	\$ 2,087	\$ 209	\$ (582)
Total comprehensive income (loss)	\$ 150,487	\$ (8,843)	\$ (67,003)	\$ (418,142)

See accompanying Notes to Consolidated Financial Statements.

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(Amounts in thousands, except share and per share data)

	Successor	
	December 31, 2017	December 31, 2016
Assets		
Current assets:		
Cash and cash equivalents	\$ 141,924	\$ 127,948
Trade accounts receivable, net of allowance for doubtful accounts of \$0 as of December 31, 2017 and December 31, 2016	127,326	164,038
Inventories, net	69,561	69,692
Assets held for sale	171	1,714
Short-term restricted cash	11,615	—
Short-term deposits	12,366	66
Prepaid expenses and other current assets	59,693	34,483
Current assets - discontinued operations	40,498	27,275
Total current assets	463,154	425,216
Property, plant, and equipment, net	196,579	155,982
Other acquired intangibles (net of accumulated amortization of \$28,662 and \$61,851 as of December 31, 2017 and December 31, 2016, respectively)	18,458	87,149
Long-term restricted cash	40,421	43,341
Long-term deposits	3,607	54,420
Deferred income taxes	78,744	—
Other non-current assets	28,005	17,465
Non-current assets - discontinued operations	7,632	163,179
Total assets	\$ 836,600	\$ 946,752
Liabilities and Stockholders' Equity		
Current liabilities:		
Current portion of long-term debt	\$ 10,730	\$ 1,591
Trade accounts payable	76,319	80,796
Acquisition-related obligations - current	15,080	27,258
Liabilities held for sale	27,161	—
Accrued expenses and other current liabilities	58,771	65,379
Current liabilities - discontinued operations	54,114	43,588
Total current liabilities	242,175	218,612
Long-term debt	361,973	345,403
Acquisition-related obligations - long-term	20,332	59,088
Asset retirement obligations	52,434	78,763
Other non-current liabilities	59,276	86,541
Non-current liabilities - discontinued operations	7,762	121,121
Total liabilities	743,952	909,528
Commitments and Contingencies (Note 24)		
Stockholders' Equity		
Preferred stock - par value \$0.01, 2.0 million shares authorized, none issued	—	—
Common stock - par value \$0.01, 20.0 million shares authorized, 10.7 million issued and 9.9 million outstanding at December 31, 2017 and 10.3 million issued and outstanding at December 31, 2016	108	103
Additional paid-in capital	40,616	45,964
Accumulated other comprehensive (loss) income	(1,948)	2,087

Treasury stock, at cost: 0.8 million shares at December 31, 2017 and none issued at December 31, 2016	(50,092)	—
Retained earnings (accumulated deficit)	103,964	(10,930)
Total stockholders' equity	92,648	37,224
Total liabilities and stockholders' equity	\$ 836,600	\$ 946,752

See accompanying Notes to Consolidated Financial Statements.

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS AND
PREDECESSOR COMBINED STATEMENTS OF CASH FLOWS
(Amounts in thousands)

	Successor		Predecessor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from January 1, 2016 to July 25, 2016	Year Ended December 31, 2015
Operating activities:				
Net income (loss)	\$ 154,522	\$ (10,930)	\$ (67,212)	\$ (417,560)
Adjustments to reconcile net income (loss) to net cash provided by operating activities:				
Depreciation, depletion and amortization	65,000	43,978	85,379	202,115
Amortization of acquired intangibles, net	59,007	61,281	11,567	2,223
Accretion of acquisition-related obligations discount	7,531	4,936	—	—
Mark-to-market adjustment for acquisition-related obligations	3,221	(10,616)	—	—
Gain on settlement of acquisition-related obligations	(38,886)	—	—	—
Bargain purchase gain	(1,011)	(7,719)	—	—
Equity loss in affiliates	3,325	2,280	2,726	7,700
Mark-to-market adjustment for warrant derivative liability	—	33,975	—	—
Mark-to-market adjustments for derivatives	—	—	—	4,683
Accretion of asset retirement obligations	21,275	10,819	12,422	17,897
Employee benefit plans, net	11,739	3,154	11,917	11,091
Deferred income taxes	(78,744)	(1,180)	(34,889)	(250,680)
Loss (gain) on disposal of property, plant, and equipment	—	216	216	17,438
Loss on sale of Powder River Basin	36,086	—	—	—
Asset impairment and restructuring	—	—	3,755	558,699
Non-cash reorganization items, net	—	—	3,837	7,726
Loss on early extinguishment of debt	13,665	—	—	—
Stock-based compensation	20,372	1,424	658	2,668
Other, net	2,314	1,356	38	207
Changes in operating assets and liabilities				
Trade accounts receivable, net	34,840	(114,244)	42,793	41,403
Inventories, net	441	(32,046)	16,693	2,440
Prepaid expenses and other current assets	(40,425)	(817)	5,172	(2,399)
Restricted cash	(8,695)	49,459	(16,339)	(4,190)
Deposits	38,447	(55,407)	(275)	(1,566)
Other non-current assets	24,498	(14,681)	2,956	4,216
Trade accounts payable	31,138	59,242	(6,665)	(1,534)
Accrued expenses and other current liabilities	(12,207)	51,053	3,680	(31,826)
Acquisition-related obligations	(22,800)	(9,300)	—	—
Asset retirement obligations	(2,567)	(514)	(2,143)	(3,619)
Other non-current liabilities	(16,521)	5,199	(15,596)	(16,270)
Net cash provided by operating activities	305,565	70,918	60,690	150,862
Investing activities:				
Capital expenditures	(83,121)	(34,497)	(23,433)	(59,533)

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Acquisition of mineral rights under federal lease	—	—	—	(42,130)
Proceeds from sale of property, plant and equipment	2,579	1,787	526	10,503
Capital contributions to equity affiliates	(5,691)	(2,738)	(2,122)	(5,874)
Cash acquired in acquisition	—	51,000	—	—
Purchase of additional ownership interest in equity affiliate	(13,293)	—	—	—
Cash paid on sale of Powder River Basin	(21,375)	—	—	—
Other, net	(406)	—	—	—
Net cash (used in) provided by investing activities	(121,307)	15,552	(25,029)	(97,034)
Financing activities:				
Proceeds from borrowings on debt	396,000	42,500	—	—
Principal repayments of debt	(369,500)	—	—	—
Principal repayments of capital lease obligations	(1,009)	(243)	(42)	(1,835)
Debt issuance costs	(14,385)	(243)	—	—
Debt extinguishment costs	(25,036)	—	—	—
Common stock repurchases and related expenses	(49,932)	—	—	—
Debt amendment costs	(4,520)	—	—	—
Proceeds from exercise of warrants	352	—	—	—
Dividend paid	(100,735)	—	—	—
Principal repayments of notes payable	(1,517)	(536)	—	—
Transfers to Alpha	—	—	(35,780)	(51,750)
Net cash (used in) provided by financing activities	(170,282)	41,478	(35,822)	(53,585)
Net increase (decrease) in cash and cash equivalents	13,976	127,948	(161)	243
Cash and cash equivalents at beginning of period	127,948	—	269	26
Cash and cash equivalents at end of period	<u>\$ 141,924</u>	<u>\$ 127,948</u>	<u>\$ 108</u>	<u>\$ 269</u>
Supplemental cash flow information:				
Cash paid for interest	<u>\$ 40,635</u>	<u>\$ 356</u>	<u>\$ —</u>	<u>\$ —</u>
Cash paid for income taxes	<u>\$ 13,328</u>	<u>\$ —</u>	<u>\$ —</u>	<u>\$ —</u>
Cash received from income tax refunds	<u>\$ —</u>	<u>\$ —</u>	<u>\$ —</u>	<u>\$ 3,915</u>
Supplemental disclosure of non-cash investing and financing activities:				
Capital leases and capital financing - equipment	<u>\$ 1,574</u>	<u>\$ 3,473</u>	<u>\$ —</u>	<u>\$ —</u>
Accrued capital expenditures	<u>\$ 9,408</u>	<u>\$ 4,778</u>	<u>\$ 13,376</u>	<u>\$ 17,213</u>
Issuance of equity in connection with acquisition	<u>\$ —</u>	<u>\$ 44,644</u>	<u>\$ —</u>	<u>\$ —</u>
Issuance of 10% Senior Secured First Lien Notes in connection with acquisition	<u>\$ —</u>	<u>\$ 285,936</u>	<u>\$ —</u>	<u>\$ —</u>
Issuance of GUC Distribution Note in connection with acquisition	<u>\$ —</u>	<u>\$ 4,208</u>	<u>\$ —</u>	<u>\$ —</u>
Issuance of warrants in connection with acquisition	<u>\$ —</u>	<u>\$ 1,167</u>	<u>\$ —</u>	<u>\$ —</u>

See accompanying Notes to Consolidated Financial Statements.

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY AND
COMBINED STATEMENT OF PREDECESSOR BUSINESS EQUITY
(Amounts in thousands)

	Common Stock Amount	Additional Paid-in Capital	Accumulated Other Comprehensive (Loss) Income	Treasury Stock at Cost Amount	Retained Earnings (Accumulated Deficit)	Alpha's Investment	Total Stockholders' Equity / Predecessor Business Equity
Predecessor							
Balances, December 31, 2014	\$ —	\$ —	\$ 4,717	\$ —	\$ (142,362)	\$ 1,801,987	\$ 1,664,342
Net loss	—	—	—	—	(417,560)	—	(417,560)
Other comprehensive income (loss), net	—	—	(582)	—	—	—	(582)
Net distributions to Alpha	—	—	—	—	—	(32,303)	(32,303)
Balances, December 31, 2015	\$ —	\$ —	\$ 4,135	\$ —	\$ (559,922)	\$ 1,769,684	\$ 1,213,897
Net loss	—	—	—	—	(67,212)	—	(67,212)
Other comprehensive income (loss), net	—	—	209	—	—	—	209
Net distributions to Alpha	—	—	—	—	—	(26,641)	(26,641)
Balances, July 25, 2016	\$ —	\$ —	\$ 4,344	\$ —	\$ (627,134)	\$ 1,743,043	\$ 1,120,253
Successor							
Balances, July 26, 2016	\$ —	\$ —	\$ —	\$ —	\$ —	\$ —	\$ —
Issuance of common stock in connection with acquisition	100	44,544	—	—	—	—	44,644
Net loss	—	—	—	—	(10,930)	—	(10,930)
Other comprehensive income (loss), net	—	—	2,087	—	—	—	2,087
Stock-based compensation and net issuance of common stock for share vesting	3	1,420	—	—	—	—	1,423
Balances, December 31, 2016	\$ 103	\$ 45,964	\$ 2,087	\$ —	\$ (10,930)	\$ —	\$ 37,224
Net income	—	—	—	—	154,522	—	154,522
Other comprehensive income (loss), net	—	—	(4,035)	—	—	—	(4,035)
Stock-based compensation and net issuance of common stock for share vesting	4	20,205	—	—	—	—	20,209
Dividend	—	(27,132)	—	—	(73,603)	—	(100,735)
Common stock repurchase and related expenses	—	—	—	(50,040)	—	—	(50,040)
Retrospective warrants adjustment	—	1,166	—	—	33,975	—	35,141
Warrant exercises	1	413	—	(52)	—	—	362
Balances, December 31, 2017	\$ 108	\$ 40,616	\$ (1,948)	\$ (50,092)	\$ 103,964	\$ —	\$ 92,648

See accompanying Notes to Consolidated Financial Statements.

CONTURA ENERGY, INC. AND SUBSIDIARIES AND PREDECESSOR
Notes to Consolidated Financial Statements
(Amounts in thousands except share and per share data)

(1) Business and Basis of Presentation

Business

Contura Energy, Inc. (“Contura”, the “Company”, “we” or “us”) is a private, Tennessee-based, coal supplier with affiliate mining operations across major coal basins in Pennsylvania, Virginia and West Virginia. With customers across the globe, high-quality reserves and significant port capacity, Contura reliably supplies both metallurgical coal to produce steel and thermal coal to generate power. Contura was formed to acquire and operate certain of Alpha Natural Resources, Inc.’s (“Alpha”) core coal operations (see Note 3), as part of the Alpha Restructuring. Contura began operations on July 26, 2016 and currently operates mining complexes in the Northern Appalachia (Cumberland mine complex) and Central Appalachian (the Nicholas mine complex in West Virginia, and the McClure and Toms Creek mine complexes in Virginia) regions.

As a result of the Alpha core coal operations’ acquisition, the historical financial statements are separated into Predecessor and Successor periods. Predecessor represents Contura prior to July 26, 2016, whereas Successor refers to the Company beginning July 26, 2016 and thereafter. For more detailed information regarding the Company’s and Predecessor’s consolidation and accounting policies, please refer to the Basis of Presentation discussion below and the financial statements and the notes thereto included elsewhere in this report.

Basis of Presentation

Together, the consolidated statement of operations, statement of comprehensive income, balance sheet, statement of cash flows and statement of stockholders’ equity for the Company and the combined statement of operations, statement of comprehensive loss, balance sheet, statement of cash flows and statement of business equity for the Predecessor are referred to as the “Financial Statements.” The Financial Statements are also referred to as consolidated (to reflect the Successor’s capital structure), and references across periods are generally labeled “Balance Sheets,” “Statements of Operations,” and “Statements of Cash Flows.”

The Consolidated Financial Statements include all wholly-owned subsidiaries’ results of operations for the year ended December 31, 2017 and the period from July 26, 2016 to December 31, 2016. All significant intercompany transactions have been eliminated in consolidation.

The Combined Predecessor Financial Statements presented include the assets, liabilities, operating results and cash flows of Contura, prepared on a carve-out basis using Alpha’s historical bases in the assets and liabilities and the historical results of operations of Contura. The Combined Predecessor Financial Statements have been derived from the consolidated financial statements and accounting records of Alpha. All transactions between Contura and Alpha have been included in these Combined Predecessor Financial Statements. The aggregate net effect of such transactions has effectively been considered settled for cash at the time of the transaction and reflected in the combined Predecessor statement of cash flows as “Transfers to Alpha.”

The Combined Predecessor Financial Statements also include expense allocations of \$57,217 and \$92,009 for the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015, respectively, for certain corporate and overhead functions historically performed by Alpha, including, but not limited to, general corporate expenses related to finance, legal, information technology, human resources, employee benefits and incentives, insurance, stock-based compensation, engineering, asset management, and sales and logistics, which were included in cost of coal sales and selling, general and administrative expenses within both continuing and discontinued operations in the accompanying Statements of Operations. These amounts exclude reorganization items which are discussed in Note 22. These expenses have been allocated to the Predecessor based on direct usage when identifiable, with the remainder allocated on the basis of revenues, operating expenses, headcount or other relevant measures. The provision for income taxes has been prepared on a separate return basis. Management believes the assumptions underlying the Combined Predecessor Financial Statements, including the assumptions regarding the allocation of corporate expenses from Alpha, are reasonable. Nevertheless, the Combined Predecessor Financial Statements may not include all the expenses that would have been incurred had the Company been a stand-alone Company during the period presented and may not reflect the Company’s consolidated financial position, results of operations and cash flows had the Company been a stand-alone Company during the period. Actual costs that would have been incurred if the Predecessor had been a stand-alone Company would depend on multiple factors, including organizational structure and strategic decisions made in various areas, including information technology and infrastructure.

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Alpha used a centralized approach to cash management and financing of its operations. The majority of the Company's cash during the Predecessor period was transferred to Alpha, which funded its operating and investing activities as needed. This arrangement is not reflective of the manner in which the Company would have been able to finance its operations had it been a stand-alone business separate from Alpha during the Predecessor period.

On August 3, 2015 ("Petition Date"), Alpha and each of its wholly-owned domestic subsidiaries other than ANR Second Receivables Funding LLC (collectively the "Alpha Debtors") filed voluntary petitions for relief under Chapter 11 of the U.S. Bankruptcy Code in the United States Bankruptcy Court for the Eastern District of Virginia ("Bankruptcy Court"). The Alpha Debtors pursued a reorganization plan under which certain expenses were incurred and settlements negotiated, which were included within Reorganization items, net, during the Predecessor period. See Note 22 for further reorganization items disclosures. The Bankruptcy Court approved the Alpha Debtors Plan of Reorganization on July 7, 2016 and Alpha Debtors emerged from bankruptcy on July 26, 2016.

On December 11, 2017, the Company entered into a transaction with Blackjewel L.L.C. ("Buyer") to sell the Eagle Butte and Belle Ayr mines located in the Powder River Basin ("PRB"), Wyoming, along with related coal reserves, equipment, infrastructure and other real properties. The PRB results of operations and financial position are reported as discontinued operations in the Consolidated Financial Statements. The historical information in the accompanying Notes to the Consolidated Financial Statements has been restated to reflect the effects of the PRB operations being reported as discontinued operations in the Consolidated Financial Statements. See Note 4 for further information on discontinued operations.

The accompanying Consolidated Financial Statements have been prepared in accordance with accounting principles generally accepted in the United States ("U.S. GAAP").

(2) Summary of Significant Accounting Policies

Use of Estimates

The preparation of the Company's Consolidated Financial Statements requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the Consolidated Financial Statements and the reported amounts of revenues and expenses during the reporting period. Significant items subject to such estimates and assumptions include inventories; mineral reserves; allowance for non-recoupable advanced mining royalties; asset impairments; reclamation obligations; post-employment and other employee benefit obligations; useful lives for, depletion and amortization; reserves for workers' compensation and black lung claims; deferred income taxes; reserves for contingencies and litigation; liabilities subject to compromise; reorganization items, net; fair value of financial instruments; and fair value adjustments for acquisition accounting. Also, certain amounts in the Predecessor Financial Statements have been allocated in a way that management believes is reasonable and consistent in order to depict the historical financial position, operating results and cash flows of Contura on a carve-out basis. Estimates are based on facts and circumstances believed to be reasonable at the time; however, actual results could differ from those estimates.

Cash and Cash Equivalents

Cash and cash equivalents consist of cash held with reputable depository institutions and highly liquid, short-term investments with original maturities of three months or less. Cash and cash equivalents are stated at cost, which approximates fair value. At December 31, 2017, the Company's cash equivalents consisted of highly rated money market funds.

Restricted Cash

Restricted cash represents short-term and long-term cash deposits that are restricted as to withdrawal as required by certain agreements entered into by the Company and provide collateral in the amounts of \$17,105, \$29,265, and \$5,666 as of December 31, 2017 and \$11,195, \$28,146, and \$4,000 as of December 31, 2016 for securing the Company's obligations under certain worker's compensation, reclamation related bonds, and financial guarantees, respectively, which have been written on the Company's behalf. The Company's restricted cash is primarily invested in interest bearing accounts.

Deposits

Deposits represent cash deposits held at third parties as required by certain agreements entered into by the Company to

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provide cash collateral. At December 31, 2017, the Company had cash collateral in the form of short-term and long-term deposits to secure the Company's obligations under reclamation related bonds and various other operating agreements in the amounts of \$15,238 and \$735, respectively. At December 31, 2016, the Company had cash collateral in the form of short-term and long-term deposits to secure the Company's obligations under reclamation related bonds and various other operating agreements in the amounts of \$51,497 and \$2,989, respectively.

Trade Accounts Receivable and Allowance for Doubtful Accounts

Trade accounts receivable are recorded at the invoiced amount and do not bear interest. The allowance for doubtful accounts is the Company's best estimate of the amount of probable credit losses in the Company's existing accounts receivable. The Company establishes provisions for losses on accounts receivable when it is probable that all or part of the outstanding balance will not be collected. The Company regularly reviews its accounts receivable balances and establishes or adjusts the allowance as necessary primarily using the specific identification method. The allowance for doubtful accounts was \$0 at December 31, 2017 and 2016. Account balances are written off against the allowance after all means of collection have been exhausted and the potential for recovery is considered remote.

Inventories

Coal is reported as inventory at the point in time the coal is extracted from the mine. Raw coal represents coal stockpiles that may be sold in current condition or may be further processed prior to shipment to a customer. Saleable coal represents coal stockpiles which require no further processing prior to shipment to a customer.

Coal inventories are valued at the lower of average cost or net realizable value. The cost of coal inventories is determined based on the average cost of production, which includes labor, supplies, equipment costs, operating overhead, depreciation, and other related costs. Net realizable value considers the projected future sales price of the product, less estimated preparation and selling costs.

Material and supplies inventories are valued at average cost, less an allowance for obsolete and surplus items.

Assets and Liabilities Held for Sale

The criteria to determine whether a disposal group should be classified as held-for-sale include: management with the authority to do so commits to a plan to sell the disposal group; the disposal group is available for immediate sale in its present condition subject only to terms that are usual and customary for sales of such disposal groups; an active program to locate a buyer and other actions required to complete the plan to sell the disposal group have been initiated; the sale of the disposal group is probable and expected to be completed within one year; the disposal group is being actively marketed for sale at a price that is reasonable in relation to its current value; and it is unlikely that significant changes to the plan will be made. If each of these criteria is met, the disposal group is classified as held for sale on the Company's Balance Sheet with the assets and liabilities separately presented and measured at the lower of its carrying amount or estimated fair value less costs to sell. Depreciation, depletion and amortization expense is not recorded on assets to be divested once they are classified as held for sale. When the disposal group that is held for sale includes asset retirement obligations, the associated liability continues to be accreted once they are classified as held for sale until the disposal group is sold.

As of December 31, 2017, assets and liabilities held for sale in the amounts of \$171 and \$27,161, respectively, represent the fair value of the disposal group (comprised of property, plant and equipment and associated asset retirement obligations) at a preparation plant within the Company's Central Appalachia Operations segment. As of December 31, 2016, assets held for sale in the amount of \$1,714 represented the fair value of fixed assets at a closed mine within the Company's Northern Appalachia Operations segment.

Discontinued Operations

In accordance with Accounting Standards Codification ("ASC") 205-20-45, the Company treats a disposal transaction as a discontinued operation when the disposal of a component or group of components represents a strategic shift that will have a major effect on the Company's operations and financial results. In the period in which the discontinued operations criteria are met, the assets and liabilities of the discontinued operations are separately presented on the Company's Balance Sheets and the results of operations, including any gain or loss recognized, is reclassified to discontinued operations on the Company's Income

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Statement. See Note 4 for further information on discontinued operations.

Deferred Longwall Move Expenses

The Company defers the direct costs, including labor and supplies, associated with moving longwall equipment, the related equipment refurbishment costs, costs to drill gob gas vent holes and plug existing gas wells in advance of the longwall panel in prepaid expenses and other current assets. These deferred costs are amortized on a units-of-production basis into cost of coal sales over the life of the related panel of coal mined by the longwall equipment. The amount of deferred longwall move expenses was \$13,790 and \$5,264 as of December 31, 2017 and 2016, respectively, included within other current assets and other non-current assets in the Company's Balance Sheets.

Advanced Mining Royalties

Lease rights to coal reserves are often acquired in exchange for royalty payments. Advance mining royalties are advance payments made to lessors under terms of mineral lease agreements that are recoupable against future production royalties. These advance payments are deferred and charged to operations as the coal reserves are mined. The Company regularly reviews recoverability of advance mining royalties and establishes or adjusts the allowance for advance mining royalties as necessary using the specific identification method. Advance royalty balances are generally charged off against the allowance when they are no longer recoupable.

Advanced mining royalties (net of allowance) were \$855 and \$1,417 as of December 31, 2017 and 2016, respectively, and are reported in other non-current assets in the Balance Sheets. The changes in the allowance for advance mining royalties reported in other non-current assets in the Balance Sheets were as follows:

Predecessor

Balance at December 31, 2014	\$ 3,196
Provision for non-recoupable advance mining royalties	243
Write-offs of advance mining royalties	(71)
Balance at December 31, 2015	3,368
Provision for non-recoupable advance mining royalties	1,862
Balance at July 25, 2016	\$ 5,230

Successor

Balance at July 26, 2016	\$ —
Provision for non-recoupable advance mining royalties	225
Balance at December 31, 2016	225
Provision for non-recoupable advance mining royalties	629
Write-offs of advance mining royalties	(22)
Balance at December 31, 2017	\$ 832

Property, Plant, and Equipment

Costs for mine development incurred to expand capacity of operating mines or to develop new mines are capitalized and charged to operations on the units-of-production method over the estimated proven and probable reserve tons directly benefiting from the capital expenditures. Mine development costs include costs incurred for site preparation and development of the mines during the development stage less any incidental revenue generated during the development stage. Mining equipment, buildings and other fixed assets are stated at cost and depreciated on a straight-line basis over estimated useful lives ranging from one to twenty-five years. Leasehold improvements are amortized using the straight-line method, over the shorter of the estimated useful lives or term of the lease. Major repairs and betterments that significantly extend original useful lives or improve productivity are capitalized and depreciated over the period benefited. Maintenance and repairs are expensed as incurred. When equipment is retired or disposed, the related cost and accumulated depreciation are removed from the respective accounts and any profit or loss on disposal is recognized in cost of coal sales. Costs to obtain owned and leased mineral rights are capitalized and amortized to operations as depletion expense using the units-of-production method. Only proven and probable reserves are included in the depletion base.

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Acquired Intangibles

Application of acquisition accounting related to the acquisition from Alpha as well as other acquisitions during the Predecessor period resulted in the recognition of assets for above market-priced coal supply agreements and liabilities for below market-priced coal supply agreements on the date of the acquisition. The coal supply agreements were valued based on the present value of the difference between the expected net contractual cash flows based on the stated contract terms, and the estimated net contractual cash flows derived from applying forward market prices at the Acquisition Date for new contracts of similar terms and conditions.

During the period from July 26, 2016 to December 31, 2016 and as of December 31, 2017, coal supply agreement assets were amortized over the actual number of tons shipped over a weighted average useful life of approximately sixteen months. Coal supply agreement liabilities were completely amortized at December 31, 2016. Coal supply agreement assets are reported in other acquired intangibles and coal supply agreement liabilities are reported in other non-current liabilities in the Balance Sheets.

Future net amortization expense related to acquired intangibles is expected to be as follows:

2018	\$ 15,978
2019	1,520
2020	960
2021	—
Thereafter	—
Total net future amortization expense	<u>\$ 18,458</u>

Asset Impairment

Long-lived assets, such as property, plant, and equipment, and purchased intangibles subject to amortization, are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset or asset groups may not be recoverable. Recoverability of assets or asset groups to be held and used is measured by a comparison of the carrying amount of an asset or asset group to the estimated undiscounted future cash flows expected to be generated by the asset or asset group. Long-lived assets located in a close geographic area are grouped together for purposes of impairment testing when, after considering revenue and cost interdependencies, circumstances indicate the assets are used together to produce future cash flows. The Company's asset groups generally consist of the assets and applicable liabilities of one or more mines and preparation plants and associated coal reserves for which cash flows are largely independent of cash flows of other mines, preparation plants and associated coal reserves. If the carrying amount of an asset or asset group exceeds its estimated future cash flows, the potential impairment is equal to the amount by which the carrying amount of the asset or asset group exceeds the fair value of the asset or asset group. The amount of impairment, if any, is allocated to the long-lived assets on a pro-rata basis, except that the carrying value of the individual long-lived assets are not reduced below their estimated fair value. See Note 10 for further disclosures related to asset impairments.

Goodwill

Goodwill represents the excess of the purchase price over the fair value of the net identifiable tangible and intangible assets of acquired companies. Goodwill is not amortized; instead, it is tested for impairment annually or more frequently if indicators of impairment exist. The Company early adopted Accounting Standards Update ("ASU") 2017-04 for the period ended December 31, 2017, which eliminated Step 2 of the quantitative goodwill impairment test.

The Company first assesses goodwill on a qualitative basis. If the qualitative assessment indicates that an impairment potentially exists, then the Company tests its goodwill for impairment by comparing the fair value of each reporting unit to its carrying amount. Goodwill impairment exists when the estimated implied fair value of goodwill is less than its carrying value. As of December 31, 2017 and December 31, 2016, the Company had no goodwill.

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Asset Retirement Obligations

Minimum standards for mine reclamation have been established by various regulatory agencies and dictate the reclamation requirements at the Company's operations. The Company's asset retirement obligations consist principally of costs to reclaim acreage disturbed at surface operations, estimated costs to reclaim support acreage, treat mine water discharge and perform other related functions at underground mines. The Company records these reclamation obligations at fair value in the period in which the legal obligation associated with the retirement of the long-lived asset is incurred. Changes to the liability at operations that are not currently being reclaimed are offset by increasing or decreasing the carrying amount of the related long-lived asset. Changes to the liability at operations that are currently being reclaimed are recorded to depreciation, depletion and amortization. Over time, the liability is accreted and any capitalized cost is depreciated or depleted over the useful life of the related asset. To settle the liability, the obligation is paid, and to the extent there is a difference between the liability and the amount of cash paid, a gain or loss upon settlement is recorded. The Company annually reviews its estimated future cash flows for its asset retirement obligations. See Note 15 for further disclosures related to asset retirement obligations.

Income Taxes

The Company recognizes deferred tax assets and liabilities using enacted tax rates for the effect of temporary differences between the book and tax basis of recorded assets and liabilities. Deferred tax assets are reduced by a valuation allowance if it is more likely than not that some portion or all of the deferred tax asset will not be realized. In evaluating its ability to recover deferred tax assets within the jurisdiction in which they arise, the Company considers all available positive and negative evidence, including the expected reversals of taxable temporary differences, projected future taxable income, taxable income available via carryback to prior years, tax planning strategies, and results of recent operations. The Company assesses the realizability of its deferred tax assets, including scheduling the reversal of its deferred tax assets and liabilities, to determine the amount of valuation allowance needed. Scheduling the reversal of deferred tax asset and liability balances requires judgment and estimation. The Company believes the deferred tax liabilities relied upon as future taxable income in its assessment will reverse in the same period and jurisdiction and are of the same character as the temporary differences giving rise to the deferred tax assets that will be realized.

For the Predecessor Financial Statements, the Company's income tax provision was determined as if it filed income tax returns on a stand-alone basis. In jurisdictions where the Company had been included in the tax returns filed by Alpha, any income taxes payable resulting from the related income tax provision have been reflected in the balance sheet within Alpha's investment.

See Note 19 for further disclosures related to income taxes.

Revenue Recognition

The Company earns revenues primarily through the sale of coal produced at Company operations and coal purchased from third parties. The Company recognizes revenue using the following general revenue recognition criteria: (i) persuasive evidence of an arrangement exists; (ii) delivery has occurred or services have been rendered; (iii) the price to the buyer is fixed or determinable; and (iv) collectability is reasonably assured.

Delivery on the Company's coal sales is determined to be complete for revenue recognition purposes when title and risk of loss has passed to the customer in accordance with stated contractual terms and there are no other future obligations related to the shipment. For domestic shipments, title and risk of loss generally passes as the coal is loaded into transport carriers for delivery to the customer. For international shipments, title generally passes at the time coal is loaded onto the shipping vessel.

Freight and handling costs paid to third-party carriers and invoiced to coal customers are recorded as freight and handling costs and freight and handling revenues, respectively.

Deferred Financing Costs

The costs to obtain new debt financing or amend existing financing agreements are generally deferred and amortized to interest expense over the life of the related indebtedness or credit facility using the effective interest method. Unamortized deferred financing costs are presented in the balance sheet as a direct deduction from the carrying amount of the debt liability, consistent with debt discounts or premiums.

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Reorganization Items and Other Bankruptcy Related Costs

ASC Topic 852, Reorganizations, requires separate disclosure of reorganization items such as realized gains and losses from the settlement of pre-petition liabilities, and provisions for losses resulting from the reorganization of the business, as well as professional fees directly related to the process of reorganizing under Chapter 11. Refer to Note 22 for further details regarding reorganization items.

Workers' Compensation and Pneumoconiosis (Black Lung) Benefits

Workers' Compensation

As of December 31, 2017, the Company utilizes high-deductible insurance programs for workers' compensation claims at its operations. Prior to July 26, 2016, the Company was self-insured for workers' compensation claims at certain of its operations and was covered by third-party insurance providers at other locations, in addition to participating in the Wyoming state-run fund. The liabilities for workers' compensation claims are estimates of the ultimate losses incurred based on the Company's experience, and include a provision for incurred but not reported losses. Adjustments to the probable ultimate liabilities are made annually based on an actuarial study and adjustments to the liability are recorded based on the results of this study. These obligations are included in the Balance Sheets as accrued expenses and other current liabilities and other non-current liabilities with an offsetting insurance receivable within other non-current assets. See Note 20 for further disclosures related to workers' compensation.

Black Lung Benefits

The Company is required by federal and state statutes to provide benefits to employees for awards related to black lung. As of December 31, 2017, the Company utilizes high-deductible insurance programs for these benefits. Prior to July 26, 2016, the Company was self-insured at certain locations and covered by a third-party insurance provider at other locations. Charges are made to operations for black lung claims, as determined by an independent actuary at the present value of the actuarially computed liability for such benefits over the employee's applicable term of service. The Company recognizes in its balance sheet the amount of the Company's unfunded Accumulated Benefit Obligation ("ABO") at the end of the year. Amounts recognized in accumulated other comprehensive income (loss) are adjusted out of accumulated other comprehensive income (loss) when they are subsequently recognized as components of net periodic benefit cost. See Note 20 for further disclosures related to black lung benefits.

Life Insurance Benefits

As part of the Alpha Restructuring and the Retiree Committee Settlement Agreement (see Note 14), the Company assumed the liability for life insurance benefits for certain disabled and non-union retired employees. Provisions are made for estimated benefits based on annual evaluations prepared by independent actuaries. Adjustments to the probable ultimate liabilities are made annually based on an actuarial study and adjustments to the liability are recorded based on the results of this study. These obligations are included in the Balance Sheet as accrued expenses and other current liabilities and other non-current liabilities. See Note 20 for further disclosures related to life insurance benefits.

Earnings (Loss) Per Share

Basic earnings per share is computed by dividing net income by the weighted-average number of outstanding common shares for the period. Diluted earnings per share reflects the potential dilution that could occur if instruments that may require the issuance of common shares in the future were settled and the underlying common shares were issued. Diluted earnings per share is computed by increasing the weighted-average number of outstanding common shares computed in basic earnings per share to include the additional common shares that would be outstanding after issuance and adjusting net income for changes that would result from the issuance. Only those securities that are dilutive are included in the calculation. See Note 6 for further disclosures related to earnings per share.

Stock-Based Compensation

The Company recognizes expense for stock-based compensation awards based on their grant-date fair value using the

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Company's stock price (OTC market price). The expense is recorded over the respective service period of the underlying award. See Note 21 for further disclosures related to stock-based compensation arrangements.

Derivative Instruments and Hedging Activities

The Company had formerly entered into swap agreements with financial institutions to mitigate the risk of price volatility for diesel fuel. All existing swap agreements were terminated in August 2015 due to Alpha's bankruptcy filing.

Derivative financial instruments were recognized as either assets or liabilities in the Balance Sheets and measured at fair value. On the date a derivative instrument was entered into, the Company designated a qualifying derivative instrument as a hedge of the variability of cash flows to be received or paid related to a recognized asset or liability or forecasted transaction (cash flow hedge). The Company formally documented all relationships between hedging instruments and hedged items, as well as its risk-management objective and strategy for undertaking various hedge transactions. This process included linking all derivatives that were designated as cash flow hedges to specific firm commitments or forecasted transactions. The Company also formally assessed both at the hedge's inception and on an ongoing basis, whether the derivatives that were used in hedging transactions were highly effective in offsetting changes in cash flows of the related hedged items. If it was determined that a derivative was not highly effective as a hedge or that it had ceased to be a highly effective hedge, the Company discontinued hedge accounting prospectively and recorded all future changes in fair value in current period earnings or losses.

For derivative instruments that were not designated as cash flow hedges, changes in fair value were recorded in current period earnings or losses. For derivative instruments that were designated as cash flow hedges, the effective portion of the changes in fair value were recorded in accumulated other comprehensive income (loss) and any portion that was ineffective was recorded in current period earnings or losses. Amounts recorded in accumulated other comprehensive income (loss) were reclassified to earnings or losses in the period the underlying hedged transaction affected earnings or when the underlying hedged transaction was probable of not occurring. See Note 18 for further disclosures related to derivative financial instruments and hedging activities.

Warrants

The Company issued Series A Warrants on July 26, 2016 and classified the warrants as a derivative liability as they possess an underlying amount (stock price), a notional amount (number of shares), require no initial net investment, and allow for net share settlement. Through June 30, 2017, the warrants were fair-valued using a Black-Scholes pricing model and a mark to market non-cash adjustment at each reporting period with changes in value reflected in earnings. The Company early adopted ASU 2017-11 for the period ended June 30, 2017, with retrospective adjustments to the Condensed Consolidated Balance Sheet through an adjustment to retained earnings as of the beginning of the current fiscal year for all prior period mark-to-market adjustments and adjustments to the Condensed Consolidated Statement of Operations through the reversal of all year-to-date mark-to-market adjustments.

The exercise price and the warrant share number will be adjusted in respect of certain dilutive events with respect to the common stock (namely, dividends or distributions on the common stock, share splits and combinations, above-market tender offers for common stock by Contura or a subsidiary thereof, and discounted issuances of common stock or rights or options to purchase common stock or securities convertible or exchangeable into common stock). Additionally, in the case of any reorganization (i.e., a consolidation, merger or sale of all or substantially all of the consolidated assets of Contura) pursuant to which the common stock is converted into cash, securities or other property, the warrants would become exercisable for such property. See Note 18 for further disclosures related to warrants.

Equity Method Investments

Investments in unconsolidated affiliates that the Company has the ability to exercise significant influence over, but not control, are accounted for under the equity method of accounting. Under the equity method of accounting, the Company records its proportionate share of the entity's net income or loss at each reporting period in the Statements of Operations in other income (expense), with a corresponding entry to increase or decrease the carrying value of the investment. The carrying value of the Company's equity method investments was \$16,095 and \$172 as of December 31, 2017 and 2016, respectively.

New Accounting Pronouncements

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Revenue Recognition: In May 2014, the Financial Accounting Standards Board (“FASB”) issued ASU 2014-09, Revenue from contracts with customers (Topic 606), which, along with amendments issued in 2015 and 2016, will replace substantially all current U.S. GAAP guidance on this topic and eliminate industry-specific guidance. In addition, the standard requires disclosure of the nature, amount, timing and uncertainty of revenue and cash flows arising from contracts with customers.

The standard is effective for annual reporting periods beginning after December 15, 2018 (December 15, 2017 for public entities), with early adoption permitted. The guidance permits two methods of adoption: full retrospective method (retrospective application to each prior reporting period presented) or modified retrospective method (retrospective application with the cumulative effect of initially applying the guidance recognized at the date of initial application and providing certain additional disclosures). The Company adopted ASU 2014-9 as of January 1, 2018, using the modified retrospective method. The Company will apply the standard to all customer contracts entered into as of or after the date of initial application. Subsequent to the adoption of ASU 2014-09, freight and handling revenues will be presented within coal revenues within the Company’s Statements of Operations. The Company does not expect the adoption of the standard to have an overall material impact on the Company’s consolidated financial statements. The Company also reviewed the disclosure requirements under the new standard and is compiling information needed for the expanded disclosures required during the first quarter of 2018.

Leases: In February 2016, the FASB issued ASU 2016-02, Leases. The standard requires a lessee to recognize a right-of-use asset and a lease liability on the balance sheet, with the exception of leases with lease terms of 12 months or less. Additional qualitative disclosures along with specific quantitative disclosures will also be required. The standard is effective for annual reporting periods beginning after December 15, 2019 (December 15, 2018 for public entities), with early adoption permitted. The impact will depend on the Company’s lease portfolio at the time of adoption. Management is currently evaluating the impact on the Company’s financial statements and related disclosures.

Statement of Cash Flows: In August 2016, the FASB issued ASU 2016-15, Statement of Cash Flows (Topic 230): Classification of Certain Cash Receipts and Cash Payments. This update addresses whether to present certain specific cash flow items as operating, investing or financing activities. The standard is effective for annual reporting periods beginning after December 15, 2018 (December 15, 2017 for public entities) and is required to be adopted using a retrospective approach if practicable, with early adoption permitted. The classification requirements under the new guidance are either consistent with the Company’s current practices or are not applicable to its activities and are therefore not expected to have a material impact on classification of cash receipts and cash payments in the Company’s statements of cash flows.

In November 2016, the FASB issued ASU 2016-18 Statement of Cash Flows (Topic 230): Restricted Cash (“ASU 2016-18”). The amendments in this update provide guidance on restricted cash presentation in the statement of cash flows. ASU 2016-18 is effective for annual reporting periods beginning after December 15, 2018 (December 15, 2017 for public entities), and interim periods within annual periods beginning after December 15, 2019 (December 15, 2017 for public entities). Early adoption is permitted. As a result of this guidance, the Company will combine restricted cash with unrestricted cash and cash equivalents when reconciling the beginning and end of period balances on its statements of cash flows.

Goodwill: In January 2017, the FASB issued ASU 2017-04 Intangibles - Goodwill and Other (Topic 350): Simplifying the Test for Goodwill Impairment. This update eliminates Step 2 from the quantitative goodwill impairment test. Instead, an entity should assess goodwill on a qualitative basis and, if the qualitative assessment indicates that an impairment potentially exists, an entity should perform its goodwill impairment test by comparing the fair value of a reporting unit with its carrying amount. The standard is effective for annual reporting periods beginning after December 15, 2020 (December 15, 2019 for public entities). Early adoption is permitted. The Company has adopted this guidance for the year ended December 31, 2017, eliminating Step 2 of the Company’s quantitative impairment test. The adoption of this update did not have a material impact on the Company’s financial statements.

Retirement Benefits: In March 2017, the FASB issued ASU 2017-07, Improving the Presentation of Net Periodic Pension Cost and Net Periodic Post-retirement Benefit Cost. This update requires that an employer disaggregate the service cost component from the other components of net periodic benefit cost. In addition, only the service cost component will be eligible for capitalization. The standard is effective for annual reporting periods beginning after December 15, 2018 (December 15, 2017 for public entities). The new guidance is to be applied retrospectively for income statement effect and prospectively for balance sheet effects. The adoption of this guidance will impact financial statement presentation but will not materially impact the Company’s results of operations, financial condition, or cash flows.

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Derivatives: In July 2017, the FASB issued ASU 2017-11 Earnings Per Share (Topic 260); Distinguishing Liabilities from Equity (Topic 480); Derivatives and Hedging (Topic 815) (“ASU 2017-11”). Under ASU 2017-11, when determining whether certain financial instruments should be classified as liabilities or equity instruments, a down round feature no longer precludes equity classification when assessing whether the instruments are indexed to an entity’s own stock. ASU 2017-11 is effective for annual reporting periods beginning after December 15, 2019 (December 15, 2018 for public entities) and interim periods within fiscal years beginning after December 15, 2020 (December 15, 2018 for public entities). Early adoption is permitted for all entities, including adoption in an interim period. The Company has elected to early adopt this ASU 2017-11 for fiscal year 2017 and all interim periods therein. See Note 18 for detail on the impact this guidance had on the Company’s financial statements and disclosures.

Comprehensive Income: In February 2018, the FASB issued ASU 2018-02, Income Statement - Reporting Comprehensive Income (Topic 220), Reclassification of Certain Tax Effects from Accumulated Other Comprehensive Income (“ASU 2018-02”). ASU 2018-02 allows an election to reclassify the stranded tax effects resulting from the Tax Cuts and Jobs Act from accumulated other comprehensive income to retained earnings. The standard is effective for all entities for annual reporting periods beginning after December 15, 2018, and interim periods within those annual reporting periods, with early adoption permitted. The Company early adopted ASU 2018-02 during the fourth quarter of 2017, electing to not reclassify the income tax effects of the Tax Cuts and Jobs Act from accumulated other comprehensive income to retained earnings due to the immaterial effect to the Company’s financial statements and related disclosures.

(3) Acquisition

On July 26, 2016, a consortium of former Alpha creditors acquired Company common stock in exchange for a partial release of their creditor claims pursuant to the Alpha Restructuring. Furthermore, pursuant to an asset purchase agreement between Contura and Alpha, Contura purchased certain former core coal operations of Alpha as further described in Note 1. As consideration for the purchased assets, in addition to the assumption by Contura of certain liabilities and the credit release by former Alpha creditors, Contura delivered to Alpha the following consideration: (i) 10,000,000 shares of Contura common stock with a fair value of \$44,644 (representing 100% of the issued and outstanding Contura common stock at that time), (ii) a promissory note with a face amount of \$300,000 and fair value of \$285,936 (the “Buyer Takeback Paper” or “Senior Secured First Lien Notes”), (iii) a promissory note with a face amount of \$5,500 and fair value of \$4,208 (the “GUC Distribution Note”) and warrants to acquire 810,811 shares of Contura common stock with a fair value of \$1,167. Contura is accounting for the acquisition as a business combination.

Purchase Price

The purchase price of \$335,955 consisted of the following:

Fair value of common stock issued	\$ 44,644
Issuance of 10% Senior Secured First Lien Notes (net of discount of \$14,064)	285,936
Issuance of GUC Distribution Note (net of discount of \$1,292)	4,208
Issuance of warrants	1,167
Purchase price	<u>\$ 335,955</u>

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Allocation of Purchase Price

The total purchase price has been allocated to the net tangible and intangible assets as follows:

	Provisional December 31, 2016 ⁽²⁾	Adjustments ⁽²⁾	Final ⁽²⁾
Cash and cash equivalents	\$ 51,000	\$ —	\$ 51,000
Trade accounts receivable	68,355	—	68,355
Inventories	43,705	—	43,705
Assets held for sale	2,178	—	2,178
Prepaid expenses and other current assets	36,493	(177)	36,316
Property, plant, and equipment	348,407	—	348,407
Other acquired intangibles	149,000	—	149,000
Long-term restricted cash	92,800	—	92,800
Long-term deposits	94	—	94
Other non-current assets	3,688	4,417	8,105
Total assets	<u>\$ 795,720</u>	<u>\$ 4,240</u>	<u>\$ 799,960</u>
			—
Current portion of long-term debt	\$ 1,112	\$ —	\$ 1,112
Trade accounts payable	39,993	—	39,993
Acquisition-related obligations - current ⁽¹⁾	42,235	—	42,235
Accrued expenses and other current liabilities	42,905	(3,339)	39,566
Long-term debt	11,720	—	11,720
Acquisition-related obligations - long-term ⁽¹⁾	59,092	—	59,092
Asset retirement obligations	196,487	—	196,487
Other non-current liabilities	58,502	6,568	65,070
Total liabilities	<u>452,046</u>	<u>3,229</u>	<u>455,275</u>
			—
Bargain purchase gain	<u>7,719</u>	<u>1,011</u>	<u>8,730</u>
			—
Allocation of purchase price	<u>\$ 335,955</u>	<u>\$ —</u>	<u>\$ 335,955</u>

⁽¹⁾ See Note 14.

⁽²⁾ Includes the Company's PRB operations being reported as discontinued operations in the Consolidated Financial Statements.

The Company finalized the purchase price allocation as of July 25, 2017.

Prior to the finalization of the purchase price allocation the Company recorded measurement-period adjustments to the provisional opening balance sheet related to property and income tax liabilities. As a result of the measurement-period adjustments made, the provisional amount of bargain purchase gain was increased by \$1,011 resulting in a total bargain purchase gain of \$8,730.

The following unaudited pro forma information has been prepared for illustrative purposes only and assumes the acquisition occurred on January 1, 2015. The unaudited pro forma results have been prepared based on estimates and assumptions, which the Company believes are reasonable; however, they are not necessarily indicative of the consolidated results of operations had the acquisition occurred on January 1, 2015, or of future results of operations.

The unaudited pro forma results for the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015:

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	Period from January 1, 2016 to July 25, 2016 ⁽¹⁾	Year Ended December 31, 2015 ⁽¹⁾
Total revenues		
As reported	\$ 411,111	\$ 926,021
Pro forma	\$ 411,111	\$ 926,021
Net loss from continuing operations		
As reported	\$ (61,541)	\$ (257,786)
Pro forma	\$ (50,209)	\$ (257,160)

⁽¹⁾ Excludes the Company's PRB operations being reported as discontinued operations in the Consolidated Financial Statements.

(4) Discontinued Operations

The discontinued operations include the Company's former PRB segment. On December 11, 2017, the Company entered into a transaction ("PRB Transaction") to sell the Eagle Butte and Belle Ayr mines located in the PRB, which resulted in a loss on sale of \$36,831 for the year ended December 31, 2017, primarily comprised of the transfer of property, plant and equipment, net, and inventories, net, of \$139,388 and \$4,991, respectively, the write-off of above-market coal sales contract assets of \$9,684 and the assumption of \$119,674 of asset retirement obligations by the Buyer. The asset retirement obligations consist of estimated costs to reclaim acreage disturbed at surface operations and related support acreage. The transfer of mining permits to the Buyer is estimated to be completed in the first half of 2018. If the permit transfer process is not completed as expected, it could have material, adverse effects on the Company. During the permit transfer period, the Company will maintain the required reclamation bonds and related collateral. Per the terms of the asset purchase agreement, as promptly as practicable after closing, the Buyer shall use its best efforts to replace the Company's reclamation performance bonds and collateral bonds relating to the purchased permits. The Buyer shall use its best efforts to obtain third party financing to replace the Company's collateral as promptly as practicable following the closing, and the Buyer shall be obligated to replace the Company's collateral upon the earlier of (i) with respect to all Company's bonds, receipt of the Buyer's refinancing and (ii) with respect to each Company's bond, within two days of notice from any governmental agency that the Buyer's bonds are required to advance the permit transfer process. If at this time, the Company's bonds remain outstanding, the full amount of the Company's collateral shall be immediately due and payable to the Company by the Buyer, and such amount shall accrue interest at a rate of 6% per annum, compounding annually (the "Collateral Replacement Payment"). To secure the Buyer's obligation to make the Collateral Replacement Payment, the Buyer grants the Company a security interest in all Purchased Assets that constitute mobile equipment, including without limitation, shovels, vehicles and drills, subject to certain exclusions. The Company will not bear the financial burden of further processing or posting of additional bonds or other collateral for any transfer of the permits. Once the permits have been transferred, the Company estimates approximately \$24,000 comprised of short-term restricted cash and short-term deposits will be returned to operating cash.

In connection with the transaction, the Company paid cash consideration of \$21,375 to the Buyer, in exchange for the assumption of certain liabilities by the Buyer and for professional fees to consummate the transaction. The Company expects to receive contingent consideration in the form of deferred royalty payments on coal mined from the properties sold to Buyer. The royalty payments will be comprised of monthly and annual overriding production royalty payments up to a maximum of \$50,000, per terms of the agreement, with payments beginning in 2018. The monthly overriding production royalty payments begin in 2018 and are determined by multiplying the sales price of each ton of coal sold in a given month by the applicable royalty percentage, which ranges from 0.1% to 1.0% based on the selling price per ton, as outlined in the table below:

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Per ton coal price	Applicable Percentage
≤ \$10.00	0.1%
> \$10.00	0.2%
> \$10.10	0.3%
> \$10.20	0.4%
> \$10.30	0.5%
> \$10.40	0.6%
> \$10.50	1.0%

The total monthly overriding production royalty payments are capped at \$30,000. The annual overriding production royalty payment begins in January 2019 and ends in January 2029 in an amount equal to 10% of the number of tons of coal sold in the preceding calendar year multiplied by the excess, if any, of the weighted average applicable price per ton of such coal over the benchmark price for such preceding calendar year, subject to an aggregate cumulative cap of \$20,000. The benchmark price with respect to the 2018 annual period is \$11.00 per ton. The benchmark price for future years is determined by taking the previous year's benchmark price and multiplying by one plus the percentage representing the annual average change in the Producer Price Index or PPI. The contingent royalty payments will be recognized as income in the period the payments are received within the All Other segment.

Per terms of the asset purchase agreement, the Company entered into an agreement with the Buyer under which the Buyer will supply, deliver and sell to the Company, and the Company will accept, purchase and pay for, all coal that the Company is obligated to supply, deliver and sell under PRB coal supply agreements ("CSAs") existing as of the transaction closing date that did not transfer to the Buyer at closing (each, a "Back-to-Back Coal Supply Agreement"). Each Back-to-Back Coal Supply Agreement shall have economic terms identical to, but offsetting, the CSA associated with such Back-to-Back Coal Supply Agreement. If a PRB customer subsequently consents to assign a CSA after closing, then the related CSA shall immediately and automatically transfer to Buyer and the related Back-to-Back Coal Supply Agreements executed by the parties shall thereupon terminate as set forth therein.

The major components of net income (loss) from discontinued operations on the Consolidated Statements of Operations and the Predecessor Combined Statements of Operations are as follows:

	Successor		Predecessor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from January 1, 2016 to July 25, 2016	Year Ended December 31, 2015
Revenues:				
Total revenues	\$ 346,621	\$ 183,123	\$ 196,827	\$ 435,610
Costs and expenses:				
Cost of coal sales (exclusive of items shown separately below)	\$ 311,119	\$ 140,803	\$ 164,920	\$ 375,234
Depreciation, depletion and amortization	\$ 30,090	\$ 38,005	\$ 19,303	\$ 52,918
Asset impairment and restructuring	\$ —	\$ —	\$ 659	\$ 261,274
Other non-major expense items, net	\$ 5,475	\$ 2,848	\$ 12,624	\$ 5,501
Loss on sale	\$ 36,831	\$ —	\$ —	\$ —

The major components of asset and liabilities that are classified as discontinued operations in the Consolidated Balance Sheets are as follows:

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	Successor	
	December 31, 2017	December 31, 2016
Assets:		
Accounts Receivable	\$ 20,443	\$ 18,562
Inventories, net	\$ —	\$ 5,707
Prepaid expenses and other current assets	\$ 18,974	\$ 3,006
Other current assets	\$ 1,081	\$ —
Property, plant, and equipment, net	\$ —	\$ 161,031
Other non-current assets	\$ 7,632	\$ 2,148
Liabilities:		
Trade accounts payable, accrued expenses and other current liabilities	\$ 54,114	\$ 42,855
Other current liabilities	\$ —	\$ 733
Asset retirement obligations	\$ —	\$ 108,334
Other non-current liabilities	\$ 7,762	\$ 12,787

The major components of cash flows related to discontinued operations are as follows:

	Successor		Predecessor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from January 1, 2016 to July 25, 2016	Year Ended December 31, 2015
Depreciation, depletion and amortization	\$ 30,090	\$ 38,005	\$ 19,303	\$ 52,918
Capital expenditures	\$ (10,420)	\$ (11,123)	\$ (8,071)	\$ (14,839)
Acquisition of mineral rights under federal lease	\$ —	\$ —	\$ —	\$ (42,130)
Other significant operating non-cash items related to discontinued operations:				
Mark-to-market adjustments for derivatives	\$ —	\$ —	\$ —	\$ 4,683
Accretion of asset retirement obligations	\$ 11,341	\$ 6,019	\$ 7,400	\$ 12,202
Asset impairment and restructuring	\$ —	\$ —	\$ 659	\$ 261,274

(5) Accumulated Other Comprehensive (Loss) Income

The following tables summarize the changes to accumulated other comprehensive income during the year ended December 31, 2017, the period from July 26, 2016 to December 31, 2016, the period from January 1, 2016 to July 25, 2016, and the year ended December 31, 2015:

	Successor			
	Balance January 1, 2017	Other comprehensive income (loss) before reclassifications	Amounts reclassified from accumulated other comprehensive income (loss)	Balance December 31, 2017
Employee benefit costs	\$ 2,087	\$ (3,832)	\$ (203)	\$ (1,948)

	Successor			
	Balance July 26, 2016	Other comprehensive income (loss) before reclassifications	Amounts reclassified from accumulated other comprehensive income (loss)	Balance December 31, 2016
Employee benefit costs	\$ —	\$ 2,087	\$ —	\$ 2,087

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Predecessor			
	Balance January 1, 2016	Other comprehensive income (loss) before reclassifications	Amounts reclassified from accumulated other comprehensive income (loss)
Employee benefit costs	\$ 4,135	\$ (2,188)	\$ 2,397
	\$ 4,344		

Predecessor			
	Balance January 1, 2015	Other comprehensive income (loss) before reclassifications	Amounts reclassified from accumulated other comprehensive income (loss)
Employee benefit costs	\$ 5,730	\$ (1,872)	\$ 277
Cash flow hedges	(1,013)	—	1,013
	\$ 4,717	\$ (1,872)	\$ 1,290
	\$ 4,135		

The following table summarizes the amounts reclassified from accumulated other comprehensive income (loss) and the Statements of Operations line items affected by the reclassification during the year ended December 31, 2017, the period from July 26, 2016 to December 31, 2016, the period from January 1, 2016 to July 25, 2016, and the year ended December 31, 2015:

Details about accumulated other comprehensive income (loss) components	Amounts reclassified from accumulated other comprehensive (loss) income				Affected line item in the Statements of Operations
	Successor		Predecessor		
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from July 1, 2016 to July 25, 2016	Year Ended December 31, 2015	
Employee benefit costs:					
Amortization of actuarial (gain) loss	\$ (203)	\$ —	\$ 206	\$ 121	(1)
Amortization of prior service cost	—	—	824	181	(1)
Curtailment loss	—	—	2,712	—	(1)
Total before income tax	(203)	—	3,742	302	
Income tax benefit (expense)	—	—	(1,345)	(25)	Income tax (expense) benefit
Total, net of income tax	\$ (203)	\$ —	\$ 2,397	\$ 277	
Cash flow hedges:					
Commodity swaps - diesel fuel	\$ —	\$ —	\$ —	\$ 1,455	Cost of coal sales
Total before income tax	—	—	—	1,455	
Income tax expense	—	—	—	(442)	Income tax (expense) benefit
Total, net of income tax	\$ —	\$ —	\$ —	\$ 1,013	

(1) These accumulated other comprehensive income (loss) components are included in the computation of net periodic benefit costs for black lung. See Note 20.

(6) Earnings (Loss) Per Share

The number of shares used to calculate basic earnings per common share is based on the weighted average number of the Company's outstanding common shares during the respective period. The number of shares used to calculate diluted earnings per common share is based on the number of common shares used to calculate basic earnings per share plus the dilutive effect of stock options and other stock-based instruments held by the Company's employees and directors during the period, and the Company's outstanding Series A warrants. The warrants become dilutive for earnings per common share calculations when the market price of the Company's common stock exceeds the exercise price. For the year ended December 31, 2017, 129,520 stock options and 108,657 other stock-based instruments were excluded from the computation of dilutive earnings per share

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because they would have been anti-dilutive. These potential shares could dilute earnings per share in the future. For the period from July 26, 2016 to December 31, 2016, 248,784 stock options, 11,701 restricted stock units and 69,651 Series A warrants were excluded from the computation of dilutive earnings per share because they would have been anti-dilutive. In periods of net loss, the number of shares used to calculate diluted earnings per share is the same as basic earnings per share.

The following table presents the net income (loss) per common share for the year ended December 31, 2017 and the period from July 26, 2016 to December 31, 2016:

	Successor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016
Net income (loss)		
Income (loss) from continuing operations	\$ 173,735	\$ (11,846)
(Loss) income from discontinued operations	(19,213)	916
Net income (loss)	<u>\$ 154,522</u>	<u>\$ (10,930)</u>
Basic		
Weighted average common shares outstanding - basic	10,216,464	10,309,310
Basic income (loss) per common share:		
Income (loss) from continuing operations	\$ 17.01	\$ (1.15)
(Loss) income from discontinued operations	(1.89)	0.09
Net income (loss)	<u>\$ 15.12</u>	<u>\$ (1.06)</u>
Diluted		
Weighted average common shares outstanding - basic	10,216,464	10,309,310
Diluted effect of warrants	170,178	—
Diluted effect of stock options	274,456	—
Diluted effect of restricted share units and restricted stock shares	108,907	—
Weighted average common shares outstanding - diluted	<u>10,770,005</u>	<u>10,309,310</u>
Diluted income (loss) per common share:		
Income (loss) from continuing operations	\$ 16.13	\$ (1.15)
(Loss) income from discontinued operations	(1.78)	0.09
Net income (loss)	<u>\$ 14.35</u>	<u>\$ (1.06)</u>

(7) Inventories, net

Inventories, net consisted of the following:

	Successor	
	December 31, 2017	December 31, 2016
Raw coal	\$ 7,003	\$ 5,055
Saleable coal	55,357	58,056
Materials, supplies and other, net	7,201	6,581
Total inventories, net	<u>\$ 69,561</u>	<u>\$ 69,692</u>

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(8) Prepaid Expenses and Other Current Assets

Prepaid expenses and other current assets consisted of the following:

	Successor	
	December 31, 2017	December 31, 2016
Prepaid freight	\$ 9,374	\$ 9,065
Deferred longwall move expenses	13,062	5,264
Other non-trade receivables	591	4,146
Prepaid insurance	2,401	2,018
Prepaid property tax	2,240	2,804
Refundable income taxes	21,175	1,305
Prepaid bond premium	1,142	762
Other prepaid expenses	9,708	9,119
Total prepaid expenses and other current assets	<u>\$ 59,693</u>	<u>\$ 34,483</u>

(9) Property, Plant, and Equipment, Net

Property, plant, and equipment, net consisted of the following:

	Successor	
	December 31, 2017	December 31, 2016
Plant and mining equipment	\$ 153,951	\$ 100,945
Owned and leased mineral rights ⁽¹⁾	23,139	23,904
Mine development	19,460	1,035
Land	10,252	9,258
Office equipment, software and other	483	420
Construction in progress	35,749	33,948
Total property, plant, and equipment	<u>243,034</u>	<u>169,510</u>
Less accumulated depreciation, depletion and amortization	46,455	13,528
Total property, plant, and equipment, net	<u>\$ 196,579</u>	<u>\$ 155,982</u>

⁽¹⁾ Amounts primarily relate to asset retirement obligation assets associated with active mining operations.

Included in plant and mining equipment are assets under capital leases totaling \$740 and \$586 with accumulated depreciation of \$317 and \$86 as of December 31, 2017 and December 31, 2016, respectively.

Depreciation, depletion and amortization expense associated with property, plant and equipment, net was \$34,910, \$5,973, \$66,076, \$149,196 for the year ended December 31, 2017, the period from July 26, 2016 to December 31, 2016, for the period January 1, 2016 to July 25, 2016 and for the year ended December 31, 2015, respectively. Depreciation expense for the year ended December 31, 2017, for the period from July 26, 2016 to December 31, 2016 and the year ended December 31, 2015 includes credits of (\$1,719) and (\$7,656) and an expense of \$2,089, respectively, related to revisions to asset retirement obligations. See Note 15 for further disclosures related to asset retirement obligations.

(10) Asset Impairment and Restructuring

A long-lived asset group that is held and used is reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of the long-lived asset or asset group might not be recoverable. As a result of a longer than expected recovery in the met coal markets and lower production and shipment levels compared with previous estimates and announcements made regarding plans to curtail certain coal mining operations, the Company determined that indicators of impairment with respect to certain of its long-lived assets or asset groups existed during the year ended December 31, 2015.

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The Company performed a long-lived asset impairment test as of December 31, 2015 and determined that the undiscounted cash flows were less than the carrying value for certain asset groups. For the year ended December 31, 2015, the Company recorded \$296,154 in impairment charges, of which \$72,012 was recorded for asset groups in Central Appalachia Operations (“CAPP”), \$224,139 was recorded for asset groups in Northern Appalachia Operations (“NAPP”), and \$3 was recorded on asset groups in Trading and Logistics Operations.

For the period ended July 25, 2016 and the year ended December 31, 2015, the Company recorded severance expenses and other restructuring-related charges of \$955 and \$1,209, respectively. Of these amounts, \$600 and \$1,550 were recorded on CAPP and \$334 and (\$458) were recorded on NAPP for period ended July 25, 2016 and the year ended December 31, 2015, respectively.

For the period ended July 25, 2016, the Company recorded losses related to non-core property divestitures of \$1,067 and \$1,074 on CAPP and NAPP, respectively. For the year ended December 31, 2015, the Company recorded losses related to non-core property divestitures of \$62, of which \$21 and \$39 related to CAPP and NAPP, respectively.

There were no asset impairments or restructuring charges during the year ended December 31, 2017 or the period from July 26, 2016 to December 31, 2016.

(11) Dividend Paid and Tender Offer

The Company entered into the First Amendment to the Asset-Based Revolving Credit Agreement on June 9, 2017 and the First Amendment to Term Loan Credit Agreement on June 13, 2017. The amendments, among other things, permit an aggregate amount of \$150,000 of cash to be used for the (i) payment of a one-time cash dividend on its common stock no later than July 28, 2017, and (ii) repurchase of its common stock at any time no later than December 31, 2017, subject to certain terms and conditions. See Note 13.

On June 16, 2017, the Company declared a special cash distribution (the “Special Dividend”) in the amount of \$100,735, equal to \$8.997 per share. The Special Dividend was comprised of approximately \$92,786, payable to eligible holders of record of its common stock as of the close of business on July 5, 2017, the record date, and pursuant to the terms of the Company’s Management Incentive Plan, dividend equivalent payments of approximately \$7,949 in the aggregate (including the amounts payable with respect to each share underlying outstanding stock option awards and restricted stock unit awards and outstanding restricted common stock under the Management Incentive Plan) were paid to plan participants. The \$92,786 portion of the dividend was paid on July 12, 2017, which reduced the Company’s retained earnings by \$73,603 and additional paid-in capital by \$19,183. The dividend equivalent payments were made on July 11, 2017, which reduced the Company’s additional paid-in capital by \$7,949. Pursuant to terms of the debt amendments, the Company made an offer to all Term Loan Credit Facility lenders to repay the loans at par concurrently with the payment of the Special Dividend, in an aggregate principal amount equal to \$10,000. All the Term Loan Facility lenders accepted the offer, and the Company repaid \$10,000 on July 13, 2017.

On September 26, 2017, the Company announced that it had commenced a modified “Dutch Auction” tender offer to repurchase up to \$31,800 of common stock. On December 21, 2017, Contura repurchased an aggregate of 530,000 shares of common stock at a purchase price of \$60.00 per share. The total repurchase price of \$32,595 (comprised of \$31,800 of share repurchases and \$795 of related fees) was recorded as treasury stock in the Consolidated Balance Sheet. Upon completion of the tender offer, provisions within the Company’s Term Loan Credit Facility and Asset-Based Revolving Credit Agreement limited the ability of the Company to make future repurchases of its common stock.

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(12) Accrued Expenses and Other Current Liabilities

Accrued expenses and other current liabilities consisted of the following:

	Successor	
	December 31, 2017	December 31, 2016
Wages and benefits	\$ 35,988	\$ 28,676
Taxes other than income taxes	3,478	4,887
Income taxes	—	201
Current portion of asset retirement obligations	6,771	4,298
Freight accrual	2,109	3,006
Interest payable	219	13,574
Deferred revenue	200	3,780
Other	10,006	6,957
Total accrued expenses and other current liabilities	<u>\$ 58,771</u>	<u>\$ 65,379</u>

(13) Long-Term Debt

Long-term debt consisted of the following:

	Successor	
	December 31, 2017	December 31, 2016
Term Loan Credit Facility - due March 2024	\$ 387,000	\$ —
Term Facility - due July 2020	—	42,500
LC Facility	—	—
Closing Tranche Term Loan - due January 2018	—	8,500
GUC Distribution Note - due January 2018	—	5,500
10% Senior Secured First Lien Notes - due August 2021	—	300,000
Other	3,768	4,857
Debt discount and issuance costs	(18,065)	(14,363)
Total long-term debt	<u>372,703</u>	<u>346,994</u>
Less current portion	(10,730)	(1,591)
Long-term debt, net of current portion	<u>\$ 361,973</u>	<u>\$ 345,403</u>

Term Loan Credit Facility

On March 17, 2017, the Company entered into a Credit Agreement with Jefferies Finance LLC, as administrative agent and collateral agent, and the other lenders party thereto (as defined therein) that provides for a term loan facility (the “Term Loan Credit Facility”) in an aggregate amount of \$400,000 with a maturity date of March 17, 2024. Principal repayments equal to \$1,000 are due each March, June, September and December (commencing with June 30, 2017) with the final principal repayment installment repaid on the maturity date and in any event shall be in an amount equal to the aggregate principal amount outstanding on such date. The Term Loan Credit Facility bears an interest rate per annum based on the character of the loan (defined as either “Base Rate Loan” or “Eurocurrency Rate Loan”) plus an applicable rate of 4.00% to 5.00% depending on loan type (the “Applicable Rate”), payable bi-monthly in arrears. As of December 31, 2017, the Term Loan Credit Facility was classified as a Eurocurrency Rate Loan with an interest rate of 6.63%, calculated as the eurocurrency rate during the period plus an applicable rate of 5.00%.

In connection with entering the Credit Agreement, the Company paid all of its \$300,000 outstanding 10.00% Senior Secured First Lien Notes due 2021. The proceeds of the Term Loan Credit Facility were also used to repay the \$42,500 outstanding Term Facility due 2020, the \$8,500 outstanding Closing Tranche Term Loan due 2018 and the \$5,500 outstanding

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GUC Distribution Note due 2018. The Company recorded a loss on early extinguishment of debt of \$38,701, primarily related to a prepayment premium on the 10.00% Senior Secured First Lien Notes and the write-off of outstanding debt discounts on the 10.00% Senior Secured First Lien Notes and GUC Distribution Note.

The Company entered into the First Amendment to the Term Loan Credit Agreement on June 13, 2017. The amendment, among other things, permitted an aggregate amount of \$150,000 of cash to be used for the (i) payment of a one-time cash dividend on its common stock no later than July 28, 2017, and (ii) repurchase of its common stock at any time no later than December 31, 2017, subject to certain terms and conditions. Pursuant to terms of the amendment, the Company made an offer to all Term Loan Credit Facility lenders to repay the loans at par concurrently with the payment of the Special Dividend, in an aggregate principal amount equal to \$10,000. All the Term Loan Facility lenders accepted the offer, and the Company repaid \$10,000 on July 13, 2017.

The Term Loan Credit Facility, as amended, and related documents contain negative and affirmative covenants including certain financial covenants. The Company was in compliance with all covenants under these agreements as of December 31, 2017. For the fiscal year ending December 31, 2017, the Company had Excess Cash Flow as calculated per terms of the Term Loan Credit Facility, as amended, and will therefore prepay \$3,323 of the Term Loan Credit Facility outstanding principal balance no later than 130 days after the end of the December 31, 2017 fiscal year.

All obligations under the Term Loan Credit Facility are unconditionally guaranteed by the Company's existing wholly owned domestic subsidiaries, and are required to be guaranteed by the Company's future wholly owned domestic subsidiaries. Certain obligations under the Term Loan Credit Facility are secured by a senior lien, subject to certain exceptions (including the ABL Priority Collateral described below), by substantially all of our assets and the assets of our subsidiary guarantors ("Term Loan Priority Collateral"), in each case subject to exceptions. The obligations under the Term Loan Credit Facility are also secured by a junior lien, again subject to certain exceptions, against the ABL Priority Collateral.

Asset-Based Revolving Credit Agreement

On April 3, 2017, the Company entered into an Asset-Based Revolving Credit Agreement with Citibank N.A. as administrative agent, collateral agent, and swingline lender and the other lenders party thereto (the "Lenders"), and Citibank N.A., BMO Harris Bank N.A. and Credit Suisse AG as letter of credit issuers ("LC Lenders"). The Asset-Based Revolving Credit Agreement includes a senior secured asset-based revolving credit facility (the "ABL Facility"). Under the ABL Facility, the Company may borrow cash from the Lender or cause the LC Lenders to issue letters of credit, on a revolving basis, in an aggregate amount of up to \$125,000, of which no more than \$80,000 may be drawn through letters of credit. Any borrowings under the ABL Facility will have a maturity date of April 4, 2022 and will bear interest based on the character of the loan (defined as either "Base Rate Loan" or "Eurocurrency Rate Loan") plus an applicable rate ranging from 1.00% to 1.50% for Base Rate Loans and 2.00% to 2.50% for Eurocurrency Rate Loans, depending on the amount of credit available. Any letters of credit issued under the ABL Facility will bear a commitment fee rate ranging from 0.25% to 0.375% depending on the amount of availability per terms of the agreement, and a 0.25% fronting fee payable to the ABL Facility's administrative agent. The Asset-Based Revolving Credit Agreement provides that a specified percentage of billed, unbilled and approved foreign receivables and raw and clean inventory meeting certain criteria are eligible to be counted for purposes of collateralizing the amount of financing available, subject to certain terms and conditions. As of December 31, 2017, the Company had \$0 borrowings and \$11,300 letters of credit outstanding under the ABL Facility.

The Company entered into the First Amendment to the Asset-Based Revolving Credit Agreement on June 9, 2017. The amendment, among other things, permitted an aggregate amount of \$150,000 of cash to be used for the (i) payment of a one-time cash dividend on its common stock no later than July 28, 2017, and (ii) repurchase of its common stock at any time no later than December 31, 2017, subject to certain terms and conditions.

The Asset-Based Revolving Credit Agreement, as amended, and related documents contain negative and affirmative covenants including certain financial covenants. The Company was in compliance with all covenants under these agreements as of December 31, 2017.

The obligations under the ABL Facility are secured by a senior lien, subject to certain exceptions by collateral generally described as receivables, inventory, as-extracted collateral and deposit accounts ("ABL Priority Collateral"). The obligations under the ABL Facility are also secured by a junior lien, again subject to certain exceptions, against the Term Loan Priority Collateral.

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Capital Leases

The Company entered into capital leases for certain property and other equipment during 2017 and 2016. The Company's liability for capital leases totaled \$426 and \$578, with \$226 and \$275 reported within the current portion of long-term debt as of December 31, 2017 and December 31, 2016, respectively.

Future Maturities

Future maturities of long-term debt as of December 31, 2017 are as follows:

2018	\$ 10,730
2019	4,308
2020	4,033
2021	4,020
2022	4,000
Thereafter ⁽¹⁾	363,677
Total long-term debt	\$ 390,768

⁽¹⁾ Includes principal payments on the Term Loan Credit Facility of \$4,000 and \$359,677 for the year ended December 31, 2023 and December 31, 2024, respectively.

(14) Acquisition-Related Obligations

Acquisition-related obligations consisted of the following:

	Successor	
	December 31, 2017	December 31, 2016
Retiree Committee VEBA Funding Settlement Liability	\$ 7,000	\$ 10,000
UMWA Funds Settlement Liability	7,000	7,500
UMWA VEBA Funding Settlement Liability	—	9,300
UMWA Contingent VEBA Funding Note 1	—	8,750
UMWA Contingent VEBA Funding Note 2	—	8,750
Reclamation Funding Liability	32,000	42,000
Contingent Reclamation Funding Liability ⁽¹⁾	—	20,370
Contingent Credit Support Commitment ⁽¹⁾	—	4,567
Other	580	2,261
Discount	(11,168)	(27,152)
Total acquisition-related obligations - long-term	35,412	86,346
Less current portion	(15,080)	(27,258)
Acquisition-related obligations, net of current portion	\$ 20,332	\$ 59,088

⁽¹⁾ Measured using the fair value option. See Note 17 for further disclosures on fair value.

The Company entered into various settlement agreements with Alpha and/or the Alpha bankruptcy successor ANR, Inc. ("ANR") and third parties as part of the Alpha bankruptcy reorganization process. The Company assumed acquisition-related obligations through those settlement agreements which became effective on July 26, 2016, the effective date of Alpha's plan of reorganization.

Contingent Credit Support Commitment & Contingent Funding of Restricted Cash Reclamation

On October 23, 2017, ANR completed a transaction with Lexington Coal Company ("LCC"), which included the transfer by ANR to LCC of certain idle and non-active assets and other real and personal properties located in Kentucky, Tennessee and West Virginia. According to the terms of the transaction, the Company was released from the Contingent Credit Support

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Commitment and Contingent Reclamation Funding Liability obligations. As a result the Company recorded a gain of \$28,158 related to the extinguishment of its carrying value of these obligations, which is recorded as other operating income in the Consolidated Statement of Operations for the year ending December 31, 2017.

UMWA Contingent VEBA Funding Notes

Pursuant to the UMWA VEBA Funding Settlement agreement entered into on July 5, 2016, if federal legislation providing retirement healthcare benefits to the UMWA Retirees had not been enacted or if monies under the legislation had not become available for the benefits before August 1, 2017, on August 1, 2017, the Company would have been required to issue to the VEBA a 7-year 5.00% unsecured note ("UMWA Contingent VEBA Funding Note 1") with a face value of \$8,750. If federal legislation providing retirement healthcare benefits to the UMWA Retirees had not been enacted or if monies under the legislation had not become available for the benefits before December 1, 2017, on December 1, 2017, the Company would also have been required to issue to the VEBA a 7-year 5.00% unsecured note ("UMWA Contingent VEBA Funding Note 2") with a face value of \$8,750. On May 5, 2017, federal legislation was passed in an omnibus spending bill which provided funding for retiree healthcare for UMWA Retirees. The Company eliminated all of its remaining carrying value of the UMWA Contingent VEBA Funding Notes 1 and Note 2 of \$4,548 and \$4,498, respectively, and recorded a gain on settlement of \$9,046 which was classified as other operating income in the Consolidated Statement of Operations during the year ended December 31, 2017.

(15) Asset Retirement Obligations

The following table summarizes the changes in asset retirement obligations for the year ended December 31, 2017:

Predecessor

Total asset retirement obligations at December 31, 2015	\$ 47,598
Accretion for the period	5,005
Asset sales	(53)
Revisions in estimated cash flows	(22)
Expenditures for the period	(2,126)
Total asset retirement obligations at July 25, 2016	\$ 50,402

Successor

Total asset retirement obligations at July 26, 2016	\$ 89,474
Accretion for the period	4,800
Revisions in estimated cash flows ⁽¹⁾	(10,698)
Expenditures for the period	(514)
Total asset retirement obligations at December 31, 2016	\$ 83,062
Accretion for the period	9,934
Sites added during the period	356
Revisions in estimated cash flows ⁽²⁾	(4,419)
Expenditures for the period	(2,567)
Reclassification to liabilities held for sale ⁽³⁾	(27,161)
Total asset retirement obligations at December 31, 2017	\$ 59,205
Less current portion	(6,771)
Long-term portion	\$ 52,434

⁽¹⁾ This amount includes a reduction of approximately (\$7,600), primarily related to revisions in estimated stream restoration costs within NAPP, which was recorded as a reduction to depreciation, depletion, and amortization in the Statements of Operations for the period from July 26, 2016 to December 31, 2016.

⁽²⁾ The revisions in estimated cash flows were primarily comprised of (\$6,360) in mine life extensions within NAPP and added reserves within CAPP (of which approximately (\$1,700) was recorded to depreciation, depletion, and amortization), offset by \$2,744 in discount rate adjustments.

⁽³⁾ See Note 2 for further information on liabilities held for sale.

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(16) Other Non-Current Liabilities

Other non-current liabilities consisted of the following:

	Successor	
	December 31, 2017	December 31, 2016
Warrants ⁽¹⁾	\$ —	\$ 35,141
Workers' compensation obligations	23,619	17,008
Black lung obligations	18,039	13,386
Life insurance benefits	11,806	11,687
Taxes other than income taxes	—	5,588
Other	5,812	3,731
Total other non-current liabilities	<u>\$ 59,276</u>	<u>\$ 86,541</u>

⁽¹⁾ See Note 18.

(17) Fair Value of Financial Instruments and Fair Value Measurements

The estimated fair values of financial instruments are determined based on relevant market information. These estimates involve uncertainty and cannot be determined with precision.

The carrying amounts for cash and cash equivalents, trade accounts receivable, net, prepaid expenses and other current assets, long-term restricted cash, long-term deposits, trade accounts payable, and accrued expenses and other current liabilities approximate fair value as of December 31, 2017 and December 31, 2016 due to the short maturity of these instruments.

The following tables set forth by level, within the fair value hierarchy, the Company's long-term debt at fair value as of December 31, 2017 and December 31, 2016:

	Successor				
	December 31, 2017				
	Carrying Amount ⁽¹⁾	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Term Loan Credit Facility - due March 2024	\$ 368,935	\$ 363,401	\$ 363,401	\$ —	\$ —

	Successor				
	December 31, 2016				
	Carrying Amount ⁽¹⁾	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Term Facility - due July 2020	\$ 42,164	\$ 42,164	\$ —	\$ 42,164	\$ —
Closing Tranche Term Loan - due January 2018	8,500	8,500	—	—	8,500
GUC Distribution Note - due January 2018	4,546	4,967	—	—	4,967
10% Senior Secured First Lien Notes - due August 2021	286,927	320,625	320,625	—	—
Total long-term debt	<u>\$ 342,137</u>	<u>\$ 376,256</u>	<u>\$ 320,625</u>	<u>\$ 42,164</u>	<u>\$ 13,467</u>

⁽¹⁾ Net of debt discounts and debt issuance costs.

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The following tables set forth by level, within the fair value hierarchy, the Company's acquisition-related obligations at fair value as of December 31, 2017 and December 31, 2016:

	Successor				
	December 31, 2017				
	Carrying Amount ⁽¹⁾	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Retiree Committee VEBA Funding Settlement Liability	\$ 6,290	\$ 6,692	\$ —	\$ —	\$ 6,692
UMWA Funds Settlement Liability	4,366	5,654	—	—	5,654
Reclamation Funding Liability	24,176	28,365	—	—	28,365
Total acquisition-related obligations	\$ 34,832	\$ 40,711	\$ —	\$ —	\$ 40,711

	Successor				
	December 31, 2016				
	Carrying Amount ⁽¹⁾	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Retiree Committee VEBA Funding Settlement Liability	\$ 8,260	\$ 8,937	\$ —	\$ —	\$ 8,937
UMWA Funds Settlement Liability	4,050	5,100	—	—	5,100
UMWA VEBA Funding Settlement Liability	9,037	9,156	—	—	9,156
UMWA Contingent VEBA Funding Note 1	4,307	5,381	—	—	5,381
UMWA Contingent VEBA Funding Note 2	4,270	5,206	—	—	5,206
Reclamation Funding Liability	29,223	33,549	—	—	33,549
Total acquisition-related obligations	\$ 59,147	\$ 67,329	\$ —	\$ —	\$ 67,329

⁽¹⁾ Net of discounts.

The Company held no financial and non-financial assets and liabilities that were accounted for at fair value on a recurring basis as of December 31, 2017. The following table sets forth by level, within the fair value hierarchy, the Company's financial and non-financial assets and liabilities that were accounted for at fair value on a recurring basis as of December 31, 2016. Financial and non-financial assets and liabilities are classified in their entirety based on the lowest level of input that is significant to the fair value measurement. The Company's assessment of the significance of a particular input to the fair value measurement requires judgment, and may affect the determination of fair value for assets and liabilities and their placement within the fair value hierarchy levels.

	Successor			
	December 31, 2016 ⁽³⁾			
	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Warrants ⁽¹⁾	\$ 35,141	\$ —	\$ —	\$ 35,141
Contingent Credit Support Commitment ⁽²⁾	\$ 4,567	\$ —	\$ —	\$ 4,567
Contingent Reclamation Funding Liability ⁽²⁾	\$ 20,370	\$ —	\$ —	\$ 20,370

⁽¹⁾ See Note 18.

⁽²⁾ See Note 14 for further disclosures on these acquisition-related obligations and their mark-to-market effect on earnings.

⁽³⁾ Balances were \$0 as of December 31, 2017.

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The following table is a reconciliation of the financial and non-financial assets and liabilities that were accounted for at fair value on a recurring basis and that were categorized within Level 3 of the fair value hierarchy:

	Successor				
	December 31, 2016 Balance	Loss Recognized in Earnings	Gain Recognized on Settlement	Transfer in (out) of Level 3 fair value hierarchy	December 31, 2017 Balance
Contingent Credit Support Commitment	\$ 4,567	\$ 686	\$ (5,253)	\$ —	\$ —
Contingent Reclamation Funding Liability	\$ 20,370	\$ 2,536	\$ (22,906)	\$ —	\$ —

	Successor				
	July 26, 2016 Balance	Purchases/ Additions	Loss (Gain) Recognized in Earnings	Transfer in (out) of Level 3 fair value hierarchy	December 31, 2016 Balance
Warrants ⁽¹⁾	\$ —	\$ 1,166	\$ 33,975	\$ —	\$ 35,141
Contingent Credit Support Commitment	\$ —	\$ 21,953	\$ (17,386)	\$ —	\$ 4,567
Contingent Reclamation Funding Liability	\$ —	\$ 13,600	\$ 6,770	\$ —	\$ 20,370

⁽¹⁾ See Note 18.

For the year ended December 31, 2017 and the period from July 26, 2016 to December 31, 2016 the Company fair valued assets and liabilities on a non-recurring basis in connection with acquisition accounting (see Note 3).

The following methods and assumptions were used to estimate the fair values of the assets and liabilities in the tables above.

Level 1 Fair Value Measurements

Term Loan Credit Facility - due March 2024 - The fair value is based on observable market data.

10% Senior Secured First Lien Notes - due August 2021 - The fair value was based on observable market data.

Level 2 Fair Value Measurements

Term Facility - due July 2020 - The Company believes the carrying value of this obligation was a reasonable estimate of fair value as these obligations were repaid at face value without any premium or discount subsequent to December 31, 2016.

Level 3 Fair Value Measurements

Closing Tranche Term Loan - due January 2018 - The Company believes the carrying value of this obligation was a reasonable estimate of fair value as these obligations were repaid at face value without any premium or discount subsequent to December 31, 2016.

GUC Distribution Note - due January 2018, Retiree Committee VEBA Funding Settlement Liability, UMWA Funds Settlement Liability, VEBA Funding Settlement Liability, UMWA Contingent VEBA Funding Note 1, UMWA Contingent VEBA Funding Note 2 and Reclamation Funding Liability - Observable transactions are not available to aid in determining the fair value of these items. Therefore, the fair value was derived by using the expected present value approach in which estimated cash flows are discounted using a risk-free interest rate adjusted for market risk.

Contingent Credit Support Commitment - Observable transactions are not available to aid in determining the fair value of this commitment. The fair value of the Contingent Credit Support Commitment was derived by using the present value of the Company's estimated obligation to provide ANR with revolving credit support, discounted using the Company's credit-adjusted risk-free borrowing rate. The Company's estimated obligation to provide ANR with revolving credit support was derived based on a probability-weighted analysis of scenarios developed from ANR's projected cash flows. The present value of the

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Company's estimated obligation is calculated net of present value of the anticipated ANR repayments, discounted using an estimate of ANR's weighted average cost of capital.

Contingent Reclamation Funding Liability - Observable transactions are not available to aid in determining the fair value of this obligation. The fair value of the Contingent Reclamation Funding Liability was derived by aggregating the present value of the Company's estimated cash flow payments into the various Restricted Cash Reclamation Accounts, using the Company's credit-adjusted risk free rate. The Company's estimated cash flow payments were reduced by the present value of the expected ANR cash flow payments into the various Restricted Cash Reclamation Accounts, discounted at an estimate of ANR's weighted average cost of capital.

Warrants - The fair value of the warrants liability was estimated using a Black-Scholes pricing model and was marked to market at each reporting period with changes in value reflected in earnings. The inputs included in the Black-Scholes pricing model were the Company's OTC market price, the stated exercise price, the remaining time to maturity, the annual risk-free interest rate based on the U.S. Constant Maturity Curve and annualized volatility. The annualized volatility was calculated by observing volatilities for comparable companies with adjustments for the Company's size and leverage.

Acquisition accounting - The Company accounts for business combinations under the acquisition method of accounting. The total cost of acquisitions is allocated to the underlying identifiable net tangible and intangible assets based on their respective estimated fair values. Determining the fair value of assets acquired and liabilities assumed requires management's judgment, the utilization of independent valuation experts and often involves the use of significant estimates and assumptions with respect to the timing and amounts of future cash inflows and outflows, discount rates, market prices and asset lives, among other items.

(18) Derivative Financial Instruments

Swap Agreements

The Company uses diesel fuel in its production processes and incurs significant expenses for its purchases. Diesel fuel expenses represented approximately 1%, 1%, 1%, and 2% of cost of coal sales for the year ended December 31, 2017, the period July 26, 2016 to December 31, 2016, the period January 1, 2016 to July 25, 2016, and for the year ended December 31, 2015. The Company is subject to the risk of price volatility for this commodity and as a part of its risk management strategy, the Company had formerly entered into swap agreements with financial institutions to mitigate the risk of price volatility for diesel fuel. The terms of the swap agreements allowed the Company to pay a fixed price and receive a floating price, which provided a fixed price per unit for the volume of purchases being hedged. All existing swap agreements were terminated in August 2015 due to Alpha's bankruptcy filing. All cash flows associated with derivative instruments are classified as operating cash flows in the Statements of Cash Flows for the year ended December 31, 2015.

Warrants

On July 26, 2016 (the "Initial Issue Date"), the Company issued 810,811 warrants, each with an initial exercise price of \$55.93 per share of common stock and exercisable for one share of the Company's common stock, par value \$0.01 per share. The warrants are exercisable for cash or on a cashless basis at any time from the Initial Issue Date until July 26, 2023. For the period from July 26, 2016 to December 31, 2016, the warrants were classified within non-current liabilities in our Consolidated Balance Sheet as a derivative liability and were initially and subsequently marked-to-market with changes in value reflected in earnings.

The fair value of the warrant liability for the period from July 26, 2016 to December 31, 2016 was estimated using a Black-Scholes pricing model, with changes in value reflected in earnings. The inputs included in the Black-Scholes pricing model used in the valuation of the warrants included the Company stock price, the stated exercise price, the expected term, the annual risk-free rate based on the U.S. Constant Maturity Curve, and annualized equity volatility. The annualized volatility was calculated by observing volatilities for comparable companies with adjustment for size and leverage. The annualized volatility as of December 31, 2016 decreased relative to the annualized volatility used as of the Acquisition Date due to improvement in the Company's leverage ratio. However, due to significant increases in the Company's stock price as of December 31, 2016 the Company recognized a cumulative mark-to-market loss on the derivative liability of approximately \$33,975 recorded in other expenses within costs and expenses in the Consolidated Statements of Operations for the period from July 26, 2016 to

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December 31, 2016. As of December 31, 2016, the warrants derivative liability balance was approximately \$35,141 classified within non-current liabilities in our Consolidated Balance Sheet.

During July of 2017, the FASB issued ASU 2017-11, which provided updates for Accounting for Certain Financial Instruments with Down Round features. Pursuant to ASU 2017-11, the Company's warrants are considered equity instruments, eliminating the derivative liability treatment and the mark-to-market adjustment requirements. The Company early adopted ASU 2017-11 during 2017, with retrospective adjustments to the Consolidated Balance Sheet through an adjustment of approximately \$33,975 to retained earnings as of the beginning of the current fiscal year for all prior period mark-to-market adjustments and adjustments to the Consolidated Statement of Operations through the reversal of all year-to-date mark-to-market adjustments. Pursuant to the adoption of ASU 2017-11, as of December 31, 2017, the Company's warrants valued at approximately \$1,154 are classified within additional paid-in capital in the Consolidated Balance Sheet.

Pursuant to the Warrants Agreement dated as of July 26, 2016, the exercise price and the warrant share number were adjusted as a result of the occurrence of the Special Dividend. The warrant share number was adjusted from 1.00 to 1.15, and the exercise price was adjusted from \$55.93 per share to \$48.741 per share as of the July 5, 2017 record date.

As of December 31, 2017, of the 810,811 warrants that were originally issued, 801,983 remain outstanding, with a total of 922,280 shares underlying the un-exercised warrants. For the year ended December 31, 2017, 6,590 warrants were exercised with the respective holder paying the exercise price with cash resulting in 6,989 shares of common stock being issued, and an additional 2,238 warrants were exercised by the net share settlement feature provided by the warrant agreement, resulting in 855 additional shares of common stock being issued and outstanding and 1,704 shares being classified as treasury stock.

The following tables present the fair values and location of the Company's derivative instruments within the Balance Sheets:

Derivatives not designated as cash flow hedging instruments	Statement of Financial Position Location	Liability Derivatives	
		Successor	
		December 31, 2017	December 31, 2016
Warrants	Other non-current liabilities	\$ —	\$ 35,141

The following tables present the gains and losses from derivative instruments for the year ended December 31, 2017, the period from July 26, 2016 to December 31, 2016, the period January 1, 2016 to July 25, 2016, and for the year ended December 31, 2015, and their location within the Financial Statements:

Loss reclassified from accumulated other comprehensive income (loss) to earnings				
Derivatives designated as cash flow hedging instruments	Successor		Predecessor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from January 1, 2016 to July 25, 2016	Year Ended December 31, 2015
Commodity swaps ⁽¹⁾⁽²⁾	\$ —	\$ —	\$ —	\$ (1,013)

⁽¹⁾ Amounts included in Discontinued Operations in the Statements of Operations.

⁽²⁾ Net of tax.

The following table presents the gains and losses from derivative instruments for the year ended December 31, 2017, the period from July 26, 2016 to December 31, 2016, the period January 1, 2016 to July 25, 2016, and for the year ended December 31, 2015, and their location within the Financial Statements:

Gain (loss) recorded in earnings				
Derivatives not designated as cash flow hedging instruments	Successor		Predecessor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from January 1, 2016 to July 25, 2016	Year Ended December 31, 2015
Commodity swaps ⁽¹⁾	\$ —	\$ —	\$ —	\$ 3,081
Warrants ⁽²⁾	—	(33,975)	—	—
Total	\$ —	\$ (33,975)	\$ —	\$ 3,081

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- (1) Amounts are recorded in other expenses within costs and expenses in the Statements of Operations.
(2) Amount is recorded as a component of other (expense) income in the Statement of Operations.

(19) Income Taxes

In the Predecessor periods, the Predecessor was included in Alpha's consolidated federal income tax return and consolidated and combined income tax returns in certain states. For purposes of these Financial Statements, income taxes related to the Predecessor are presented as if it were a separate taxpayer for the Predecessor period. Therefore, the calculated amount of federal and state current income taxes differs from amounts previously recorded and paid by the Parent on behalf of Contura.

Total income tax expense (benefit) provided on income before income taxes was allocated as follows:

	Successor		Predecessor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from January 1, 2016 to July 25, 2016	Year Ended December 31, 2015
Continuing operations	\$ (67,979)	\$ (1,920)	\$ (39,881)	\$ (155,052)
Discontinued operations	(17,681)	551	4,992	(99,543)
	\$ (85,660)	\$ (1,369)	\$ (34,889)	\$ (254,595)

Significant components of income tax expense (benefit) from continuing operations were as follows:

	Successor		Predecessor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from January 1, 2016 to July 25, 2016	Year Ended December 31, 2015
Current tax (benefit) expense:				
Federal	\$ 10,078	\$ (390)	\$ —	\$ (10,740)
State	687	180	—	—
	\$ 10,765	\$ (210)	\$ —	\$ (10,740)
Deferred tax (benefit) expense:				
Federal	\$ (78,744)	\$ (1,628)	\$ (29,961)	\$ (136,591)
State	—	(82)	(9,920)	(7,721)
	\$ (78,744)	\$ (1,710)	\$ (39,881)	\$ (144,312)
Total income tax (benefit) expense:				
Federal	\$ (68,666)	\$ (2,018)	\$ (29,961)	\$ (147,331)
State	687	98	(9,920)	(7,721)
	\$ (67,979)	\$ (1,920)	\$ (39,881)	\$ (155,052)

A reconciliation of the statutory federal income tax expense (benefit) at 35% on income from continuing operations to the actual income tax expense (benefit) is as follows:

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	Successor		Predecessor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from January 1, 2016 to July 25, 2016	Year Ended December 31, 2015
Federal statutory income tax expense (benefit)	\$ 37,015	\$ (4,818)	\$ (35,497)	\$ (144,494)
Increase (reductions) in taxes due to:				
Percentage depletion allowance	(5,164)	(1,096)	(5,209)	(13,435)
Federal tax rate change	179,825	—	—	—
Estimated sequestration reduction	5,640	—	—	—
State taxes, net of federal tax impact	1,059	(226)	(1,365)	(8,565)
State tax rate and NOL change, net of federal tax benefit	(4,705)	—	(5,151)	3,455
Change in valuation allowances	(280,094)	(8,950)	69	91
Non-taxable bargain purchase gain	(354)	(2,702)	—	—
Non-deductible mark-to-market adjustment - warrant derivative	—	11,891	—	—
Non-deductible transaction costs	—	—	6,962	3,557
Stock-based compensation	(1,144)	—	—	3,861
Charitable contribution carryforward expiration	—	3,537	—	—
Other, net	(57)	444	310	478
Income tax benefit	<u>\$ (67,979)</u>	<u>\$ (1,920)</u>	<u>\$ (39,881)</u>	<u>\$ (155,052)</u>

Deferred income taxes result from temporary differences between the reporting of amounts for financial statement purposes and income tax purposes. The net deferred tax assets and liabilities included in the Balance Sheet include the following amounts:

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	Successor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016
Deferred tax assets:		
Property, plant and mineral reserves	\$ 65,618	\$ 283,301
Asset retirement obligations	19,365	16,362
Reserves and accruals not currently deductible	8,362	6,206
Workers' compensation benefit obligations	12,502	16,488
Equity method investments	3,176	5,079
Charitable contribution carryforwards	11,312	20,808
Alternative minimum tax credit carryforwards	78,744	91,973
Loss carryforwards, net of Section 382 limitation	175,846	125,536
Acquisition-related obligations	7,383	—
Other	6,022	4,535
Gross deferred tax assets	388,330	570,288
Less valuation allowance	(298,892)	(531,054)
Deferred tax assets	\$ 89,438	\$ 39,234
Deferred tax liabilities:		
Acquired intangibles, net	\$ (4,273)	\$ (31,493)
Prepaid expenses	(5,186)	(5,378)
Acquisition-related obligations	—	(2,043)
Other	(1,235)	(320)
Total deferred tax liabilities	(10,694)	(39,234)
Net deferred tax assets	\$ 78,744	\$ —

Changes in the valuation allowance were as follows:

	Successor		Predecessor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from January 1, 2016 to July 25, 2016	Year Ended December 31, 2015
Valuation allowance beginning of period	\$ 531,054	\$ 539,856	\$ 153	\$ 62
(Decrease) increase in valuation allowance recorded to income tax expense (benefit)	(288,177)	(8,802)	3,143	91
(Decrease) increase in valuation allowance not affecting income tax expense	56,015	—	—	—
Valuation allowance end of period	\$ 298,892	\$ 531,054	\$ 3,296	\$ 153

On December 22, 2017, President Trump signed into law legislation commonly referred to as the “Tax Cuts and Jobs Act” (“TCJA”). Effective for tax years beginning after December 31, 2017, the TCJA reduces the corporate income tax rate from 35% to 21%. As a result of the reduction in the corporate income tax rate, the Company recorded a reduction to the value of its net deferred tax assets before the valuation allowance of \$179,825, resulting in an offsetting release in the valuation allowance of \$179,825. The TCJA also repeals the corporate alternative minimum tax (“AMT”), provides a mechanism for corporations to monetize alternative minimum tax credits (“AMT Credits”) during the 2018 to 2021 tax years, and makes changes to net operating loss provisions (“NOL”) to repeal NOL carrybacks, allow NOLs to be carried forward indefinitely, and limit the utilization of an NOL carryforward to 80% of taxable income generated.

As of December 31, 2017, the Company released the valuation allowance related to its AMT Credits, resulting in the recognition of a tax benefit of \$78,744. The tax benefit recorded reflects a reduction to the AMT Credits of 6.2% related to the

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sequestration reduction expected to apply. Based on the accounting policy election made, the Company will classify the AMT Credits as a deferred tax asset until the taxable year in which the credit can be claimed on the tax return. In that year, the Company will reclassify the amount from a deferred tax asset to an income tax receivable. Under SAB 118, the Company has recorded its best estimate of the AMT Credits based on the information available at this time and will finalize the analysis within the one-year measurement period ending on December 22, 2018. Also, the Internal Revenue Service (“IRS”) may issue additional guidance in the form of regulations or notices regarding certain technical issues related to the monetization of the AMT Credits.

The Company acquired the core assets of Alpha as part of the Alpha Restructuring in transactions intended to be treated as a tax-free reorganization for U.S. federal income tax purposes. As a result of these transactions, the Company inherited the tax basis of the core assets and the net operating loss and other carryforwards of Alpha. On December 31, 2016, the net operating loss carryforwards and other carryforwards were reduced under Internal Revenue Code Section 108 due to the cancellation of indebtedness resulting from the Alpha Restructuring. Due to the change in ownership, the net operating loss and other carryforwards inherited in the Alpha Restructuring are subjected to significant limitations on their use in future years.

As of December 31, 2017, the Company recorded a full valuation allowance against its net deferred tax assets other than the AMT Credits. Due to the Company’s formation through acquisition of certain core coal assets as part of the Alpha Restructuring, the Company does not have a history of operating results. Additionally, significant ownership change limitations limit the ability of the Company to utilize its net operating loss and other carryforwards in future years.

At December 31, 2017, the Company has regular tax net operating loss carryforwards for Federal income tax purposes of approximately \$828,000 of which \$461,000 are available to offset regular Federal taxable income, subject to the annual Internal Revenue Code Section 382 limitation of approximately \$1,000, and of which \$367,000 are not currently subject to a Section 382 limitation. The Federal net operating loss carryforwards will expire between years 2033 and 2037. The net operating loss carryforwards limited under Section 382 are available to reduce taxable income between years 2018 and 2035. The Company has capital loss carryforwards of approximately \$900,000, of which \$509,000 are subject to the annual Section 382 limitation. The capital loss carryforwards expire in year 2021. To the extent the annual Section 382 limitation of \$1,000 is exhausted by the utilization of net operating loss carryforwards in a given year, there is no additional capacity to utilize the capital loss carryforwards in that year. The Company also has charitable contribution carryforwards of \$54,000, which will expire between years 2018 and 2022.

The Company does not have any unrecognized tax benefits. The Company’s policy is to classify interest and penalties related to uncertain tax positions as part of income tax expense. As of December 31, 2017 and 2016, the Company had no accrued interest and penalties.

As of December 31, 2017, tax years 2014 - 2017, which include the impact of net operating loss and other carryforwards and tax basis acquired from Alpha, remain open to federal and state examination.

(20) Employee Benefit Plans

Alpha and the Company provided several types of benefits for its employees, including postemployment health care and life insurance, defined benefit and defined contribution pension plans, and workers’ compensation and black lung benefits.

Postemployment Health Care and Life Insurance, Defined Benefit and Defined Contribution Pension Plans (“Pension and Postretirement”)

In the Predecessor period, certain of the Company’s employees participated in plans sponsored by Alpha. Alpha managed its pension and postretirement benefit plans on a combined basis, and claims data and liability information related to the Company are aggregated and combined, by plan, with those related to other Alpha businesses. As a result, no pension and postretirement assets or liabilities are included in the Balance Sheets and pension and postretirement expenses have been recorded on a multi-employer plan basis for the Predecessor period.

Alpha’s employee pension costs and obligations are developed from actuarial valuations. Inherent in these valuations are key assumptions, including discount rates, salary growth, long-term return on plan assets, retirement rates, mortality rates, and other factors. The selection of assumptions is based on historical trends and known economic and market conditions at the time of valuation, as well as independent studies of trends performed by actuaries. However, actual results may differ substantially

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from the estimates that were based on the critical assumptions. The Company used a December 31 measurement date for all of the plans. Actual results that differ from the Company's assumptions are accumulated and amortized over future periods and, therefore, generally affect its recognized expense in such future periods. While management believes that the assumptions used are appropriate, significant differences in actual experience or significant changes in assumptions would affect the Company's pension costs and obligations. The Company recognized \$19,476 and \$41,645 in expenses related to these allocations from Alpha during the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015, respectively, which are reflected in continuing and discontinued operations in the Combined Statements of Operations. These expenses are part of the Alpha allocations described in the basis of presentation portion of Note 1.

Workers' Compensation and Pneumoconiosis (Black lung)

In March 2010, the Patient Protection and Affordable Care Act ("PPACA") was enacted, potentially impacting the Company's costs of providing healthcare benefits to its employees and workers' compensation benefits related to occupational disease resulting from coal workers' pneumoconiosis (black lung disease). The PPACA has both short-term and long-term implications on benefit plan standards. Implementation of this legislation is expected to extend through 2020. In the short term, the Company's healthcare costs could increase due to, among other things, an increase in the maximum age for covered dependents to receive benefits, changes to benefits for occupational disease related illnesses, the elimination of lifetime dollar limits per covered individual and restrictions on annual dollar limits per covered individual. In the long term, the Company's healthcare costs could increase due to, among other things, an excise tax on "high cost" plans and the elimination of annual dollar limits per covered individual.

Beginning in 2022, the PPACA will impose a 40% excise tax on employers to the extent that the value of their healthcare plan coverage exceeds certain dollar thresholds. The Company anticipates that certain government agencies will provide additional regulations or interpretations concerning the application of this excise tax. The Company will continue to evaluate the impact of the PPACA, including any new regulations or interpretations.

The Company is required by federal and state statutes to provide benefits to employees for awards related to workers' compensation and black lung. Starting July 26, 2016, the Company's subsidiaries were insured with a high deductible plan for worker's compensation and black lung obligations by a third-party insurance provider, except for the Company's discontinued operations in Wyoming, where the Company participated in a compulsory state-run fund for workers' compensation. For the period prior to July 26, 2016, the Company's subsidiaries were insured for worker's compensation and black lung obligations by a third-party insurance provider with the exception of certain subsidiaries where the Company was a qualified self-insurer for workers' compensation and/or black lung related obligations, and with the exception of the discontinued operations in Wyoming where the Company participated in a compulsory state-run fund for workers' compensation. Prior to July 26, 2016, certain of the Company's subsidiaries were self-insured for black lung benefits and could fund benefit payments through an existing Section 501(c)(21) tax-exempt trust fund.

The Company accrues for workers' compensation liability by recognizing costs when it is probable that a covered liability has been incurred and the cost can be reasonably estimated. The Company's estimates of these costs are adjusted based upon actuarial studies and include a provision for incurred but not reported losses. Actual losses may differ from these estimates, which could increase or decrease the Company's costs. Additionally, the liability for black lung benefits is estimated by an independent actuary by prorating the accrual of actuarially projected benefits over the employee's applicable term of service. Adjustments to the probable ultimate liability for workers' compensation and black lung are made annually based on actuarial valuations.

At December 31, 2017, the Company had \$29,199 of workers' compensation liability, including a current portion of \$5,580 recorded in accrued expenses and other current liabilities, offset by \$6,038 of expected insurance receivable recorded in other non-current assets in the Consolidated Balance Sheets. At December 31, 2016, the Company had \$21,345 of workers' compensation liability, including a current portion of \$4,337 recorded in accrued expenses and other current liabilities, offset by \$1,597 of expected insurance receivable recorded in other non-current assets in the Consolidated Balance Sheets.

For the Company's subsidiaries that were fully insured for workers' compensation claims, the insurance premium expense for the year ended December 31, 2015 \$2,329.

Self-insured workers' compensation expense for the period from January 1, 2016 to July 25, 2016 and for the year ended December 31, 2015 was \$281 and \$698, respectively. Certain of the Company's subsidiaries' self-insured workers'

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compensation obligations were secured by letters of credit in the amount of \$4,190 for the period from January 1, 2016 to July 25, 2016 and as of December 31, 2015.

For the Company's subsidiaries that are insured with a high-deductible insurance plan for workers' compensation and black lung claims, the insurance premium expense for the year ended December 31, 2017, the period from July 26, 2016 to December 31, 2016, the period from January 1, 2016 to July 25, 2016 and for the year ended December 31, 2015 was \$4,948, \$2,099, \$1,037, and \$4,377, respectively. Workers' compensation expense for high-deductible insurance plans for the year ended December 31, 2017, the period from July 26, 2016 to December 31, 2016, the period from January 1, 2016 to July 25, 2016, and the year ended December 31, 2015 was \$9,366, \$2,085, \$7,282, and \$9,801, respectively.

The following tables set forth the accumulated black lung benefit obligations, fair value of plan assets and funded status for the year ended December 31, 2017, the period from July 26, 2016 to December 31, 2016, and the period from January 1, 2016 to July 25, 2016:

	Successor		Predecessor
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from January 1, 2016 to July 25, 2016
Change in benefit obligation:			
Accumulated benefit obligation at beginning of period	\$ 13,501	\$ 15,158	\$ 28,309
Service cost	651	300	353
Interest cost	633	225	703
Actuarial loss (gain)	3,661	(2,182)	4,113
Benefits paid	(76)	—	(838)
Curtailments	—	—	(696)
Accumulated benefit obligation at end of period	<u>\$ 18,370</u>	<u>\$ 13,501</u>	<u>\$ 31,944</u>
Change in fair value of plan assets:			
Fair value of plan assets at beginning of period	\$ —	\$ —	\$ 1,831
Actual return on plan assets	—	—	29
Benefits paid	(76)	—	(838)
Employer contributions	76	—	838
Fair value of plan assets at end of period ⁽¹⁾	<u>—</u>	<u>—</u>	<u>1,860</u>
Funded status	<u>\$ (18,370)</u>	<u>\$ (13,501)</u>	<u>\$ (30,084)</u>
Accrued benefit cost at end of period	<u>\$ (18,370)</u>	<u>\$ (13,501)</u>	<u>\$ (30,084)</u>
Summary of accrued benefit cost at end of period:			
Continuing operations	(18,241)	(13,386)	(27,324)
Discontinued operations	(129)	(115)	(2,760)
Total accrued benefit cost at end of period	<u>\$ (18,370)</u>	<u>\$ (13,501)</u>	<u>\$ (30,084)</u>

- ⁽¹⁾ Assets of the plan during the Predecessor period were held in a Section 501(c)(21) tax-exempt trust fund and consisted primarily of government debt securities. All assets were classified as Level 1 and valued based on quoted market prices.

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The table below presents amounts recognized in the Balance Sheets:

	Successor	
	December 31, 2017	December 31, 2016
Current liabilities	\$ 202	\$ —
Current liabilities - discontinued operations	—	—
Long-term liabilities	18,039	13,386
Long-term liabilities - discontinued operations	129	115
	<u>\$ 18,370</u>	<u>\$ 13,501</u>

Gross amounts related to the black lung obligations recognized in accumulated other comprehensive (income) loss consisted of the following as of December 31, 2017 and 2016:

	Successor	
	December 31, 2017	December 31, 2016
Net actuarial loss (gain)	\$ 1,628	\$ (2,182)
Accumulated other comprehensive loss (income)	<u>\$ 1,628</u>	<u>\$ (2,182)</u>

The following table details the components of the net periodic benefit cost for black lung obligations:

	Successor		Predecessor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from January 1, 2016 to July 25, 2016	Year Ended December 31, 2015
Service cost	\$ 651	\$ 300	\$ 353	\$ 394
Interest cost	633	225	703	865
Expected return on plan assets	—	—	(27)	(39)
Amortization of net actuarial (gain) loss	(149)	—	206	121
Amortization of prior service cost	—	—	824	181
Curtailment loss	—	—	2,712	—
Net periodic expense	<u>\$ 1,135</u>	<u>\$ 525</u>	<u>\$ 4,771</u>	<u>\$ 1,522</u>
Summary net periodic expense:				
Continuing operations	\$ 1,125	\$ 521	\$ 4,639	\$ 1,312
Discontinued operations	10	4	132	210
Total net periodic expense	<u>\$ 1,135</u>	<u>\$ 525</u>	<u>\$ 4,771</u>	<u>\$ 1,522</u>

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Other changes in the black lung plan assets and benefit obligations recognized in other comprehensive (income) loss are as follows:

	Successor		Predecessor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from January 1, 2016 to July 25, 2016	Year Ended December 31, 2015
Actuarial loss (gain)	\$ 3,661	\$ (2,182)	\$ 3,415	\$ (6,818)
Amortization of net actuarial gain (loss)	149	—	(206)	(121)
Prior service cost	—	—	—	8,854
Amortization of prior service cost	—	—	(824)	(181)
Curtailment loss (gain)	—	—	(2,712)	—
Total recognized in other comprehensive loss (income)	\$ 3,810	\$ (2,182)	\$ (327)	\$ 1,734
Total recognized in net periodic benefit cost and other comprehensive loss (income)	\$ 4,945	\$ (1,657)	\$ 4,444	\$ 3,256

The weighted-average assumptions related to black lung obligations used to determine the benefit obligation as of December 31, 2017 and 2016 were as follows:

	Successor	
	December 31, 2017	December 31, 2016
Discount rate	3.71%	4.27%
Federal black lung benefit trend rate	2.50%	2.50%
Black lung medical benefit trend rate	5.00%	5.00%
Black lung benefit expense inflation rate	2.50%	2.50%

The weighted-average assumptions related to black lung obligations used to determine net periodic benefit cost were as follows:

	Successor		Predecessor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from January 1, 2016 to July 25, 2016	Year Ended December 31, 2015
Discount rate for benefit obligations	4.29%	3.62%	3.90%	4.02%
Discount rate for service cost	4.32%	3.66%	N/A	N/A
Discount rate for interest cost	4.20%	3.49%	N/A	N/A
Federal black lung benefit trend rate	2.50%	2.50%	3.00%	3.00%
Black lung medical benefit trend rate	5.00%	5.00%	N/A	N/A
Black lung benefit expense inflation rate	2.50%	2.50%	N/A	N/A
Expected return on plan assets	N/A	N/A	2.50%	2.50%

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Estimated future cash payments related to black lung obligations for the next 10 years ending after December 31, 2017 are as follows:

Year ending December 31:	
2018	\$ 202
2019	13
2020	13
2021	13
2022	103
2023-2027	2,876
	<u>\$ 3,220</u>

Life Insurance Benefits

As part of the Alpha Restructuring and the Retiree Committee Settlement Agreement (see Note 14), the Company assumed the liability for life insurance benefits for certain disabled and non-union retired employees. Provisions are made for estimated benefits and adjustments to the probable ultimate liabilities are made annually based on an actuarial study prepared by independent actuaries. These obligations are included in the Consolidated Balance Sheet as accrued expenses and other current liabilities and other non-current liabilities. At December 31, 2017, the Company had \$12,640 of life insurance benefits liability related to obligations assumed in the acquisition.

The following tables set forth the accumulated life insurance benefit obligations, fair value of plan assets and funded status for the year ended December 31, 2017 and the period from July 26, 2016 to December 31, 2016:

	Successor	
	December 31, 2017	December 31, 2016
Change in benefit obligation:		
Accumulated benefit obligation at beginning of period	\$ 12,553	\$ 13,628
Interest cost	406	148
Actuarial loss (gain)	171	(1,086)
Benefits paid	(490)	(137)
Accumulated benefit obligation at end of period	<u>\$ 12,640</u>	<u>\$ 12,553</u>
Change in fair value of plan assets:		
Benefits paid ⁽¹⁾	(490)	(137)
Employer contributions ⁽¹⁾	490	137
Fair value of plan assets at end of period	\$ —	\$ —
Funded status	<u>(12,640)</u>	<u>(12,553)</u>
Accrued benefit cost at end of year	<u>\$ (12,640)</u>	<u>\$ (12,553)</u>
Amounts recognized in the consolidated balance sheets:		
Current liabilities	\$ 834	\$ 866
Long-term liabilities	11,806	11,687
	<u>\$ 12,640</u>	<u>\$ 12,553</u>

⁽¹⁾ Amount is comprised of premium payments to commercial life insurance provider.

Gross amounts related to the life insurance benefit obligations recognized in accumulated other comprehensive income consisted of the following as of December 31, 2017 and 2016:

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	Successor	
	December 31, 2017	December 31, 2016
Net actuarial gain	\$ (861)	\$ (1,086)
Accumulated other comprehensive income	\$ (861)	\$ (1,086)

The following table details the components of the net periodic benefit cost for life insurance benefit obligations:

	Successor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016
Interest cost	\$ 406	\$ 148
Amortization of net actuarial (gain) loss	(54)	—
Net periodic expense	\$ 352	\$ 148

Other changes in the life insurance plan assets and benefit obligations recognized in other comprehensive income (loss) are as follows:

	Successor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016
Actuarial loss (gain)	\$ 171	\$ (1,086)
Amortization of net actuarial gain (loss)	54	—
Total recognized in other comprehensive income (loss)	\$ 225	\$ (1,086)

The weighted-average assumptions related to life insurance benefit obligations used to determine the benefit obligation as of December 31, 2017 and 2016 was as follows:

	Successor	
	2017	2016
Discount rate	3.56%	4.03%

The weighted-average assumptions related to life insurance benefit obligations used to determine net periodic benefit cost were as follows:

	Successor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016
Discount rate for benefit obligations	4.03%	3.36%
Discount rate for interest cost	3.18%	2.71%

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Estimated future cash payments related to life insurance benefit obligations for the next 10 years ending after December 31, 2017 are as follows:

Year ending December 31:	
2018	\$ 834
2019	750
2020	698
2021	685
2022	676
2023-2027	3,259
	\$ 6,902

Defined Contribution and Profit Sharing Plans

The Company sponsors defined contribution plans to assist its eligible employees in providing for retirement. Generally, under the terms of these plans, employees make voluntary contributions through payroll deductions and the Company makes matching and/or discretionary contributions, as defined by each plan. The Company's total contributions to these plans for the year ended December 31, 2017 and the period from July 26, 2016 to December 31, 2016 was \$8,823 and \$1,080, respectively.

In the Predecessor period, certain of the Company's employees participated in defined contribution and profit sharing plans sponsored by Alpha. The amount of contributions allocated to the Company related to the plans was \$0 and \$2,467 for the period from January 1, 2016 to July 25, 2016 and for the year ended December 31, 2015, respectively, which is reflected within cost of coal sales and selling, general and administrative expenses in the Statement of Operations.

Self-Insured Medical Plan

The Company is self-insured for health insurance coverage for all of its active employees. Estimated liabilities for health and medical claims are recorded based on the Company's historical experience and include a component for incurred but not paid claims. During the year ended December 31, 2017 and the period from July 26, 2016 to December 31, 2016, the Company incurred total expenses of \$31,318 and \$13,927, respectively, which primarily includes claims processed and an estimate for claims incurred but not paid.

In Predecessor period, certain of the Company's employees participated in self-insured medical plans sponsored by Alpha. The amount of contributions allocated to the Company related to the plans was \$18,121 and \$36,446 for the period from January 1, 2016 to July 25, 2016 and for the year ended December 31, 2015, respectively, which is reflected within cost of coal sales and selling, general and administrative expenses in the Results of Operations.

(21) Stock-Based Compensation Awards

The Management Incentive Plan (the "Plan") is currently authorized for the issuance of awards of up to 1,201,202 shares of common stock, and as of December 31, 2017, there were no additional shares of common stock available for grant under the Plan.

During the year ended December 31, 2017, the Company granted 437,450 shares of restricted stock and 129,520 non-qualified stock options to certain of its officers and key employees under the Plan. The restricted stock shares and non-qualified stock options vest ratably over a three-year period or in the event of a change in control, will fully vest subject to the recipient's continued employment through such date.

The restricted stock awards granted on March 7, 2017 and July 13, 2017 have a grant date fair value of \$65.50 and \$68.00, respectively, based on the Company's stock price at the date of grant. The non-qualified stock options, granted on March 7, 2017, have an exercise price of \$66.13 with a 10-year expiration from the date of grant. The non-qualified stock options have a grant date fair value of \$37.44 based on a Black-Scholes pricing model. The Black-Scholes pricing model incorporates the assumptions as presented in the following table:

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	Successor
	Year Ended December 31, 2017
Stock price	\$ 65.50
Exercise price	\$ 66.13
Expected term ⁽¹⁾	6.00
Annual risk-free interest rate ⁽²⁾	2.18%
Annualized volatility ⁽³⁾	60.9%

⁽¹⁾ The expected term represents the period of time that awards granted are expected to be outstanding.

⁽²⁾ The annual risk-free interest rate is based on the U.S. Constant Maturity Curve with a term equal to the award's expected term on date of grant.

⁽³⁾ The annualized volatility is calculated by observing volatilities for comparable companies with adjustments for the Company's size and leverage.

Additionally, during the year ended December 31, 2017, the Company granted 5,504 time-based restricted stock units to its non-employee directors. These time-based units granted to the Company's non-employee directors will vest on the first to occur of (i) the stated anniversary of the date of grant, (ii) the director's separation from service (as defined in Section 409A of the Internal Revenue Code) due to the directors' death or disability, and (iii) a change in control, subject in each case to the director's continuous service with the Company through such date. Upon settlement of time-based stock units, the Company issues authorized and unissued shares of the Company's common stock to the recipient. The time-based restricted stock units granted on May 31, 2017, June 9, 2017, and July 13, 2017 have a grant date fair value of \$74.00, \$73.00, and \$68.00, respectively, based on the Company's stock price at the date of grant.

Additionally, during the year ended December 31, 2017, the Company awarded certain of its non-employee directors 6,700 time-based restricted stock units with a grant date fair value of \$62.55, based on the Company's stock price at the date of grant. As of the date of the awards the Company did not have sufficient authorized and unissued common shares to settle these awards and the awards will be settled with cash, unless shares become available for issuance under the Plan. Therefore, these awards are classified as a liability. The Company's liability for all outstanding liability awards totaled \$163 as of December 31, 2017. These time-based units will vest on the first to occur of (i) the stated anniversary of the date of grant, (ii) the director's separation from service (as defined in Section 409A of the Internal Revenue Code) due to the directors' death or disability, and (iii) a change in control, subject in each case to the director's continuous service with the Company through such date.

In connection with the Company's declaration and payment of the Special Dividend and pursuant to the terms of the Company's Management Incentive Plan, dividend equivalent payments of approximately \$7,949 in the aggregate (including the amounts payable with respect to each share underlying outstanding stock option awards and restricted stock unit awards and outstanding restricted common stock under the Management Incentive Plan) were paid to plan participants. The dividend equivalent payments were made on July 11, 2017, which accelerated stock-based compensation expense by \$5,113 and reduced the Company's additional paid-in capital by \$7,949.

On July 26, 2016, the Company granted certain of its officers and key employees 309,310 shares of common stock, 145,648 stock options with an exercise price of \$2.50 per share, and 145,648 stock options with an exercise price equal to the 30-day volume-weighted average price for the period beginning July 27, 2016 and ending thirty days thereafter, but in any case not less than \$2.50 per share and not more than \$5.00 per share. The units granted to the officers and key employees were fully vested on the grant date.

An iterative variant approach of the option pricing method was utilized in estimating the fair value of the restricted shares and stock options granted on July 26, 2016, due to the lack of an active market price at that date. The Company solved iteratively for the common share price such that the total fair value across all the outstanding equity units equaled the Company's equity value as of the Acquisition Date in order to account for the dilutive impact of the options and warrants on common stock.

Using the value of common stock, the Company estimated the fair value of the stock options using the Black Scholes option pricing model. In estimating the fair value of the restricted shares, the Company applied the selected discount for lack of

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marketability to the common stock value to account for trading restrictions and different rights. Significant assumptions are as follows:

Total equity value	\$44,644
Strike price	\$2.50 per share and \$5.00 per share for the fixed strike prices and the VWAP options, respectively
Expected life	The expected life was estimated by using the mid-point between the earliest time to exercise and the contractual expiration date
Volatility	85.0%
Cost of equity	40.0%
Risk-free rate	Estimated based on the U.S. Constant Maturity Treasury yield curve as of the Acquisition Date and linear interpolation to match for the respective term
Discount for lack of marketability	41.0% using the protective put method

Additionally, during the period from July 26, 2016 to December 31, 2016, the Company granted 28,122 time-based restricted stock units to its non-employee directors based on the Company's stock price at the date of grant, all of which remained outstanding as of December 31, 2017.

At December 31, 2017, the Company had three types of stock-based awards outstanding: time-based restricted stock shares, time-based restricted share units, and stock options. Stock-based compensation expense totaled \$20,372 and \$1,424 for the year ended December 31, 2017 and the period from July 26, 2016 to December 31, 2016, respectively. For the year ended December 31, 2017 and the period from July 26, 2016 to December 31, 2016, approximately 94% and 91%, respectively, of stock-based compensation expense was reported as selling, general and administrative expenses and the remainder was recorded as cost of coal sales.

The Company is authorized to repurchase common shares from employees (upon the election by the employee) to satisfy the employees' statutory tax withholdings upon the vesting of stock grants. Shares that are repurchased to satisfy the employees' statutory tax withholdings are recorded in treasury stock at cost. The Company did not repurchase any common shares from employees to satisfy the employees' statutory tax withholdings upon vesting of stock grants during the year ended December 31, 2017 or the period from July 26, 2016 to December 31, 2016. On September 15, 2017, the Company repurchased 309,310 shares of its common stock issued pursuant to awards under the Plan for a total purchase amount of \$17,445, or \$56.40 per share.

Restricted Stock Shares

Restricted stock shares activity for the year ended December 31, 2017 and the period from July 26, 2016 to December 31, 2016 is summarized in the following table:

	Number of Shares	Weighted- Average Grant Date Fair Value
Non-vested shares outstanding at July 26, 2016	—	\$ —
Granted	309,310	\$ 2.50
Vested	(309,310)	\$ 2.50
Forfeited or Expired	—	\$ —
Non-vested shares outstanding at December 31, 2016	—	\$ —
Granted	437,450	\$ 65.55
Vested	—	\$ —
Forfeited or Expired	—	\$ —
Non-vested shares outstanding at December 31, 2017	<u>437,450</u>	<u>\$ 65.55</u>

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As of December 31, 2017, there was \$12,097 of unrecognized compensation cost related to non-vested time-based share units which is expected to be recognized as expense over a weighted-average period of 2.18 years.

Restricted Share Units

Time-Based Share Units

Time-based share unit activity for the year ended December 31, 2017 and the period from July 26, 2016 to December 31, 2016 is summarized in the following table:

	Number of Shares	Weighted- Average Grant Date Fair Value
Non-vested shares outstanding at July 26, 2016	—	\$ —
Granted	28,122	\$ 16.00
Vested	—	\$ —
Forfeited or Expired	—	\$ —
Non-vested shares outstanding at December 31, 2016	28,122	\$ 16.00
Granted	5,504	\$ 73.37
Vested	(28,122)	\$ 16.00
Forfeited or Expired	—	\$ —
Non-vested shares outstanding at December 31, 2017	5,504	\$ 73.37

As of December 31, 2017, there was \$150 of unrecognized compensation cost related to non-vested time-based share units which is expected to be recognized as expense over a weighted-average period of 0.42 years.

Time-based cash share unit activity for the year ended December 31, 2017 is summarized in the following table:

	Number of Shares	Weighted- Average Fair Value ⁽¹⁾
Non-vested shares outstanding at December 31, 2016	—	\$ —
Granted	6,700	\$ 62.55
Vested	—	\$ —
Forfeited or Expired	—	\$ —
Non-vested shares outstanding at December 31, 2017	6,700	\$ 59.38

⁽¹⁾ The time-based cash units are accounted for as liability awards. Therefore, the weighted-average fair value is calculated using the Company's stock price at the respective granted date.

As of December 31, 2017, there was \$235 of unrecognized compensation cost related to non-vested time-based share units which is expected to be recognized as expense over a weighted-average period of 0.49 years.

Stock Options

Fixed Price Stock Options

On July 26, 2016, the Company granted certain of its officers and key employees 145,648 stock options with an exercise price of \$2.50 per share and a grant date fair value of \$1.67. The units granted included 110,573 incentive stock option shares and 35,075 non-qualified stock option shares. The units granted to the officers and key employees were fully vested on the grant date.

Fixed price stock option activity for the year ended December 31, 2017 and the period from July 26, 2016 to December 31, 2016 is summarized in the following table:

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	Number of Shares	Weighted- Average Exercise Price	Weighted- Average Remaining Contractual Term (Years)
Outstanding at July 26, 2016	—	\$ —	
Granted	145,648	\$ 2.50	10.00
Exercised	—	\$ —	
Forfeited or Expired	—	\$ —	
Outstanding at December 31, 2016	145,648	\$ 2.50	9.57
Exercisable at December 31, 2016	145,648	\$ 2.50	9.57
Granted	—	\$ —	—
Exercised	—	\$ —	—
Forfeited or Expired	—	\$ —	—
Outstanding at December 31, 2017	145,648	\$ 2.50	8.57
Exercisable at December 31, 2017	145,648	\$ 2.50	8.57

As of December 31, 2017, the options outstanding and exercisable had an aggregate intrinsic value of \$56.88 calculated as the difference between the exercise price and the Company's stock price at December 31, 2017. As of December 31, 2017, there was no unrecognized compensation cost related to the fixed price stock options.

30-Day Volume-Weighted Average Price ("VWAP") Stock Options

During the year ended December 31, 2017, the Company granted 129,520 non-qualified stock options to certain of its officers and key employees under the Plan. The non-qualified stock options vest ratably over a three-year period or in the event of a change in control, will fully vest subject to the recipient's continued employment through such date. The non-qualified stock options, granted on March 7, 2017, have an exercise price of \$66.13 with a 10-year expiration from the date of grant. The non-qualified stock options have a grant date fair value of \$37.44 based on a Black-Scholes pricing model.

On July 26, 2016, the Company granted certain of its officers and key employees 145,648 stock options with an exercise price equal to the 30-day VWAP price for the period beginning July 27, 2016 and ending thirty days thereafter, but in any case not less than \$2.50 per share and not more than \$5.00 per share and a grant date fair value of \$1.51. The units granted included 70,573 incentive stock option shares and 75,075 non-qualified stock option shares. The units granted to the officers and key employees were fully vested on the grant date.

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30-day VWAP stock option activity for the year ended December 31, 2017 and the period from July 26, 2016 to December 31, 2016 is summarized in the following table:

	Number of Shares	Weighted- Average Exercise Price	Weighted- Average Remaining Contractual Term (Years)
Outstanding at July 26, 2016	—	\$ —	
Granted	145,648	\$ 5.00	10.00
Exercised	—	\$ —	
Forfeited or Expired	—	\$ —	
Outstanding at December 31, 2016	145,648	\$ 5.00	9.57
Exercisable at December 31, 2016	145,648	\$ 5.00	9.57
Granted	129,520	\$ 66.13	9.18
Exercised	—	\$ —	
Forfeited or Expired	—	\$ —	
Outstanding at December 31, 2017	275,168	\$ 33.77	8.86
Exercisable at December 31, 2017	275,168	\$ 33.77	8.86

As of December 31, 2017, the options outstanding and exercisable that were granted July 26, 2016 and March 7, 2017 had an aggregate intrinsic value of \$54.38 and (\$6.75), respectively, calculated as the difference between the exercise price and the Company's stock price at December 31, 2017. As of December 31, 2017, there was \$1,733 of unrecognized compensation cost related to the 30-day VWAP stock options which is expected to be recognized as expense over a weighted-average period of 2.18 years.

Alpha

In the Predecessor period, Alpha sponsored the following employee stock plans in which certain Company employees participated:

On May 22, 2014, Alpha's stockholders approved the Amended and Restated 2012 Long-Term Incentive Plan (the "2012 LTIP"). The principal purpose of the 2012 LTIP was to advance the interests of Alpha and its stockholders by providing incentives to certain eligible persons who contribute significantly to the strategic and long-term performance objectives and growth of Alpha. On May 22, 2014, Alpha's stockholders approved an additional 3,100,000 shares of common stock for issuance under the 2012 LTIP Plan. The 2012 LTIP was authorized for the issuance of awards of up to 13,100,000 shares of common stock, and as of July 25, 2016, 7,218,657 shares of common stock were available for grant under the plan. The 2012 LTIP provided for a variety of awards, including options, stock appreciation rights, restricted stock, restricted share units (both time-based and performance-based), and any other type of award deemed by the compensation committee in its discretion to be consistent with the purpose of the 2012 LTIP. Prior to the approval of the 2012 LTIP, Alpha issued awards under the 2010 Long Term Incentive Plan (the "2010 LTIP") and the Alpha Appalachia 2006 Stock and Incentive Compensation Plan (the "2006 SICP"). Upon approval of the 2012 LTIP, no additional awards were issued under the 2010 LTIP or the 2006 SICP. The 2012 LTIP, the 2010 LTIP and the 2006 SICP are collectively referred to as the "Stock Plans." Alpha also had stock-based awards outstanding under the Alpha Natural Resources, Inc. 2005 Long-Term Incentive Plan (the "2005 LTIP") and the Foundation Amended and Restated 2004 Stock Incentive Plan (the "2004 SIP").

Upon vesting of restricted share units (both time-based and performance-based) or the exercise of options, shares were issued from the 2012 LTIP, the 2010 LTIP, the 2006 SICP, the 2005 LTIP, and the 2004 SIP, respective of which plan the awards were granted.

Alpha was authorized to repurchase common shares from employees (upon the election by the employee) to satisfy the employees' minimum statutory tax withholdings upon the vesting of restricted stock and restricted share units (both time-based and performance-based). Shares that were repurchased to satisfy the employees' minimum statutory tax withholdings were recorded in treasury stock at cost. During the period from January 1, 2016 to July 25, 2016 and the year ended December 31,

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2015, Alpha repurchased 0 and 442,035, respectively, of common shares from employees at an average price paid per share of \$0 and \$0.95, respectively.

At July 25, 2016, Alpha had three types of stock-based awards outstanding: restricted share units (both time-based and performance-based), restricted cash units (both time-based and performance-based), and stock options. As a result of Alpha's bankruptcy filing, Alpha was no longer settling pre-petition awards. Stock-based compensation expense recorded by the Company totaled \$465 and \$1,817, for the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015, respectively. For the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015, approximately 78% and 54%, respectively, of stock-based compensation expense was reported as selling, general and administrative expenses and the remainder was recorded as cost of coal sales. The total excess tax benefit recognized for stock-based compensation was \$0 for the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015.

Restricted Share Units

Time-Based Share Units

During the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015, Alpha granted time-based share units under the 2012 LTIP to certain executive officers, directors and key employees in the amount of 0 and 3,760,612, respectively, of which 2,781,383 remained outstanding as of July 25, 2016. Additionally, during the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015, Alpha also awarded certain of its executives and key employees time-based cash units in the amount of 0 and 9,942,699, respectively, of which 8,242,698 remained outstanding as of July 25, 2016. Time-based cash units were accounted for as liability awards and subject to variable accounting. The grant date fair value of the time-based share units were based on the Company's stock price at the respective date.

Alpha's time-based share unit activity for the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015 is summarized in the following table:

	Number of Shares	Weighted-Average Grant Date Fair Value
Alpha		
Non-vested shares outstanding at December 31, 2014	3,768,433	\$ 7.32
Granted	3,760,612	\$ 1.25
Earned	(1,390,009)	\$ 7.91
Forfeited or Expired	(1,416,837)	\$ 4.15
Non-vested shares outstanding at December 31, 2015	4,722,199	\$ 3.24
Granted	—	\$ —
Earned	—	\$ —
Forfeited or Expired	(511,048)	\$ 2.13
Non-vested shares outstanding at July 25, 2016	4,211,151	\$ 3.37

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Alpha's time-based cash unit activity for the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015 is summarized in the following table:

	Number of Shares	Weighted-Average Grant Date Fair Value ⁽¹⁾
Alpha		
Non-vested shares outstanding at December 31, 2014	1,919,680	\$ 1.67
Granted	9,942,699	\$ 0.95
Earned	(454,626)	\$ 0.89
Forfeited or Expired	(1,457,293)	\$ 0.11
Non-vested shares outstanding at December 31, 2015	9,950,460	\$ 0.01
Granted	—	\$ —
Earned	—	\$ —
Forfeited or Expired	(550,653)	\$ 1.46
Non-vested shares outstanding at July 25, 2016	9,399,807	\$ 1.35

- ⁽¹⁾ The time-based cash units were accounted for as liability awards and subject to variable accounting. Therefore, the weighted-average fair value was calculated using Alpha's stock price at the respective granted date, vested date and forfeited/expired date.

The fair value of time-based share unit awards that vested in the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015 was \$0 and \$1,687, respectively. As of July 25, 2016, Alpha had \$2,184 of unrecognized compensation cost related to non-vested time-based share units which was expected to be recognized as expense over a weighted-average period of 1.33 years. Additionally, as of July 25, 2016, Alpha had \$36 of unrecognized compensation cost related to non-vested time-based cash units which was expected to be recognized as expense over a weighted-average period of 1.31 years. The unrecognized compensation cost, related to non-vested time-based cash units which are accounted for as liability awards and subject to variable accounting, was calculated using Alpha's July 25, 2016 stock price.

Performance-Based Share Units

Performance-based share units awarded to executive officers and key employees generally cliff vested after three years, subject to continued employment (with accelerated vesting upon a change of control). Performance-based share units granted represented the number of shares of common stock to be awarded based on the achievement of targeted performance levels related to pre-established operating income goals, strategic goals, total stockholder return goals, and cash flow from operations goals over a three year period and could range from 0 percent to 200 percent of the targeted amount. The grant date fair value of the awards with performance conditions was based on the closing price of Alpha's common stock on the established grant date and was amortized over the performance period. The grant date fair value of the awards with market conditions was based upon a Monte Carlo simulation and was amortized over the performance period. For awards with performance conditions, Alpha reassessed at each reporting date whether achievement of each of the performance conditions was probable, as well as estimated forfeitures, and adjusted the accruals of compensation expense as appropriate. For awards with market conditions, Alpha recognized expense over the applicable service periods and did not adjust expense based on the actual achievement or nonachievement of the market condition because the probability of achievement was considered in the grant date fair value of the award. Upon vesting of performance-based share units, Alpha issued authorized and unissued shares of Alpha's common stock to the recipient. During the period from January 1, 2016 to July 25, 2016 and year ended December 31, 2015, Alpha awarded 0 total stockholder return performance-based share units.

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Alpha's performance-based share unit activity is summarized in the following table:

	Number of Shares ⁽¹⁾	Weighted- Average Grant Date Fair Value
Alpha		
Non-vested shares outstanding at December 31, 2014	7,818,631	\$ 8.78
Granted	—	\$ —
Earned	—	\$ —
Forfeited or Expired	(3,422,914)	\$ 11.84
Non-vested shares outstanding at December 31, 2015	4,395,717	\$ 6.39
Granted	—	\$ —
Earned	—	\$ —
Forfeited or Expired	(1,363,126)	\$ 7.63
Non-vested shares outstanding at July 25, 2016	3,032,591	\$ 5.83

- ⁽¹⁾ Shares in the table above were based on the maximum shares that can be awarded based on the achievement of the performance criteria.

Alpha's performance-based cash unit activity is summarized in the following table:

	Number of Shares ⁽¹⁾	Weighted-Average Grant Date Fair Value ⁽²⁾
Alpha		
Non-vested shares outstanding at December 31, 2014	2,744,280	\$ 1.67
Granted	—	\$ —
Earned	—	\$ —
Forfeited or Expired	(2,744,280)	\$ 1.14
Non-vested shares outstanding at December 31, 2015	—	\$ —
Granted	—	\$ —
Earned	—	\$ —
Forfeited or Expired	—	\$ —
Non-vested shares outstanding at July 25, 2016	—	\$ —

- ⁽¹⁾ Shares in the table above were based on the maximum shares that can be awarded based on the achievement of the performance criteria.
- ⁽²⁾ The performance-based cash units were accounted for as liability awards and subject to variable accounting. Therefore, the weighted-average fair value was calculated using Alpha's stock price at the respective granted date, vested date, forfeited/expired date, and outstanding dates.

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Non-Qualified Stock Options

Alpha's stock option activity for the period from January 1, 2016 to July 25, 2016 and year ended December 31, 2015 is summarized in the following table:

Alpha	Number of Shares	Weighted- Average Exercise Price	Weighted-Average Remaining Contractual Term (Years)
Outstanding at December 31, 2014	586,722	\$ 25.48	3.41
Exercisable at December 31, 2014	586,722	\$ 25.48	3.41
Exercised	—	\$ —	
Forfeited or Expired	(227,695)	\$ 24.39	
Outstanding at December 31, 2015	359,027	\$ 26.20	3.50
Exercisable at December 31, 2015	359,027	\$ 26.20	3.50
Exercised	—	\$ —	
Forfeited or Expired	(58,350)	\$ 22.87	
Outstanding at July 25, 2016	300,677	\$ 26.84	2.89
Exercisable at July 25, 2016	300,677	\$ 26.84	2.89

As of July 25, 2016, the options outstanding and exercisable had an aggregate intrinsic value of \$0. Cash received from the exercise of stock options during the period from January 1, 2016 to July 25, 2016 and year ended December 31, 2015 was \$0. As of July 25, 2016, there was no unrecognized compensation cost related to stock options.

The total intrinsic value of options exercised during the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015 was \$0. Alpha historically used authorized and unissued shares to satisfy share award exercises.

A summary of Alpha's options outstanding and exercisable at July 25, 2016 follows:

Alpha	Options Outstanding and Exercisable		
Exercise Price	Shares	Weighted-Average Remaining Life (yrs)	Weighted-Average Exercise Price
\$ 11.15 - \$20.44	110,413	2.03	\$ 16.59
\$ 23.93 - \$32.91	112,704	2.79	\$ 27.08
\$ 40.98 - \$48.26	77,560	4.27	\$ 41.07
	<u>300,677</u>	2.89	\$ 26.84

(22) Reorganization Items

In connection with Alpha's restructuring during the Predecessor period, certain prepetition liabilities were reclassified as liabilities subject to compromise. Liabilities subject to compromise included estimated or liquidated amounts for certain obligations arising prior to the Petition Date, including, among others, (i) contractual obligations, (ii) debt-related obligations and (iii) litigation and other contingent claims, some of which were recorded in accounts payable.

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Reorganization items consisted of the following:

	Predecessor	
	Period from January 1, 2016 to July 25, 2016 ⁽²⁾	Year Ended December 31, 2015 ⁽²⁾
Professional fees ⁽¹⁾	\$ (28,652)	\$ (14,598)
Provision for rejected contracts and leases	(3,524)	(2,326)
Trade accounts payable and other	1,103	790
Reorganization items, net	<u>\$ (31,073)</u>	<u>\$ (16,134)</u>

⁽¹⁾ Net cash paid for reorganization items for the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015 totaled approximately \$27,236 and \$8,408, respectively, related to professional fees.

⁽²⁾ Includes the Company's PRB operations being reported as discontinued operations in the Consolidated Financial Statements.

(23) Related Party Transactions

Successor

There were no material related party transactions for the year ended December 31, 2017.

Predecessor

As discussed in Note 1, the Predecessor Financial Statements include direct costs of the Company incurred by Alpha on the Company's behalf and an allocation of general corporate expenses of Alpha which were not historically allocated to the Company for certain support functions that were provided on a centralized basis within Alpha and not recorded at the business unit level, such as expenses related to engineering, finance, human resources, information technology, sales and logistics, and legal, among others, and that would have been incurred had the Company been a separate, stand-alone entity. All significant affiliate transactions between Contura and Alpha have been included in these Financial Statements and are considered to be effectively settled for cash at the time the transaction is recorded. The total net effect of the settlement of these affiliate transactions represents capital contributions from or distributions to Alpha and therefore is reflected in the accompanying Statements of Cash Flows as a financing activity.

During the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015, the Company was allocated \$57,217 and \$92,009, respectively, of indirect general corporate expenses incurred by Alpha, which are included within continuing and discontinued operations in the Combined Statements of Operations. These amounts exclude allocated reorganization items, which are discussed in Note 22.

(24) Commitments and Contingencies

(a) General

Estimated losses from loss contingencies are accrued by a charge to income when information available indicates that it is probable that an asset has been impaired or a liability has been incurred and the amount of the loss can be reasonably estimated.

If a loss contingency is not probable or reasonably estimable, disclosure of the loss contingency is made in the Financial Statements when it is at least reasonably possible that a loss may be incurred and that the loss could be material.

(b) Commitments and Contingencies

Commitments

The Company leases coal mining and other equipment under long-term capital and operating leases with varying terms. In addition, the Company leases mineral interests and surface rights from land owners under various terms and royalty rates.

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As of December 31, 2017, aggregate future minimum non-cancelable lease payments under operating leases and minimum royalties under coal leases were as follows:

	Operating Leases	Coal Royalties
Year Ending December 31:		
2018	\$ 893	\$ 1,304
2019	783	1,131
2020	747	1,054
2021	737	1,064
2022	182	647
Thereafter	326	859
Total	<u>\$ 3,668</u>	<u>\$ 6,059</u>

Net rent expense under operating leases was \$1,838 and \$582 and coal royalty expense was \$21,707 and \$7,869 for the year ended December 31, 2017 and the period from July 26, 2016 to December 31, 2016, respectively. Net rent expense under operating leases was \$659 and \$2,239 and coal royalty expense was \$5,807 and \$13,361 for the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015, respectively.

Other Commitments

The Company has obligations under certain coal purchase agreements that contain minimum quantities to be purchased in 2018, 2019, and 2020 totaling \$311,424, \$13,612, and \$2,329, respectively. The Company has obligations under certain coal transportation agreements that contain minimum quantities to be shipped in 2018, 2019, and 2020 totaling \$3,042, \$3,072, and \$3,102, respectively. The Company also has obligations under certain equipment purchase agreements that contain minimum quantities to be purchased in 2018 totaling \$22,983.

Contingencies

Extensive regulation of the impacts of mining on the environment and of maintaining workplace safety has had and is expected to continue to have a significant effect on the Company's costs of production and results of operations. Further regulations, legislation or litigation in these areas may also cause the Company's sales or profitability to decline by increasing costs or by hindering the Company's ability to continue mining at existing operations or to permit new operations.

During the normal course of business, contract-related matters arise between the Company and its customers. When a loss related to such matters is considered probable and can reasonably be estimated, the Company records a liability.

Per terms of the Back-to-Back Coal Supply Agreements, the Company is required to purchase and sell coal in 2018, 2019, 2020 and 2021 totaling \$224,813, \$227,655, \$176,786 and \$5,460, respectively. For the period ended December 31, 2017, the Company purchased and sold 2,000 tons, totaling \$21,707, under the Back-to-Back Coal Supply Agreements. See Note 4 for further details on the Back-to-Back Coal Supply Agreements.

As a result of certain tax law changes made in December 2017, the Company is entitled to monetize alternative minimum tax credits in aggregate of \$78,744 over tax years 2018 to 2021 (the "AMT Credits"), and the Company has recorded a deferred tax asset of \$78,744 on our financial statements. ANR has asserted that, under the terms of the Asset Purchase Agreement that it entered into with us on July 26, 2016, it is entitled to the value of the AMT Credits, although it has not made a formal claim in this regard. The Company disagrees with this assertion and intends to dispute any such claim.

(c) Guarantees and Financial Instruments with Off-Balance Sheet Risk

In the normal course of business, the Company is a party to certain guarantees and financial instruments with off-balance sheet risk, such as bank letters of credit, performance or surety bonds, and other guarantees and indemnities related to the obligations of affiliated entities which are not reflected in the Company's Balance Sheet. As of December 31, 2017, the Company had outstanding surety bonds with a total face amount of \$403,391 to secure various obligations and commitments,

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including \$237,390 related to the PRB. To secure the Company's obligations under reclamation-related bonds, the Company is required to provide cash collateral. Once the permits associated with the PRB Transaction have been transferred, the Company estimates approximately \$24,000 comprised of short-term restricted cash and short-term deposits will be returned to operating cash. The permit transfer process is estimated to be completed in the first half of 2018.

As of December 31, 2017, the Company had real property collateralizing \$26,749 of reclamation bonds.

Letters of Credit

As of December 31, 2017, the Company had \$11,300 letters of credit outstanding under the Asset-Based Revolving Credit Agreement.

(d) Legal Proceedings

The Company could become party to legal proceedings from time to time. These proceedings, as well as governmental examinations, could involve various business units and a variety of claims including, but not limited to, contract disputes, personal injury claims, property damage claims (including those resulting from blasting, trucking and flooding), environmental and safety issues, and employment matters. While some legal matters may specify the damages claimed by the plaintiffs, many seek an unquantified amount of damages. Even when the amount of damages claimed against the Company or its subsidiaries is stated, (i) the claimed amount may be exaggerated or unsupported; (ii) the claim may be based on a novel legal theory or involve a large number of parties; (iii) there may be uncertainty as to the likelihood of a class being certified or the ultimate size of the class; (iv) there may be uncertainty as to the outcome of pending appeals or motions; and/or (v) there may be significant factual issues to be resolved. As a result, if such legal matters arise in the future the Company may be unable to estimate a range of possible loss for matters that have not yet progressed sufficiently through discovery and development of important factual information and legal issues. The Company records accruals based on an estimate of the ultimate outcome of these matters, but these estimates can be difficult to determine and involve significant judgment.

(25) Concentration of Credit Risk and Major Customers

The Company markets its coal principally to electric utilities in the United States and international and domestic steel producers. Credit is extended based on an evaluation of the customer's financial condition and collateral is generally not required. Credit losses are provided for in the Financial Statements and were minimal for the year ended December 31, 2017, the period from July 26, 2016 to December 31, 2016, the period from January 1, 2016 to July 25, 2016, and the year ended December 31, 2015.

Top customers as a percentage of total revenue and steam and met coal as % of coal sales volume were as follows:

	Successor		Predecessor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from January 1, 2016 to July 25, 2016	Year Ended December 31, 2015
Total revenue	\$ 1,649,969	\$ 506,296	\$ 411,111	\$ 926,021
Top customer as % of total revenue ⁽¹⁾	15%	15%	7%	12%
Top 10 customers as % of total revenue ⁽²⁾	65%	67%	54%	63%
Steam coal as % of coal sales volume	43%	47%	63%	60%
Met coal as % of coal sales volume	57%	53%	37%	40%

⁽¹⁾ Revenues from the top customer are included in the CAPP and Trading and Logistics segments for the year ended December 31, 2017, the CAPP, NAPP, and Trading and Logistics segments for the period from July 26, 2016 to December 31, 2016, and the NAPP segment for the period from January 1, 2016 to July 25, 2016 and for the year ended December 31, 2015.

⁽²⁾ In addition to the top customer, the Company has another customer with total revenues of 11% of total revenues included in the CAPP, NAPP, and Trading and Logistics segments for the year ended December 31, 2017, and another customer with total revenues of 11% of total revenues included in the CAPP Segment for the year ended December 31, 2015.

Additionally, two of the Company's customers had outstanding balances each in excess of 10% of the total accounts receivable balance as of December 31, 2017, and three of the Company's customers had outstanding balances each in excess of

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10% of the total accounts receivable balance as of December 31, 2016.

The Company sold 4,998 million tons of coal purchased from third parties, excluding tons sold related to the Back-to-Back Coal Supply Agreements, for the year ended December 31, 2017, representing approximately 32% of total coal sales volume during such period. Additionally, the Company purchases a substantial portion of this coal from one source.

(26) Segment Information

The Company extracts, processes and markets steam and met coal from surface and deep mines for sale to electric utilities, steel and coke producers, and industrial customers. The Company operates only in the United States with mines in Northern and Central Appalachia. The Company has three reportable segments: CAPP, NAPP and Trading and Logistics. CAPP consists of seven active mines and two preparation plants in Virginia, one active mine and one preparation plant in West Virginia, as well as expenses associated with certain closed mines. NAPP consists of one active mine in Pennsylvania and one preparation plant, as well as expenses associated with one closed mine. The Trading and Logistics segment primarily engages in coal trading activities and coal terminal services.

In addition to the three reportable segments, the All Other category includes general corporate overhead and corporate assets and liabilities, the elimination of intersegment activity, and the Company's discontinued operations.

The operating results of these reportable segments are regularly reviewed by the Chief Operating Decision Maker ("CODM"), who is the Chief Executive Officer of the Company.

Segment operating results and capital expenditures for the year ended December 31, 2017 were as follows:

	Successor				
	Year Ended December 31, 2017				
	CAPP	NAPP	Trading and Logistics	All Other	Consolidated
Total revenues	\$ 460,023	\$ 306,563	\$ 882,548	\$ 835	\$ 1,649,969
Depreciation, depletion, and amortization	\$ 18,941	\$ 15,087	\$ —	\$ 882	\$ 34,910
Amortization of acquired intangibles, net	\$ —	\$ —	\$ 59,007	\$ —	\$ 59,007
Adjusted EBITDA ⁽¹⁾	\$ 175,018	\$ 54,433	\$ 88,646	\$ (59,840)	\$ 258,257
Capital expenditures	\$ 20,494	\$ 51,007	\$ —	\$ 1,200	\$ 72,701

⁽¹⁾ The Company's Adjusted EBITDA calculation has been modified to add back accretion expense, a non-cash expense, to align with industry peer group methodology.

Segment operating results and capital expenditures for the period from July 26, 2016 to December 31, 2016 were as follows:

	Successor				
	Period from July 26, 2016 to December 31, 2016				
	CAPP	NAPP	Trading and Logistics	All Other	Combined
Total revenues	\$ 138,973	\$ 132,363	\$ 234,704	\$ 256	\$ 506,296
Depreciation, depletion, and amortization	\$ 6,442	\$ (772)	\$ —	\$ 303	\$ 5,973
Amortization of acquired intangibles, net	\$ —	\$ —	\$ 61,281	\$ —	\$ 61,281
Adjusted EBITDA ⁽¹⁾	\$ 46,405	\$ 28,198	\$ 39,228	\$ (19,429)	\$ 94,402
Capital expenditures	\$ 4,626	\$ 18,136	\$ —	\$ 612	\$ 23,374

⁽¹⁾ The Company's Adjusted EBITDA calculation has been modified to add back accretion expense, a non-cash expense, to align with industry peer group methodology.

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Segment operating results and capital expenditures for the period from January 1, 2016 to July 25, 2016 were as follows:

	Predecessor				
	Period from January 1, 2016 to July 25, 2016				
	CAPP	NAPP	Trading and Logistics	All Other	Combined
Total revenues	\$ 169,411	\$ 229,323	\$ 12,377	\$ —	\$ 411,111
Depreciation, depletion, and amortization	\$ 15,389	\$ 49,852	\$ 3	\$ 832	\$ 66,076
Amortization of acquired intangibles, net	\$ —	\$ 11,567	\$ —	\$ —	\$ 11,567
Adjusted EBITDA ⁽¹⁾	\$ 591	\$ 35,454	\$ (1,180)	\$ (29,571)	\$ 5,294
Capital expenditures	\$ 894	\$ 14,468	\$ —	\$ —	\$ 15,362

⁽¹⁾ The Company's Adjusted EBITDA calculation has been modified to add back accretion expense, a non-cash expense, to align with industry peer group methodology.

Segment operating results and capital expenditures for the year ended December 31, 2015 were as follows:

	Predecessor				
	Year Ended December 31, 2015				
	CAPP	NAPP	Trading and Logistics	All Other	Combined
Total revenues	\$ 367,662	\$ 492,005	\$ 66,354	\$ —	\$ 926,021
Depreciation, depletion, and amortization	\$ 42,869	\$ 104,479	\$ 13	\$ 1,836	\$ 149,197
Amortization of acquired intangibles, net	\$ 350	\$ 1,873	\$ —	\$ —	\$ 2,223
Adjusted EBITDA ⁽¹⁾	\$ 2,094	\$ 89,531	\$ 1,265	\$ (44,159)	\$ 48,731
Capital expenditures	\$ 20,826	\$ 23,868	\$ —	\$ —	\$ 44,694

⁽¹⁾ The Company's Adjusted EBITDA calculation has been modified to add back accretion expense, a non-cash expense, to align with industry peer group methodology.

The following table presents a reconciliation of net income (loss) to adjusted EBITDA for the year ended December 31, 2017:

	Successor				
	Year Ended December 31, 2017				
	CAPP	NAPP	Trading and Logistics	All Other	Consolidated
Net income (loss) from continuing operations	\$ 150,304	\$ 36,604	\$ 29,639	\$ (42,812)	\$ 173,735
Interest expense	(90)	(1,505)	—	37,572	35,977
Interest income	(22)	(1)	—	(187)	(210)
Income tax benefit	—	—	—	(67,979)	(67,979)
Depreciation, depletion and amortization	18,941	15,087	—	882	34,910
Mark-to-market adjustment - acquisition-related obligations	—	—	—	3,221	3,221
Gain on settlement of acquisition-related obligations	—	—	—	(38,886)	(38,886)
Secondary offering costs	—	—	—	4,491	4,491
Loss on early extinguishment of debt	—	—	—	38,701	38,701
Bargain purchase gain	—	—	—	(1,011)	(1,011)
Accretion expense	5,770	4,164	—	—	9,934
Amortization of acquired intangibles, net	—	—	59,007	—	59,007
Expenses related to dividend	115	84	—	6,168	6,367
Adjusted EBITDA ⁽¹⁾⁽²⁾	\$ 175,018	\$ 54,433	\$ 88,646	\$ (59,840)	\$ 258,257

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⁽¹⁾ The Company's Adjusted EBITDA calculation has been modified to add back accretion expense, a non-cash expense, to align with industry peer group methodology.

⁽²⁾ Pursuant to the PRB divestiture and classification as a discontinued operation, the Company is no longer presenting a PRB reporting segment. The former PRB reporting segment had adjusted EBITDA of \$41,863 for the year ended December 31, 2017.

The following table presents a reconciliation of net (loss) income to adjusted EBITDA for the period from July 26, 2016 to December 31, 2016:

	Successor				
	Period from July 26, 2016 to December 31, 2016				
	CAPP	NAPP	Trading and Logistics	All Other	Combined
Net income (loss) from continuing operations	\$ 37,436	\$ 26,434	\$ (22,053)	\$ (53,663)	\$ (11,846)
Interest expense	97	171	—	20,228	20,496
Interest income	(6)	—	—	(17)	(23)
Income tax benefit	—	—	—	(1,920)	(1,920)
Depreciation, depletion and amortization	6,442	(772)	—	303	5,973
Mark-to-market adjustment for warrant derivative liability	—	—	—	33,975	33,975
Bargain purchase gain	—	—	—	(7,719)	(7,719)
Mark-to-market adjustment - acquisition-related obligations	—	—	—	(10,616)	(10,616)
Accretion expense	2,436	2,365	—	—	4,801
Amortization of acquired intangibles, net	—	—	61,281	—	61,281
Adjusted EBITDA ⁽¹⁾⁽²⁾	<u>\$ 46,405</u>	<u>\$ 28,198</u>	<u>\$ 39,228</u>	<u>\$ (19,429)</u>	<u>\$ 94,402</u>

⁽¹⁾ The Company's Adjusted EBITDA calculation has been modified to add back accretion expense, a non-cash expense, to align with industry peer group methodology.

⁽²⁾ Pursuant to the PRB divestiture and classification as a discontinued operation, the Company is no longer presenting a PRB reporting segment. The former PRB reporting segment had adjusted EBITDA of \$45,786 for the period from July 26, 2016 to December 31, 2016.

The following table presents a reconciliation of net (loss) income to adjusted EBITDA for the period from January 1, 2016 to July 25, 2016:

	Predecessor				
	Period from January 1, 2016 to July 25, 2016				
	CAPP	NAPP	Trading and Logistics	All Other	Combined
Net (loss) income from continuing operations	\$ (26,407)	\$ (43,143)	\$ (1,452)	\$ 9,461	\$ (61,541)
Interest expense	2	—	—	—	2
Interest income	(9)	(10)	—	—	(19)
Income tax benefit	—	—	—	(39,881)	(39,881)
Depreciation, depletion and amortization	15,389	49,852	3	832	66,076
Reorganization items, net	8,196	12,528	248	17	20,989
Asset impairment and restructuring	1,667	1,408	21	—	3,096
Accretion expense	1,753	3,252	—	—	5,005
Amortization of acquired intangibles, net	—	11,567	—	—	11,567
Adjusted EBITDA ⁽¹⁾⁽²⁾	<u>\$ 591</u>	<u>\$ 35,454</u>	<u>\$ (1,180)</u>	<u>\$ (29,571)</u>	<u>\$ 5,294</u>

⁽¹⁾ The Company's Adjusted EBITDA calculation has been modified to add back accretion expense, a non-cash expense, to align with industry peer group methodology.

⁽²⁾ Pursuant to the PRB divestiture and classification as a discontinued operation, the Company is no longer presenting a PRB

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reporting segment. The former PRB reporting segment had adjusted EBITDA of \$36,819 for the period from January 1, 2016 to July 25, 2016.

The following table presents a reconciliation of net (loss) income to adjusted EBITDA for the year ended December 31, 2015:

	Predecessor				
	Year Ended December 31, 2015				
	CAPP	NAPP	Trading and Logistics	All Other	Combined
Net (loss) income from continuing operations	\$ (118,543)	\$ (249,090)	\$ 795	\$ 109,052	\$ (257,786)
Interest expense	28	—	—	—	28
Interest income	(3)	(1)	—	—	(4)
Income tax benefit	—	—	—	(155,052)	(155,052)
Depreciation, depletion and amortization	42,869	104,479	13	1,836	149,197
Reorganization items, net	3,438	6,306	336	5	10,085
Impairments	72,012	224,139	3	—	296,154
Restructuring	1,573	(420)	118	—	1,271
Accretion expense	3,005	2,691	—	—	5,696
Mark-to-market adjustment for other derivatives	(2,635)	(446)	—	—	(3,081)
Amortization of acquired intangibles, net	350	1,873	—	—	2,223
Adjusted EBITDA ^{(1) (2)}	\$ 2,094	\$ 89,531	\$ 1,265	\$ (44,159)	\$ 48,731

⁽¹⁾ The Company's Adjusted EBITDA calculation has been modified to add back accretion expense, a non-cash expense, to align with industry peer group methodology.

⁽²⁾ Pursuant to the PRB divestiture and classification as a discontinued operation, the Company is no longer presenting a PRB reporting segment. The former PRB reporting segment had adjusted EBITDA of \$67,272 for the year ended December 31, 2015.

No asset information has been provided for these reportable segments as the CODM does not regularly review asset information by reportable segment.

The Company markets produced, processed and purchased coal to customers in the United States and in international markets, primarily India, Italy, Brazil, France, and Mexico. Export coal revenues, including freight and handling revenues, were the following:

	Successor		Predecessor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from January 1, 2016 to July 25, 2016	Year Ended December 31, 2015
Total coal revenue ⁽¹⁾	\$ 1,639,883	\$ 502,236	\$ 396,768	\$ 913,247
Export coal revenue ^{(1) (2)}	\$ 1,265,320	\$ 357,343	\$ 155,735	\$ 339,066
Export coal revenue as % of total coal revenue ⁽¹⁾	77%	71%	39%	37%

⁽¹⁾ Amounts include freight and handling revenues

⁽²⁾ The amounts for the year ended December 31, 2017 include \$356,673 of export coal revenue, including freight and handling revenue, from external customers in India recorded within the CAPP, NAPP, and Trading and Logistics segments. Revenue is tracked within the Company's accounting records based on the product destination.

(27) Investment in Unconsolidated Affiliate

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Dominion Terminal Associates (“DTA”)

On March 31, 2017, the Company acquired a portion of another partner’s interest in DTA for \$13,293 thereby increasing its ownership in DTA to sixty-five percent. DTA is reliant upon continuous cash contributions from the partners to fund its operating costs. The Company’s cash contributions totaled \$5,691 for the year ended December 31, 2017. The capital contributions which increase the capital accounts of the respective partners are a form of future subordinated financial support required by DTA to finance its activities. As a result, the Company has concluded DTA does not have sufficient equity investment to finance its activities without the support from the equity partners and is a variable interest entity. Prior to the purchase of the additional interest in DTA, no single party held a majority ownership interest in DTA. After the transaction, there are two remaining owners and Contura holds a sixty-five percent voting ownership interest in DTA. However, two representatives must be present for business to be conducted and consent and unanimous approval of both the members is required for decisions to be taken. Further, there are no provisions that allow either party to override or otherwise unilaterally make a decision. As a result, the Company has concluded that it does not have the power to direct the activities that most significantly impact its economic performance and therefore is not the primary beneficiary. Accordingly, the Company continues to apply the equity method of accounting.

The Company recorded equity method losses, before taxes, from DTA of (\$3,339), (\$2,287), (\$2,735) and (\$7,154) for the year ended December 31, 2017, the period from July 26, 2016 to December 31, 2016, for the period January 1, 2016 to July 25, 2016 and for the year ended December 31, 2015, respectively, which are reflected within miscellaneous income, net in the Statements of Operations. As of December 31, 2017 and 2016, the Company’s investment in DTA was \$16,095 and \$172, respectively, and is recorded within other non-current assets within the Balance Sheets.

Condensed balance sheet information as of December 31, 2017 and December 31, 2016 and condensed income statement information for the year ended December 31, 2017, the period from July 26, 2016 to December 31, 2016, the period from January 1, 2016 to July 25, 2016, and the year ended December 31, 2015 for DTA is presented in the tables that follow.

	Successor	
	December 31, 2017	December 31, 2016
Current assets	\$ 5,960	\$ 3,453
Non-current assets	\$ 59,868	\$ 63,630
Current liabilities	\$ 1,530	\$ 1,397
Non-current liabilities	\$ 6,476	\$ 7,147
Partners’ equity	\$ 57,822	\$ 58,538

	Successor		Predecessor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from January 1, 2016 to July 25, 2016	Year Ended December 31, 2015
Operating expenses	\$ 26,893	\$ 9,792	\$ 12,271	\$ 28,187
Other income, net	\$ (16,875)	\$ (3,683)	\$ (5,032)	\$ (10,720)
Total expenses, net	\$ 10,018	\$ 6,109	\$ 7,239	\$ 17,467
Contributions from partners to fund continuing operations	\$ 9,302	\$ 6,243	\$ 4,883	\$ 14,953
Expenses (over)/under contributions	\$ (716)	\$ 134	\$ (2,356)	\$ (2,514)
Depreciation and amortization	\$ 5,147	\$ 1,223	\$ 2,413	\$ 4,590

(28) Quarterly Financial Information (Unaudited)

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	Successor			
	Year Ended December 31, 2017			
	First Quarter ⁽¹⁾	Second Quarter	Third Quarter	Fourth Quarter
Total revenues	\$ 475,119	\$ 439,668	\$ 382,537	\$ 352,645
Net income (loss) from continuing operations	\$ 30,956	\$ 18,399	\$ 9,730	\$ 114,650
Net income (loss) from discontinued operations	\$ 4,154	\$ (5,788)	\$ 429	\$ (18,008)
Net income (loss)	\$ 35,110	\$ 12,611	\$ 10,159	\$ 96,642
Weighted average shares - basic	10,309,428	10,309,612	10,277,974	9,971,877
Weighted average shares - diluted	10,728,281	10,874,175	10,896,856	10,583,744
Basic (loss) income per share:				
Income (loss) from continuing operations	\$ 3.00	\$ 1.78	\$ 0.95	\$ 11.50
Income (loss) from discontinued operations	\$ 0.41	\$ (0.56)	\$ 0.04	\$ (1.81)
Net income (loss)	\$ 3.41	\$ 1.22	\$ 0.99	\$ 9.69
Diluted (loss) income per share:				
Income (loss) from continuing operations	\$ 2.89	\$ 1.69	\$ 0.89	\$ 10.83
Income (loss) from discontinued operations	\$ 0.38	\$ (0.53)	\$ 0.04	\$ (1.70)
Net income (loss)	\$ 3.27	\$ 1.16	\$ 0.93	\$ 9.13

⁽¹⁾ As adjusted for the adoption of ASU 2017-11. See Note 18.

	Predecessor			Successor	
	Period from January 1, 2016 to July 25, 2016			Period from July 26, 2016 to December 31, 2016	
	First Quarter	Second Quarter	Period from July 1, 2016 to July 25, 2016	Period from July 26, 2016 to September 30, 2016	Fourth Quarter
Total revenues	\$ 172,143	\$ 187,150	\$ 51,818	\$ 164,471	\$ 341,825
Net income (loss) from continuing operations	\$ (23,969)	\$ (23,959)	\$ (13,613)	\$ (49,814)	\$ 37,968
Net income (loss) from discontinued operations	\$ (8,674)	\$ (3,647)	\$ 6,650	\$ 4,018	\$ (3,102)
Net income (loss)	\$ (32,643)	\$ (27,606)	\$ (6,963)	\$ (45,796)	\$ 34,866
Weighted average shares - basic				10,309,310	10,309,310
Weighted average shares - diluted				10,309,310	10,747,134
Basic (loss) income per share:					
Income (loss) from continuing operations				\$ (4.83)	\$ 3.68
Income (loss) from discontinued operations				\$ 0.39	\$ (0.30)
Net income (loss)				\$ (4.44)	\$ 3.38
Diluted (loss) income per share:					
Income (loss) from continuing operations				\$ (4.83)	\$ 3.53
Income (loss) from discontinued operations				\$ 0.39	\$ (0.29)
Net income (loss)				\$ (4.44)	\$ 3.24

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(29) Subsequent Events

The Company's subsequent events have been evaluated through March 29, 2018, the date at which the Consolidated Financial Statements were available to be issued. There were no subsequent events that need disclosure.

GLOSSARY

Acquisition. Refers to the transaction by which Contura acquired certain of Alpha's core coal operations as part of the Alpha Restructuring.

Alpha. Alpha Natural Resources, Inc.

Alpha's Plan of Reorganization. Alpha's plan of reorganization approved on July 7, 2016 and effective as of July 26, 2016.

Alpha Restructuring. The series of bankruptcy restructuring transactions which led to Alpha's emergence from Chapter 11 bankruptcy on July 26, 2016.

Ash. Impurities consisting of iron, alumina and other incombustible matter that are contained in coal. Since ash increases the weight of coal, it adds to the cost of handling and can affect the burning characteristics of coal.

Assigned reserves. Coal that is planned to be mined at an operation that is currently operating, currently idled, or for which permits have been submitted and plans are eventually to develop the operation.

British Thermal Unit or BTU. A measure of the thermal energy required to raise the temperature of one pound of pure liquid water one degree Fahrenheit at the temperature at which water has its greatest density (39 degrees Fahrenheit).

Central Appalachia or CAPP. Coal producing area in eastern Kentucky, Virginia, southern West Virginia and a portion of eastern Tennessee.

Coal slurry impoundment. Coal slurry consists of solid and liquid waste and is a by-product of the coal mining and preparation processes. It is a fine coal refuse and water mixture. Impoundment is for the storage of liquid and primarily noncombustible solids that are by-products of coal cleaning.

Coke. A hard, dry carbon substance produced by heating coal to a very high temperature in the absence of air. Coke is used in the manufacture of iron and steel. Its production results in a number of useful byproducts.

Longwall mining. The most productive underground mining method in the United States. A rotating drum is trammed mechanically across the face of coal, and a hydraulic system supports the roof of the mine while the drum advances through the coal. Chain conveyors then move the loosened coal to a standard underground mine conveyor system for delivery to the surface.

Metallurgical coal. The various grades of coal suitable for carbonization to make coke for steel manufacture. Also known as "met" coal, its quality depends on four important criteria: volatility, which affects coke yield; the level of impurities including sulfur and ash, which affect coke quality; composition, which affects coke strength; and basic characteristics, which affect coke oven safety. Met coal typically has a particularly high BTU but low ash and sulfur content.

Northern Appalachia or NAPP. Coal producing area in Maryland, Ohio, Pennsylvania and northern West Virginia.

Operating Margin. Gross revenue less Total Cash Cost.

Powder River Basin or PRB. Coal producing area in northeastern Wyoming and southeastern Montana.

Preparation plant. A preparation plant is a facility for crushing, sizing and washing coal to remove impurities and prepare it for use by a particular customer. The washing process has the added benefit of removing some of the coal's sulfur content. A preparation plant is usually located on a mine site, although one plant may serve several mines.

Probable reserves. Reserves for which quantity and grade and/or quality are computed from information similar to that used for proven reserves, but the sites for inspection, sampling and measurement are farther apart or are otherwise less adequately spaced. The degree of assurance, although lower than that for proven reserves, is high enough to assume continuity between points of observation.

Productivity. As used in this report, refers to clean metric tons of coal produced per underground man hour worked, as published by the MSHA.

Proven reserves. Reserves for which quantity is computed from dimensions revealed in outcrops, trenches, workings or drill holes; grade and/or quality are computed from the results of detailed sampling; and the sites for inspection, sampling and measurement are spaced so closely and the geologic character is so well defined that size, shape, depth and mineral content of reserves are well-established.

Reclamation. The process of restoring land and the environment to their original state following mining activities. The process commonly includes “recontouring” or reshaping the land to its approximate original appearance, restoring topsoil and planting native grass and ground covers. Reclamation operations are usually underway before the mining of a particular site is completed. Reclamation is closely regulated by both state and federal law.

Recoverable reserves. Metric tons of mineable coal that can be extracted and marketed after deduction for coal to be left behind within the seam (i.e., pillars left to hold up the ceiling, coal not economical to recover within the mine, etc.) and adjusted for reasonable preparation and handling losses.

Reserve. That part of a mineral deposit that could be economically and legally extracted or produced at the time of the reserve determination.

Roof. The stratum of rock or other mineral above a coal seam; the overhead surface of a coal working place.

Steam coal. Coal used by power plants and industrial steam boilers to produce electricity, steam or both. It generally is lower in BTU heat content and higher in volatile matter than metallurgical coal.

Sulfur. One of the elements present in varying quantities in coal that contributes to environmental degradation when coal is burned. Sulfur dioxide is produced as a gaseous by-product of coal combustion.

Surface mine. A mine in which the coal lies near the surface and can be extracted by removing the covering layer of soil (see “Overburden”).

Thermal coal. See definition for *Steam coal*.

Tons. A “short” or net ton is equal to 2,000 pounds. A “long” or British ton is equal to 2,240 pounds; a “metric” ton (or “tonne”) is approximately 2,205 pounds. Tonnage amounts in this prospectus are stated in short tons, unless otherwise indicated.

Unassigned reserves. Coal that is likely to be mined in the future, but which is not considered *Assigned reserves*.

Underground mine. Also known as a “deep” mine. Usually located several hundred feet below the earth’s surface, an underground mine’s coal is removed mechanically and transferred by shuttle car and conveyor to the surface.

Management's Discussion and Analysis of Financial Condition and Results of Operations

The following discussion and analysis provides a narrative of our results of operations and financial condition for the year ended December 31, 2017 and the period from July 26, 2016 to December 31, 2016 (Successor), and on a carve-out basis for the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015 (Predecessor). You should read the following discussion of our results of operations and financial condition in conjunction with the accompanying audited Successor consolidated financial statements and Predecessor combined financial statements included elsewhere in this report. See Note 1 to the financial statements included elsewhere in this report for further disclosures on the basis of presentation, as the Predecessor periods presented herein include the assets, liabilities, operating results and cash flows of Contura, prepared on a carve-out basis using Alpha's historical bases in the assets and liabilities and the historical results of operations of Contura.

CAUTIONARY NOTE REGARDING FORWARD LOOKING STATEMENTS

This report includes statements of our expectations, intentions, plans and beliefs that constitute "forward-looking statements". These statements, which involve risks and uncertainties, relate to analysis's and other information that are based on forecasts of future results and estimates of amounts not yet determinable and may also relate to our future prospects, developments and business strategies. We have used the words "anticipate", "believe", "could", "estimate", "expect", "intend", "may", "plan", "predict", "project", "should" and similar terms and phrases, including references to assumptions, in this report to identify forward-looking statements. These forward-looking statements are made based on expectations and beliefs concerning future events affecting us and are subject to uncertainties and factors relating to our operations and business environment, all of which are difficult to predict and many of which are beyond our control, that could cause our actual results to differ materially from those matters expressed in or implied by these forward-looking statements.

The following factors are among those that may cause actual results to differ materially from our forward-looking statements:

- our liquidity, results of operations and financial condition;
- depressed levels or declines in coal prices;
- worldwide market demand for coal, electricity and steel, including demand for U.S. coal exports, and competition in coal markets;
- utilities switching to alternative energy sources such as natural gas, renewables and coal from basins where we do not operate;
- reductions or increases in customer coal inventories and the timing of those changes;
- our production capabilities and costs;
- inherent risks of coal mining beyond our control;
- changes in, interpretations of, or implementations of domestic or international tax or other laws and regulations, including the Tax Cuts and Jobs Act and its related regulations;
- changes in domestic or international environmental laws and regulations, and court decisions, including those directly affecting our coal mining and production, and those affecting our customers' coal usage, including potential climate change initiatives;
- our relationships with, and other conditions affecting, our customers, including the inability to collect payments from our customers if their creditworthiness declines;
- changes in, renewal or acquisition of, terms of and performance of customers under coal supply arrangements and the refusal by our customers to receive coal under agreed contract terms;
- our ability to obtain, maintain or renew any necessary permits or rights, and our ability to mine properties due to defects in title on leasehold interests;
- attracting and retaining key personnel and other employee workforce factors, such as labor relations;
- funding for and changes in employee benefit obligations;
- cybersecurity attacks or failures, threats to physical security, extreme weather conditions or other natural disasters;
- reclamation and mine closure obligations;
- our assumptions concerning economically recoverable coal reserve estimates;
- our ability to negotiate new United Mine Workers of America wage agreements on terms acceptable to us, increased unionization of our workforce in the future, and any strikes by our workforce;
- disruptions in delivery or changes in pricing from third party vendors of key equipment and materials that are necessary for our operations, such as diesel fuel, steel products, explosives and tires;
- inflationary pressures on supplies and labor and significant or rapid increases in commodity prices;
- railroad, barge, truck and other transportation availability, performance and costs;
- disruption in third party coal supplies;

- the consummation of financing or refinancing transactions, acquisitions or dispositions and the related effects on our business and financial position;
- our indebtedness and potential future indebtedness;
- our ability to generate sufficient cash or obtain financing to fund our business operations; and
- our ability to obtain or renew surety bonds on acceptable terms or maintain our current bonding status.

When considering these forward-looking statements, you should keep in mind the cautionary statements in this report. We do not undertake any responsibility to release publicly any revisions to these forward-looking statements to take into account events or circumstances that occur after the date of this report. Additionally, we do not undertake any responsibility to update you on the occurrence of any unanticipated events, which may cause actual results to differ from those expressed or implied by the forward-looking statements contained in this report.

Non-GAAP Financial Measures

The discussion below contains “non-GAAP financial measures.” These are financial measures which either exclude or include amounts that are not excluded or included in the most directly comparable measures calculated and presented in accordance with generally accepted accounting principles in the United States (“GAAP”). Specifically, we make use of the non-GAAP financial measure “Adjusted EBITDA.” Adjusted EBITDA does not purport to be an alternative to net income (loss) as a measure of operating performance. The presentation of this measure should not be considered in isolation, or as a substitute for analysis of our results as reported under GAAP.

Management uses non-GAAP financial measures to supplement GAAP results to provide a more complete understanding of the factors and trends affecting the business than GAAP results alone. Because not all companies use identical calculations, the presentations of these measures may not be comparable to other similarly titled measures of other companies and can differ significantly from company to company depending on long-term strategic decisions regarding capital structure, the tax jurisdictions in which companies operate, and capital investments.

Formation

On August 3, 2015, Alpha filed voluntary petitions for relief under Chapter 11 of the U.S. Bankruptcy Code in the United States Bankruptcy Court for the Eastern District of Virginia. Alpha pursued a reorganization plan under which certain expenses were incurred and settlements negotiated. The Bankruptcy Court approved Alpha’s Plan of Reorganization on July 7, 2016 and Alpha emerged from bankruptcy on July 26, 2016.

Contura was incorporated in the State of Delaware on June 10, 2016 to acquire and operate certain of Alpha’s core coal operations, as part of the Alpha Restructuring. On July 26, 2016, a consortium of former Alpha creditors acquired our common stock in exchange for a partial release of their creditor claims pursuant to the Alpha Restructuring. Furthermore, pursuant to an asset purchase agreement between Contura and Alpha, we purchased certain former core coal operations of Alpha. See Note 1 for information related to the Acquisition.

Overview

We are a large-scale provider of met and steam coal to a global customer base, operating high-quality, cost-competitive coal mines across two major U.S. coal basins (CAPP and NAPP) along with a robust Trading and Logistics business. As of December 31, 2017, our operations consisted of nine active mines and four coal preparation and load-out facilities, with approximately 1,700 employees. We produce, process and sell steam coal and met coal from operations located in Virginia, West Virginia and Pennsylvania. We also sell coal produced by others, some of which is processed and/or blended with coal produced from our mines prior to resale, with the remainder purchased for resale by our trading operations. As of December 31, 2017, we had 742.7 million tons of reserves, including 491.3 million tons of proven reserves and 251.4 million tons of probable reserves.

We were formed to acquire and operate certain of Alpha’s former core coal operations, as part of the Alpha Restructuring. We began operations on July 26, 2016, with mining complexes in NAPP (including the Cumberland mine complex), the PRB (the Belle Ayr and Eagle Butte complexes), and three CAPP mining complexes (the Nicholas mine complex in Nicholas County, West Virginia, and the McClure and Toms Creek mine complexes in Virginia). We also acquired Alpha’s 40.6% interest in the DTA coal export terminal in eastern Virginia, and on March 31, 2017, we acquired a portion of another partner’s ownership stake and increased our interest to 65.0%. Through the Acquisition, Contura acquired a significant reserve base. See Note 3 for disclosures related to the Acquisition. On December 11, 2017, the Company entered into a transaction to sell the Eagle Butte and Belle Ayr mines located in the PRB, Wyoming, along with related coal reserves, equipment, infrastructure and

other real properties. The PRB results of operations and financial position are reported as discontinued operations in the Consolidated Financial Statements. The historical information in the accompanying Notes to the Consolidated Financial Statements has been restated to reflect the effects of the PRB operations being reported as discontinued operations in the Consolidated Financial Statements. See Note 4 for further information on discontinued operations.

For the year ended December 31, 2017 and the period from July 26, 2016 to December 31, 2016 sales of steam coal were 6.7 million tons and 2.7 million tons, respectively, and accounted for approximately 43% and 47%, respectively, of our coal sales volume and sales of met coal, which generally sells at a premium over steam coal, were 8.9 million tons and 3.1 million tons, respectively, and accounted for approximately 57% and 53%, respectively, of our coal sales volume. For the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015 sales of steam coal were 4.4 million tons and 8.2 million tons, respectively, and accounted for approximately 63% and 60%, respectively, of our coal sales volume and sales of met coal, which generally sells at a premium over steam coal, were 2.6 million tons and 5.5 million tons, respectively, and accounted for approximately 37% and 40%, respectively, of our coal sales volume. These numbers include sales from our Trading and Logistics business.

Our sales of steam coal during the Successor and Predecessor periods were made primarily to large utilities and industrial customers throughout the U.S., and our sales of met coal were made primarily to steel companies in the northeastern and midwestern regions of the U.S. and in several countries in Europe, Asia and the Americas. For the year ended December 31, 2017 and the period from July 26, 2016 to December 31, 2016 approximately 74% and 68%, respectively, of our total coal revenues, excluding freight and handling revenues, were derived from coal sales made to customers outside the United States. For the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015 approximately 31% and 31%, respectively, of our total coal revenues, excluding freight and handling revenues, were derived from coal sales made to customers outside the United States.

In addition, we generate other revenues from equipment sales, rentals, terminal and processing fees, coal and environmental analysis fees, royalties and the sale of natural gas. We also record revenue for freight and handling services provided in delivering coal to certain customers, which are a component of the contractual selling price.

Our primary expenses are operating supply costs, repair and maintenance expenditures, cost of purchased coal, royalties, wages and benefits, post-employment benefits, freight and handling costs, and taxes incurred in selling our coal. Historically, our cost of coal sales per ton is lower for sales of our produced and processed coal than for sales of purchased coal that we do not process prior to resale.

We have three reportable segments: CAPP Operations, NAPP Operations and Trading and Logistics Operations. CAPP consists of eight active mines, including three mines in Virginia operated by third-party contractors, four mines operated by us in Virginia and one mine operated by us in West Virginia. CAPP Operations also include two preparation plants in Virginia, one preparation plant in West Virginia, as well as expenses associated with certain closed mines. NAPP consists of one active mine in Pennsylvania and one preparation plant, as well as expenses associated with one closed mine. The Trading and Logistics segment focuses primarily on coal trading and coal terminal facility services. Our All Other category includes general corporate overhead and corporate assets and liabilities, the elimination of intersegment activity and our discontinued operations.

Business Developments

On December 11, 2017, we entered into a transaction with Blackjewel L.L.C. (“Buyer”) to sell the Eagle Butte and Belle Ayr mines located in the Power River Basin (“PRB”) which resulted in a loss of \$36.8 million for the year ended December 31, 2017, primarily comprised of the transfer of property, plant and equipment, net, and inventories, net, of \$139.4 million and \$5.0 million, respectively, the write-off of above-market coal sales contract assets of \$9.7 million and the assumption of \$119.7 million of asset retirement obligations by the Buyer. The asset retirement obligations consist of estimated costs to reclaim acreage disturbed at surface operations and related support acreage. The transfer of mining permits to the Buyer is estimated to be completed in the first half of 2018. If the permit transfer process is not completed as expected, it could have material, adverse effects on us. During the permit transfer period, we will maintain the required reclamation bonds and related collateral. Per the terms of the asset purchase agreement, as promptly as practicable after closing, the Buyer shall use its best efforts to replace our reclamation performance bonds and collateral bonds relating to the purchased permits. The Buyer shall use its best efforts to obtain third party financing to replace our collateral as promptly as practicable following the closing, and the Buyer shall be obligated to replace our collateral upon the earlier of (i) with respect to all our bonds, receipt of the Buyer’s refinancing and (ii) with respect to each of our bonds, within two days of notice from any governmental agency that the Buyer’s bonds are required to advance the permit transfer process. If at this time, our bonds remain outstanding, the full amount of our collateral shall be immediately due and payable to us by the Buyer, and such amount shall accrue interest at a rate of 6% per annum, compounding annually (the “Collateral Replacement Payment”). To secure the Buyer’s obligation to make the Collateral

Replacement Payment, the Buyer granted the Company a security interest in all Purchased Assets that constitute mobile equipment, including without limitation, shovels, vehicles and drills, subject to certain exclusions. We will not bear the financial burden of further processing or posting of additional bonds or other collateral for any transfer of the permits. Once the permits have been transferred, we estimate approximately \$24.0 million comprised of short-term restricted cash and short-term deposits will be returned to operating cash.

In connection with the transaction, we paid cash consideration of \$21.4 million to the Buyer, in exchange for the assumption of certain liabilities by the Buyer and for professional fees to consummate the transaction. We expect to receive contingent consideration in the form of deferred royalty payments on coal mined from the properties sold to Buyer. The royalty payments will be comprised of monthly and annual overriding production royalty payments up to a maximum of \$50.0 million, per terms of the agreement, with payments beginning in 2018. The monthly overriding production royalty payments begin in 2018 and are determined by multiplying the sales price of each ton of coal sold in a given month by the applicable royalty percentage, which ranges from 0.1% to 1.0% based on the selling price per ton, as outlined in the table below:

Per ton coal price	Applicable Percentage
≤ \$10.00	0.1%
> \$10.00	0.2%
> \$10.10	0.3%
> \$10.20	0.4%
> \$10.30	0.5%
> \$10.40	0.6%
> \$10.50	1.0%

The total monthly overriding production royalty payments are capped at \$30.0 million. The annual overriding production royalty payment begins in January 2019 and ends in January 2029 in an amount equal to 10% of the number of tons of coal sold in the preceding calendar year multiplied by the excess, if any, of the weighted average applicable price per ton of such coal over the benchmark price for such preceding calendar year, subject to an aggregate cumulative cap of \$20.0 million. The benchmark price with respect to the 2018 annual period is \$11.00 per ton. The benchmark price for future years is determined by taking the previous year's benchmark price and multiplying by one plus the percentage representing the annual average change in the Producer Price Index or PPI. The contingent royalty payments will be recognized as income in the period the payments are received within the All Other segment.

The PRB operations results of operations and financial position are reported as discontinued operations in the Consolidated Financial Statements. See Note 4 for further information on discontinued operations. The following tables summarize certain financial information relating to the PRB discontinued operating results which are reported within the All Other segment that have been derived from our consolidated financial statements for the year ended December 31, 2017, the period from July 26, 2016 to December 31, 2016, the period from January 1, 2016 to July 25, 2016, and the year ended December 31, 2015.

Revenues

	Successor				Predecessor			
	Year Ended December 31, 2017	% of Total Revenues	Period from July 26, 2016 to December 31, 2016	% of Total Revenues	Period from January 1, 2016 to July 25, 2016	% of Total Revenues	Year Ended December 31, 2015	% of Total Revenues
<i>(In thousands, except for per ton data)</i>								
Coal revenues:								
Steam	\$ 339,599	20.6%	\$ 180,555	35.7%	\$ 192,629	46.9%	\$ 427,680	46.2%
Tons sold:								
Steam	31,102		16,674		17,225		37,971	
Coal sales realization per ton:								
Steam	\$ 10.92		\$ 10.83		\$ 11.18		\$ 11.26	

Costs and Expenses

	Successor				Predecessor			
	Year Ended December 31, 2017	% of Total Revenues	Period from July 26, 2016 to December 31, 2016	% of Total Revenues	Period from January 1, 2016 to July 25, 2016	% of Total Revenues	Year Ended December 31, 2015	% of Total Revenues
(In thousands, except for per ton data)								
Cost of coal sales:	\$ 311,119	18.9%	\$ 140,803	27.8%	\$ 164,920	40.1%	\$ 375,234	40.5%
Tons sold:	31,102		16,674		17,225		37,971	
Cost of coal sales per ton:	\$ 10.00		\$ 8.44		\$ 9.57		\$ 9.88	
Coal margin per ton ⁽¹⁾ :	\$ 0.92		\$ 2.39		\$ 1.61		\$ 1.38	

⁽¹⁾ Coal margin per ton is calculated as coal sales realization per ton less cost of coal sales per ton for our reportable segments.

Per terms of the asset purchase agreement, we entered into an agreement with the Buyer under which the Buyer will supply, deliver and sell to us, and we will accept, purchase and pay for, all coal we are obligated to supply, deliver and sell under PRB coal supply agreements (“CSAs”) existing as of the transaction closing date that did not transfer to the Buyer at closing (each, a “Back-to-Back Coal Supply Agreement”). Each Back-to-Back Coal Supply Agreement shall have economic terms identical to, but offsetting, the CSA associated with such Back-to-Back Coal Supply Agreement. If a PRB customer subsequently consents to assign a CSA after closing, then the related CSA shall immediately and automatically transfer to Buyer and the related Back-to-Back Coal Supply Agreements executed by the parties shall thereupon terminate as set forth therein. Per terms of the Back-to-Back Coal Supply Agreements, we are required to purchase and sell coal in 2018, 2019, 2020 and 2021 totaling \$224.8 million, \$227.7 million, \$176.8 million and \$5.5 million, respectively. For the period ended December 31, 2017, we purchased and sold 2.0 million tons, totaling \$21.7 million, under the Back-to-Back Coal Supply Agreements. Due to PRB customers subsequently consenting to assign CSAs, our purchase and sell amounts required under the Back-to-Back Coal Supply Agreements have been reduced to \$31.1 million, \$16.1 million, \$9.2 million and \$0 for the remainder of 2018, 2019, 2020, and 2021, respectively.

Basis of Presentation

In this management’s discussion and analysis, (i) the “Successor” refers to Contura Energy, Inc. and its subsidiaries for the period beginning July 26, 2016 and thereafter following the acquisition of certain of Alpha’s core coal operations as part of the Alpha Restructuring (“Acquisition”), and (ii) “Predecessor” refers to Contura on a carve-out basis using Alpha’s historical bases in the assets, liabilities and operating results of Contura while under Alpha’s ownership.

The historical costs and expenses reflected in the Predecessor combined results of operations include an allocation for certain corporate functions historically provided by Alpha, including, but not limited to, general corporate expenses related to finance, legal, information technology, human resources, employee benefits and incentives, insurance, stock-based compensation, engineering, asset management, and sales and logistics, which were included in cost of coal sales and selling, general and administrative expenses in the financial statements included elsewhere in this report.

The combined financial statements of our Predecessor included elsewhere in this report and the other historical Predecessor combined financial information presented and discussed herein may not be indicative of what our financial condition, results of operations and cash flows would have been if we were a separate stand-alone entity, nor are they indicative of what our financial position, results of operations and cash flows may be in the future. In addition, the Successor consolidated financial statements on and after July 26, 2016 are not comparable with the Predecessor combined financial statements prior to that date. Refer to Notes 1 and 3 for additional information.

On December 11, 2017, we entered into a transaction with Blackjewel L.L.C. (“Buyer”) to sell the Eagle Butte and Belle Ayr mines located in the PRB, Wyoming, along with related coal reserves, equipment, infrastructure and other real properties. The PRB operations results of operations and financial position are reported as discontinued operations in the Consolidated Financial Statements. The historical information in the accompanying Notes to the Consolidated Financial Statements has been restated to reflect the effects of the PRB operations being reported as discontinued operations in the Consolidated Financial Statements. The discontinued operations include our former PRB segment. To conform with the Consolidated Financial Statements and accompanying Notes, the former PRB segment information for the discontinued operation has been eliminated. See Note 4 for further information on discontinued operations.

Factors Affecting Our Results of Operations

Sales Volume. We earn revenues primarily through the sale of coal produced at our operations and resale of coal purchased from third parties. During the Successor period for the year ended December 31, 2017, we sold 4.1 million tons of met coal

from CAPP and NAPP, 4.8 million tons of met coal from our Trading and Logistics business, and 6.7 million tons of steam coal from CAPP and NAPP. During the Successor period for the period from July 26, 2016 to December 31, 2016, we sold 1.6 million tons of met coal from CAPP and NAPP, 1.5 million tons of met coal from our Trading and Logistics business, and 2.7 million tons of steam coal from CAPP and NAPP. During the Predecessor period for the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015, we sold 2.4 million tons and 4.9 million tons of met coal from CAPP and NAPP, 0.2 million tons and 0.6 million tons of met coal from our Trading and Logistics business, and 4.4 million tons and 8.2 million tons of steam coal from CAPP, NAPP, and our Trading and Logistics business, respectively.

Sales Agreements

We manage our commodity price risk for coal sales through the use of coal supply agreements. As of March 20, 2018, we had sales commitments for approximately 7.2 million tons of NAPP coal for the full year 2018, all of which is priced at an average realized price per ton of \$42.23, and 2.7 million tons of CAPP coal for the full year 2018, 42% of which is priced at an average realized price per ton of \$127.60.

Realized Pricing. Our realized price per ton of coal is influenced by many factors that vary by region, including (i) coal quality, which includes energy (heat content), sulfur, ash, volatile matter and moisture content; (ii) differences in market conventions concerning transportation costs and volume measurement; and (iii) regional supply and demand.

- *Coal Quality.* The energy content or heat value of steam coal is a significant factor influencing coal prices as higher energy coal is more desirable to consumers and typically commands a higher price in the market. The heat value of coal is commonly measured in British thermal units or the amount of heat needed to raise the temperature of one pound of water by one degree Fahrenheit. Coal from the eastern and midwest regions of the United States tends to have a higher heat value than coal found in the western United States. Coal volatility is a significant factor influencing met coal pricing as coal with a lower volatility has historically been more highly valued and typically commands a higher price in the market. The volatility refers to the loss in mass, less moisture, when coal is heated in the absence of air. The volatility of met coal determines the percentage of feed coal that actually becomes coke, known as coke yield, with lower volatility producing a higher coke yield.
- *Market Conventions.* Coal sales contracts are priced according to conventions specific to the market into which such coal is to be sold. Our domestic sales contracts are typically priced free on board (“FOB”) at our mines and on a short ton basis. Our international sales contracts are typically priced FOB at the shipping port from which such coal is delivered and on a metric ton basis. Accordingly, for international sales contracts, we typically bear the cost of transportation from our mine complexes to the applicable outbound shipping port, and our coal sales realization per ton reflects the conversion of such tonnage from metric tons into short tons, as well as the elimination of transportation costs from mine to port, which are presented as freight and handling revenue. In addition, for domestic sales contracts, as customers typically bear the cost of transportation from our mine complexes, our operations located further away from the end user of the coal may command lower prices.
- *Regional Supply and Demand.* Our realized price per ton is influenced by market forces of the regional market into which such coal is to be sold. Market pricing may vary according to region and lead to different discounts or premiums to the most directly comparable benchmark price for such coal product.

Costs. Our results of operations are dependent upon our ability to improve productivity and control costs. Our primary expenses are for operating supply costs, repair and maintenance expenditures, cost of purchased coal, royalties, current wages and benefits, freight and handling costs and taxes incurred in selling our coal. Principal goods and services we use in our operations include maintenance and repair parts and services, electricity, fuel, roof control and support items, explosives, tires, conveyance structure, ventilation supplies and lubricants.

In addition, our cost of coal sales includes idle mine costs, which are spread over total sales volume by basin and forecasted by reference to upcoming reclamation obligations and historical cost trends. The following table shows our cost of coal sales and idle mine costs for the successor periods included in this report. We calculate adjusted cost of coal sales as cost of coal sales less idle mine costs.

	Year Ended December 31, 2017 (Actual)	Period from July 26, 2016 to December 31, 2016 (Actual)
	Per Ton	Per Ton
CAPP		
Cost of coal sales	\$ 74.58	\$ 68.68
Idle mine costs	\$ 1.77	\$ 2.08
Adjusted cost of coal sales	\$ 72.81	\$ 66.60
NAPP		
Cost of coal sales	\$ 37.16	\$ 36.97
Idle mine costs	\$ 0.89	\$ 1.60
Adjusted cost of coal sales	\$ 36.27	\$ 35.37

Our management strives to aggressively control costs and improve operating performance to mitigate external cost pressures. We experience volatility in operating costs related to fuel, explosives, steel, tires, contract services and healthcare, among others, and take measures to mitigate the increases in these costs at all operations. We have a centralized sourcing group for major supplier contract negotiation and administration, for the negotiation and purchase of major capital goods, and to support the business units. We promote competition between suppliers and seek to develop relationships with suppliers that focus on lowering our costs. We seek suppliers who identify and concentrate on implementing continuous improvement opportunities within their area of expertise. To the extent upward pressure on costs exceeds our ability to realize sales increases, or if we experience unanticipated operating or transportation difficulties, our operating margins would be negatively impacted. We may also experience difficult geologic conditions, delays in obtaining permits, labor shortages, unforeseen equipment problems, and unexpected shortages of critical materials such as tires, fuel and explosives that may result in adverse cost increases and limit our ability to produce at forecasted levels.

During the year ended December 31, 2017 we had temporary production delays in NAPP resulting from a mid-September roof fall at our Cumberland underground longwall mine in Greene County, Pennsylvania. No injuries occurred as a result of the roof fall and, due to the installation of additional support in the headgate area, we believe the issue has been successfully mitigated. Full production resumed at Cumberland in mid-October. In late-November, the armored face conveyor chain prematurely failed due to adverse face conditions and the chain had to be replaced. Full production resumed at Cumberland in mid-December.

Results of Operations

Our results of operations for the Successor period for the year ended December 31, 2017 and the period from July 26, 2016 to December 31, 2016 and the Predecessor period for the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015 are discussed in these “Results of Operations” presented below. Given the change in basis that resulted from the Acquisition on July 26, 2016, we separately discuss our Successor and Predecessor results of operations and segment results.

Year Ended December 31, 2017 (Successor)

The following tables summarize certain financial information relating to our operating results that have been derived from our consolidated financial statements for the year ended December 31, 2017.

Revenues

<i>(In thousands, except for per ton data)</i>	Successor	
	Year Ended December 31, 2017	% of Total Revenues
Revenues:		
Coal revenues:		
Steam	\$ 286,662	17.4%
Met	1,105,819	67.0%
Freight and handling revenues	247,402	15.0%
Other revenues	10,086	0.6%
Total revenues	\$ 1,649,969	100.0%
Tons sold:		
Steam	6,741	
Met	8,916	
Total	15,657	
Coal sales realization per ton:		
Steam	\$ 42.53	
Met	\$ 124.03	
Average	\$ 88.94	

<i>(In thousands, except for per ton data)</i>	Successor	
	Year Ended December 31, 2017	% of Total Revenues
Coal revenues ⁽¹⁾ :		
CAPP Operations	\$ 458,806	27.8%
NAPP Operations	301,789	18.3%
Trading and Logistics Operations	631,886	38.3%
Total coal revenues	\$ 1,392,481	84.4%
Tons sold:		
CAPP Operations	3,901	
NAPP Operations	6,904	
Trading and Logistics Operations	4,852	
Coal sales realization per ton ⁽¹⁾ :		
CAPP Operations	\$ 117.61	
NAPP Operations	\$ 43.71	
Trading and Logistics Operations	\$ 130.23	
Average	\$ 88.94	

⁽¹⁾ Does not include any portion of the price paid by our export customers to transport coal to the relevant outbound shipping port.

Revenues. Total revenues were \$1,650.0 million for the year ended December 31, 2017 and consisted of coal revenues of 1,392.5 million, freight and handling revenues of \$247.4 million and other revenues of \$10.1 million. Our sales mix of met coal and steam coal based on volume was 56.9% and 43.1%, respectively, and sales mix of met coal and steam coal based on coal revenues was 79.4% and 20.6%, respectively, for the year ended December 31, 2017. CAPP, NAPP and Trading and Logistics Operations' coal revenues comprised 28%, 18% and 38%, respectively, of total revenues for the year ended December 31, 2017. Average coal sales realization per ton was \$88.94.

Costs and Expenses

	Successor Year Ended December 31, 2017	% of Total Revenues
<i>(In thousands, except for per ton data)</i>		
Cost of coal sales (exclusive of items shown separately below)	\$ 1,090,660	66.1 %
Freight and handling costs	247,402	15.0 %
Depreciation, depletion and amortization	34,910	2.1 %
Amortization of acquired intangibles, net	59,007	3.6 %
Selling, general and administrative expenses (exclusive of depreciation, depletion and amortization shown separately above)	67,459	4.1 %
Secondary offering costs	4,491	0.3 %
Total other operating (income) loss:		
Mark-to-market adjustment for acquisition-related obligations	3,221	0.2 %
Gain (loss) on settlement of acquisition-related obligations	(38,886)	(2.4)%
Other expenses	178	— %
Total costs and expenses	1,468,442	89.0 %
Other (expense) income:		
Interest expense	(35,977)	(2.2)%
Interest income	210	— %
Loss on early extinguishment of debt	(38,701)	(2.3)%
Equity loss in affiliates	(3,339)	(0.2)%
Bargain purchase gain	1,011	0.1 %
Miscellaneous income, net	1,025	0.1 %
Total other expense, net	(75,771)	(4.6)%
Income tax benefit	67,979	4.1 %
Net income from continuing operations	\$ 173,735	10.5 %
Cost of coal sales:		
CAPP Operations	\$ 290,954	17.6 %
NAPP Operations	\$ 256,558	15.5 %
Trading and Logistics Operations	\$ 543,148	32.9 %
Tons sold:		
CAPP Operations	3,901	
NAPP Operations	6,904	
Trading and Logistics Operations	4,852	
Cost of coal sales per ton:		
CAPP Operations	\$ 74.58	
NAPP Operations	\$ 37.16	
Trading and Logistics Operations	\$ 111.94	
Coal margin per ton ⁽¹⁾ :		
CAPP Operations	\$ 43.03	
NAPP Operations	\$ 6.55	
Trading and Logistics Operations	\$ 18.29	

⁽¹⁾ Coal margin per ton for our reportable segments is calculated as coal sales realization per ton for our reportable segments less cost of coal sales per ton for our reportable segments. Coal margin per ton is not shown for our All Other category since it has no coal sales or coal production related to our continuing operations.

Cost of coal sales was \$1,090.7 million (including \$0.3 million of expenses related to the dividend), freight and handling costs were \$247.4 million, other expenses were \$0.2 million and depreciation, depletion and amortization was \$34.9 million for the year ended December 31, 2017.

Amortization of acquired intangibles, net was \$59.0 million. During the year ended December 31, 2017, coal supply agreement assets related to the Acquisition were amortized over the actual amount of tons shipped under each contract.

Selling, general and administrative expenses were \$67.5 million for the year ended December 31, 2017, which includes approximately \$4.0 million of non-recurring expenses associated with the formation of the company and costs related to the company's filing of a registration statement with the SEC, \$19.2 million of stock compensation charges (including approximately \$4.8 million of dividend equivalent payments pursuant to the award adjustment provisions of the Contura Energy, Inc. Management Incentive Plan (the "MIP")), and \$7.4 million of charges related to our incentive bonus plans. The selling, general and administrative expenses also include approximately \$1.3 million of professional fees related to the dividend), and approximately \$1.5 million of business development expense.

The mark-to-market loss on acquisition-related obligations of \$3.2 million for the year ended December 31, 2017 consisted of a mark-to-market loss of \$2.5 million related to the Contingent Reclamation Funding Liability and a mark-to-market loss of \$0.7 million related to the Contingent Credit Support Commitment. Our credit-adjusted risk-free rate as of September 30, 2017 decreased relative to the rate used to discount the Contingent Reclamation Funding Liability as of December 31, 2016. The reduction in expected funding of the Contingent Reclamation Funding Liability by us, due to contributions made by ANR, was offset by the change in discount rate resulting in an overall loss of \$2.5 million for the nine months ended September 30, 2017. During the fourth quarter of 2017, the Contingent Reclamation Funding Liability and the Contingent Credit Support Commitment were settled. See Note 14 for additional information.

The gain on settlement of acquisition-related obligations of \$38.9 million for the year ended December 31, 2017 consisted of the UMWA Contingent VEBA Funding Notes 1 and Note 2 settlements as well as the settlements of the Contingent Reclamation Funding Liability and the Contingent Credit Support Commitment. See Note 14 for additional information.

The secondary offering costs of \$4.5 million recorded during the year ended December 31, 2017 related to (i) legal fees for drafting the registration statement and other legal services directly related to the withdrawn offering, (ii) financial reporting advisory fees directly related to the withdrawn offering including preparation of the pro forma financial statements and other financial information included in the registration statement and (iii) and other registration related fees. In the third quarter of 2017, we withdrew our initial public offering of our shares of common stock due to capital market conditions.

Interest expense of \$36.0 million for the year ended December 31, 2017 consisted primarily of the interest on debt instruments, acquisition-related obligations, including discounts, resulting from the Acquisition, and interest expense related to the extinguishment of certain debt instruments, including discounts, associated with the refinancing transaction on March 17, 2017. See Note 13 for further detail on the March 17, 2017 refinancing transaction.

The loss on early extinguishment of debt of \$38.7 million for the year ended December 31, 2017 primarily related to a prepayment premium of \$22.5 million on the 10.00% Senior Secured First Lien Notes and the write-off of outstanding debt discounts of \$13.4 million on the 10.00% Senior Secured First Lien Notes and GUC Distribution Note in connection with the Credit Agreement entered into by the Company on March 17, 2017. See Note 13 for additional information on our debt refinancing.

Income tax benefit of \$68.0 million was recorded for the year ended December 31, 2017 on income from continuing operations before income taxes of \$105.8 million. The income tax rate differs from the federal statutory rate of 35% primarily due to the impact of the percentage depletion allowance and the reduction in the valuation allowance, partially offset by the revaluation of the net deferred tax assets as a result of the enactment of the Tax Cuts and Jobs Act.

Segment Adjusted EBITDA

Segment Adjusted EBITDA for our reportable segments is a financial measure. This non-GAAP financial measure is presented as a supplemental measure and is not intended to replace financial performance measures determined in accordance with GAAP. Moreover, this measure is not calculated identically by all companies and therefore may not be comparable to

similarly titled measures used by other companies. Segment Adjusted EBITDA is presented because management believes it is a useful indicator of the financial performance of our coal operations. The following table presents a reconciliation of net income (loss) to Adjusted EBITDA for the year ended December 31, 2017:

	Successor				
	Year Ended December 31, 2017				
	CAPP	NAPP	Trading and Logistics	All Other	Consolidated
Net income (loss) from continuing operations	\$ 150,304	\$ 36,604	\$ 29,639	\$ (42,812)	\$ 173,735
Interest expense	(90)	(1,505)	—	37,572	35,977
Interest income	(22)	(1)	—	(187)	(210)
Income tax benefit	—	—	—	(67,979)	(67,979)
Depreciation, depletion and amortization	18,941	15,087	—	882	34,910
Mark-to-market adjustment - acquisition-related obligations	—	—	—	3,221	3,221
Gain on settlement of acquisition-related obligations	—	—	—	(38,886)	(38,886)
Secondary offering costs	—	—	—	4,491	4,491
Loss on early extinguishment of debt	—	—	—	38,701	38,701
Bargain purchase gain	—	—	—	(1,011)	(1,011)
Accretion expense	5,770	4,164	—	—	9,934
Amortization of acquired intangibles, net	—	—	59,007	—	59,007
Expenses related to dividend	115	84	—	6,168	6,367
Adjusted EBITDA ⁽¹⁾⁽²⁾	<u>\$ 175,018</u>	<u>\$ 54,433</u>	<u>\$ 88,646</u>	<u>\$ (59,840)</u>	<u>\$ 258,257</u>

⁽¹⁾ Our Adjusted EBITDA calculation has been modified to add back accretion expense, a non-cash expense, to align with industry peer group methodology.

⁽²⁾ Pursuant to the PRB divestiture and classification as a discontinued operation, we are no longer presenting a PRB reporting segment. The former PRB reporting segment had adjusted EBITDA of \$41,863 for the year ended December 31, 2017.

CAPP Coal Operations. Adjusted EBITDA was \$175.0 million for the year ended December 31, 2017, driven by coal margin per ton of \$43.03, coal sales realization per ton of \$117.61 and cost of coal sales per ton of \$74.58.

NAPP Coal Operations. Adjusted EBITDA was \$54.4 million for the year ended December 31, 2017, driven by coal margin per ton of \$6.55, coal sales realization per ton of \$43.71 and cost of coal sales per ton of \$37.16.

Trading and Logistics Operations. Adjusted EBITDA was \$88.6 million for the year ended December 31, 2017, driven by coal margin per ton of \$18.29, coal sales realization per ton of \$130.23 and cost of coal sales per ton of \$111.94.

All Other category. Adjusted EBITDA was (\$59.8) million for the year ended December 31, 2017, which includes approximately \$4.0 million of non-recurring expenses associated with the formation of the company and costs related to the company's filing of a registration statement with the SEC, \$19.2 million of non-cash stock compensation charges, \$7.4 million of charges related to our incentive bonus plans, and approximately \$1.5 million of business development expense.

Period from July 26, 2016 to December 31, 2016 (Successor)

The following tables summarize certain financial information relating to our operating results that have been derived from our consolidated financial statements for the period from July 26, 2016 to December 31, 2016. Also included is certain information relating to the operating results as a percentage of total revenues.

Revenues

<i>(In thousands, except for per ton data)</i>	Successor	
	Period from July 26, 2016 to December 31, 2016	% of Total Revenues
Revenues:		
Coal revenues:		
Steam	\$ 119,189	23.6%
Met	312,503	61.7%
Freight and handling revenues	70,544	13.9%
Other revenues	4,060	0.8%
Total revenues	<u>\$ 506,296</u>	<u>100.0%</u>
Tons sold:		
Steam	2,739	
Met	3,068	
Total	<u>5,807</u>	
Coal sales realization per ton:		
Steam	43.52	
Met	101.86	
Average	74.34	

<i>(In thousands, except for per ton data)</i>	Successor	
	Period from July 26, 2016 to December 31, 2016	% of Total Revenues
Coal revenues ⁽¹⁾ :		
CAPP Operations	\$ 137,981	27.3%
NAPP Operations	129,961	25.7%
Trading and Logistics Operations	163,750	32.3%
Total coal revenues	<u>\$ 431,692</u>	<u>85.3%</u>
Tons sold:		
CAPP Operations	1,388	
NAPP Operations	2,888	
Trading and Logistics Operations	1,531	
Coal sales realization per ton ⁽¹⁾ :		
CAPP Operations	99.41	
NAPP Operations	45.00	
Trading and Logistics Operations	106.96	
Average	74.34	

⁽¹⁾ Does not include any portion of the price paid by our export customers to transport coal to the relevant outbound shipping port.

Total revenues were \$506.3 million for the period from July 26, 2016 to December 31, 2016 and consisted of coal revenues of \$431.7 million, freight and handling revenues of \$70.5 million and other revenues of \$4.1 million. Our sales mix of met coal and steam coal based on volume was 52.8% and 47.2%, respectively, and our sales mix of met coal and steam coal based on coal revenues was 72.4% and 27.6%, respectively, for the period from July 26, 2016 to December 31, 2016. Average coal sales realization per ton was \$74.34. CAPP, NAPP, and Trading and Logistics Operations' coal revenues comprised 27%, 26%, and 32%, respectively, of total revenues for the period from July 26, 2016 to December 31, 2016.

Costs and Expenses

<i>(In thousands, except for per ton data)</i>	Successor	
	Period from July 26, 2016 to December 31, 2016	% of Total Revenues
Cost of coal sales (exclusive of items shown separately below)	\$ 324,961	64.2 %
Freight and handling costs	70,544	13.9 %
Depreciation, depletion and amortization	5,973	1.2 %
Amortization of acquired intangibles, net	61,281	12.1 %
Selling, general and administrative expenses (exclusive of depreciation, depletion and amortization shown separately above)	19,135	3.8 %
Mark-to-market adjustment for acquisition-related obligations	(10,616)	(2.1)%
Total costs and expenses	471,278	93.1 %
Other (expense) income:		
Interest expense	(20,496)	(4.0)%
Interest income	23	— %
Equity loss in affiliates	(2,287)	(0.5)%
Mark-to-market adjustment for warrant derivative liability	(33,975)	(6.7)%
Bargain purchase gain	7,719	1.5 %
Miscellaneous income, net	232	— %
Total other expense, net	(48,784)	(9.6)%
Income tax benefit	1,920	0.4 %
Net loss from continuing operations	\$ (11,846)	(2.3)%
Cost of coal sales:		
CAPP Operations	95,328	18.8 %
NAPP Operations	106,781	21.1 %
Trading and Logistics Operations	122,667	24.2 %
Tons sold:		
CAPP Operations	1,388	
NAPP Operations	2,888	
Trading and Logistics Operations	1,531	
Cost of coal sales per ton ⁽¹⁾ :		
CAPP Operations	68.68	
NAPP Operations	36.97	
Trading and Logistics Operations	80.12	
Coal margin per ton ⁽²⁾ :		
CAPP Operations	30.73	
NAPP Operations	8.03	
Trading and Logistics Operations	26.84	

⁽¹⁾ Cost of coal sales per ton exclude costs associated with our All Other category.

⁽²⁾ Coal margin per ton for our reportable segments is calculated as coal sales realization per ton for our reportable segments less cost of coal sales per ton for our reportable segments. Coal margin per ton is not shown for our All Other category since it has no coal sales or coal production related to our continuing operations.

Cost of coal sales was \$325.0 million, freight and handling costs were \$70.5 million, depreciation, depletion and amortization was \$6.0 million, amortization of acquired intangibles, net was \$61.3 million and selling, general and administrative expenses were \$19.1 million for the period from July 26, 2016 to December 31, 2016.

The mark-to-market gain on acquisition-related obligations of \$10.6 million for the period from July 26, 2016 to December 31, 2016 consisted of a mark-to-market gain of \$17.4 million related to the Contingent Credit Support Commitment and a mark-to-market loss of \$6.8 million related to the Contingent Reclamation Funding Liability.

The change in fair value of the Contingent Credit Support Commitment resulted from a reduction in our estimated obligation to provide ANR with revolving credit support. The fair value calculation was based on a probability-weighted scenario analysis. The inputs to this analysis included ANR's projected short-term cash flows, which were derived from the ANR financial statements and operating budget provided pursuant to the terms of the agreement. The cash position of ANR at December 31, 2016 increased relative to the projections used at the Acquisition Date resulting in a gain of \$17.4 million in the estimated fair value of this obligation. Based on relevant factors including ANR's current cash balance, near-term estimated met coal prices, the September 30, 2018 termination date to loan funds, and the provision that loans can only be requested if ANR's unrestricted cash is below \$20.0 million, we adjusted the liability down to \$4.6 million for this obligation. Absent a significant change in ANR's cash position and related projections, we do not expect the obligation to change significantly.

Due to the increase in met coal prices and the corresponding improvement to our financial results, our credit-adjusted risk-free rate as of December 31, 2016 decreased relative to the rate used to discount the Contingent Reclamation Funding Liability at the Acquisition Date. The reduction in the credit-adjusted risk-free rate used to discount the projected obligation was the primary driver of the loss of \$6.8 million. Due to the long-term nature of this obligation and the uncertainty of ANR's operational results over the life of the obligation, we maintained the expectations utilized at the Acquisition Date related to ANR's expected long-term contributions to the Restricted Cash Reclamation Accounts.

Interest expense of \$20.5 million for the period from July 26, 2016 to December 31, 2016 consisted of the accrued interest on debt instruments and acquisition-related obligations, including discounts, resulting from the Acquisition.

The mark-to-market loss on the warrant derivative liability of \$34.0 million for the period from July 26, 2016 to December 31, 2016 related to the warrants issued in connection with the Acquisition and was calculated using the Black-Scholes pricing model. The warrants are marked to market at each reporting period with changes in value reflected in earnings. The inputs included in the Black-Scholes pricing model include our stock price, the stated exercise price, the expected term, the annual risk-free interest rate based on the U.S. Constant Maturity Curve and annualized equity volatility. The annualized volatility was calculated by observing volatilities for comparable companies with adjustments for our size and leverage. The annualized volatility as of December 31, 2016 decreased relative to the annualized volatility used as of the Acquisition Date due to the significant improvement in our leverage ratio. However, our stock price as of December 31, 2016 was also significantly higher than our stock price at the Acquisition Date and was the primary driver of the mark-to-market loss of \$34.0 million recognized for the warrant derivative liability.

The bargain purchase gain of \$7.7 million for the period from July 26, 2016 to December 31, 2016 resulted from the excess of the fair value of the acquired assets over liabilities assumed through the Acquisition.

Income tax benefit of \$1.9 million was recorded for the period from July 26, 2016 to December 31, 2016 on loss from continuing operations before income taxes of \$13.8 million. The income tax rate differs from the federal statutory rate of 35% primarily due to the impact of the non-deductible mark-to-market adjustment for the warrant derivative liability, partially offset by the impact of the percentage depletion allowance and the reduction in the valuation allowance.

Segment Adjusted EBITDA

Segment Adjusted EBITDA for our reportable segments is a non-GAAP financial measure. This non-GAAP financial measure is presented as a supplemental measure and is not intended to replace financial performance measures determined in accordance with GAAP. Moreover, this measure is not calculated identically by all companies and therefore may not be comparable to similarly titled measures used by other companies. Segment Adjusted EBITDA is presented because management believes it is a useful indicator of the financial performance of our coal operations. The following table presents a reconciliation of net income (loss) to Adjusted EBITDA for the period from July 26, 2016 to December 31, 2016:

	Successor				
	Period from July 26, 2016 to December 31, 2016				
	CAPP	NAPP	Trading and Logistics	All Other	Combined
Net income (loss) from continuing operations	\$ 37,436	\$ 26,434	\$ (22,053)	\$ (53,663)	\$ (11,846)
Interest expense	97	171	—	20,228	20,496
Interest income	(6)	—	—	(17)	(23)
Income tax benefit	—	—	—	(1,920)	(1,920)
Depreciation, depletion and amortization	6,442	(772)	—	303	5,973
Mark-to-market adjustment for warrant derivative liability	—	—	—	33,975	33,975
Bargain purchase gain	—	—	—	(7,719)	(7,719)
Mark-to-market adjustment - acquisition-related obligations	—	—	—	(10,616)	(10,616)
Accretion expense	2,436	2,365	—	—	4,801
Amortization of acquired intangibles, net	—	—	61,281	—	61,281
Adjusted EBITDA ⁽¹⁾⁽²⁾	<u>\$ 46,405</u>	<u>\$ 28,198</u>	<u>\$ 39,228</u>	<u>\$ (19,429)</u>	<u>\$ 94,402</u>

⁽¹⁾ Our Adjusted EBITDA calculation has been modified to add back accretion expense, a non-cash expense, to align with industry peer group methodology.

⁽²⁾ Pursuant to the PRB divestiture and classification as a discontinued operation, we are no longer presenting a PRB reporting segment. The former PRB reporting segment had adjusted EBITDA of \$45,786 for the period from July 26, 2016 to December 31, 2016.

CAPP Coal Operations. Adjusted EBITDA was \$46.4 million for the period from July 26, 2016 to December 31, 2016, driven by coal margin per ton of \$30.73, coal sales realization per ton of \$99.41 and cost of coal sales per ton of \$68.68.

NAPP Coal Operations. Adjusted EBITDA was \$28.2 million for the period from July 26, 2016 to December 31, 2016, driven by coal margin per ton of \$8.03, coal sales realization per ton of \$45.00 and cost of coal sales per ton of \$36.97.

Trading and Logistics Operations. Adjusted EBITDA was \$39.2 million for the period from July 26, 2016 to December 31, 2016, driven by coal margin per ton of \$26.84, coal sales realization per ton of \$106.96 and cost of coal sales per ton of \$80.12.

All Other category. Adjusted EBITDA was (\$19.4) million for the period from July 26, 2016 to December 31, 2016, primarily driven by wages and benefits expense of \$7.4 million, professional fees of \$4.0 million, incentive pay of \$3.2 million, stock compensation expense of \$1.3 million and rent, and utilities and property costs of \$0.6 million.

Period from January 1, 2016 to July 25, 2016 (Predecessor)

The following tables summarize certain financial information relating to our operating results that have been derived from our combined financial statements for the period from January 1, 2016 to July 25, 2016. Also included is certain information relating to the operating results as a percentage of total revenues.

Revenues

<i>(In thousands, except for per ton data)</i>	Predecessor	
	Period from January 1, 2016 to July 25, 2016	% of Total Revenues
Revenues:		
Coal revenues:		
Steam	\$ 197,135	48.0%
Met	147,557	35.9%
Freight and handling revenues	52,076	12.7%
Other revenues	14,343	3.4%
Total revenues	<u>\$ 411,111</u>	<u>100.0%</u>
Tons sold:		
Steam	4,424	
Met	2,576	
Total	<u>7,000</u>	
Coal sales realization per ton:		
Steam	\$ 44.56	
Met	\$ 57.28	
Average	\$ 49.24	

<i>(In thousands, except for per ton data)</i>	Predecessor	
	Period from January 1, 2016 to July 25, 2016	% of Total Revenues
Coal revenues ⁽¹⁾ :		
CAPP Operations	\$ 131,640	32.0%
NAPP Operations	204,473	49.7%
Trading and Logistics Operations	8,579	2.1%
Total coal revenues	<u>\$ 344,692</u>	<u>83.8%</u>
Tons sold:		
CAPP Operations	2,189	
NAPP Operations	4,654	
Trading and Logistics Operations	157	
Coal sales realization per ton ⁽¹⁾ :		
CAPP Operations	\$ 60.14	
NAPP Operations	\$ 43.93	
Trading and Logistics Operations	\$ 54.64	
Average	\$ 49.24	

⁽¹⁾ Does not include any portion of the price paid by our export customers to transport coal to the relevant outbound shipping port.

Total revenues were \$411.1 million for the period from January 1, 2016 to July 25, 2016 and consisted of coal revenues of \$344.7 million, freight and handling revenues of \$52.1 million and other revenues of \$14.3 million. Our sales mix of met coal and steam coal based on volume was 36.8% and 63.2%, respectively, and our sales mix of met coal and steam coal based on coal revenues was 42.8% and 57.2%, respectively, for the period from January 1, 2016 to July 25, 2016. Average coal sales

realization per ton was \$49.24. CAPP, NAPP and Trading and Logistics Operations' coal revenues comprised 32%, 50% and 2%, respectively, of total revenues for the period from January 1, 2016 to July 25, 2016.

Costs and Expenses

<i>(In thousands, except for per ton data)</i>	Predecessor	% of Total Revenues
	Period from January 1, 2016 to July 25, 2016	
Cost of coal sales (exclusive of items shown separately below)	\$ 324,732	79.0 %
Freight and handling costs	52,076	12.7 %
Depreciation, depletion and amortization	66,076	16.1 %
Amortization of acquired intangibles, net	11,567	2.8 %
Selling, general and administrative expenses (exclusive of depreciation, depletion and amortization shown separately above)	29,568	7.2 %
Asset impairment and restructuring	3,096	0.8 %
Other expenses	2,184	0.5 %
Total costs and expenses	489,299	119.0 %
Other (expense) income:		
Interest expense	(2)	— %
Interest income	19	— %
Equity loss in affiliates	(2,735)	(0.7)%
Miscellaneous income, net	473	0.1 %
Total other expense, net	(2,245)	(0.5)%
Reorganization items, net	(20,989)	(5.1)%
Income tax benefit	39,881	9.7 %
Net loss from continuing operations	\$ (61,541)	(15.0)%
Cost of coal sales:		
CAPP Operations	\$ 135,126	32.9 %
NAPP Operations	\$ 181,911	44.2 %
Trading and Logistics Operations	\$ 7,695	1.9 %
Tons sold:		
CAPP Operations	2,189	
NAPP Operations	4,654	
Trading and Logistics Operations	157	
Cost of coal sales per ton ⁽¹⁾ :		
CAPP Operations	\$ 61.73	
NAPP Operations	\$ 39.09	
Trading and Logistics Operations	\$ 49.01	
Coal margin per ton ⁽²⁾ :		
CAPP Operations	\$ (1.59)	
NAPP Operations	\$ 4.84	
Trading and Logistics Operations	\$ 5.63	

⁽¹⁾ Cost of coal sales per ton exclude costs associated with our All Other category.

- (2) Coal margin per ton for our reportable segments is calculated as coal sales realization per ton for our reportable segments less cost of coal sales per ton for our reportable segments. Coal margin per ton is not shown for our All Other category since it has no coal sales or coal production related to our continuing operations.

Cost of coal sales was \$324.7 million, freight and handling costs were \$52.1 million, other expenses were \$2.2 million, depreciation, depletion and amortization was \$66.1 million, amortization of acquired intangibles, net was \$11.6 million and selling, general and administrative expenses were \$29.6 million for the period from January 1, 2016 to July 25, 2016.

Asset impairment and restructuring expenses of \$3.1 million for the period from January 1, 2016 to July 25, 2016 consisted of \$2.1 million of losses related to non-core property divestitures and \$1.0 million related to severance expenses and other restructuring-related charges.

Reorganization items, net of \$21.0 million for the period from January 1, 2016 to July 25, 2016 primarily consisted of realized gains and losses from the settlement of pre-petition liabilities, professional fees, and provisions for losses resulting from Alpha's Restructuring.

Income tax benefit of \$39.9 million was recorded for the period from January 1, 2016 to July 25, 2016 on a loss from continuing operations before income taxes of \$101.4 million. The income tax rate differs from the federal statutory rate of 35% primarily due to the impact of the percentage depletion allowance and state income taxes, net of federal tax impact, partially offset by the impact of the non-deductible transaction costs.

Segment Adjusted EBITDA

Segment Adjusted EBITDA for our reportable segments is a non-GAAP financial measure. This non-GAAP financial measure is presented as a supplemental measure and is not intended to replace financial performance measures determined in accordance with GAAP. Moreover, this measure is not calculated identically by all companies and therefore may not be comparable to similarly titled measures used by other companies. Segment Adjusted EBITDA is presented because management believes it is a useful indicator of the financial performance of our coal operations. The following table presents a reconciliation of net (loss) income to Adjusted EBITDA for the period from January 1, 2016 to July 25, 2016:

	Predecessor				
	Period from January 1, 2016 to July 25, 2016				
	CAPP	NAPP	Trading and Logistics	All Other	Combined
Net (loss) income from continuing operations	\$ (26,407)	\$ (43,143)	\$ (1,452)	\$ 9,461	\$ (61,541)
Interest expense	2	—	—	—	2
Interest income	(9)	(10)	—	—	(19)
Income tax benefit	—	—	—	(39,881)	(39,881)
Depreciation, depletion and amortization	15,389	49,852	3	832	66,076
Reorganization items, net	8,196	12,528	248	17	20,989
Asset impairment and restructuring	1,667	1,408	21	—	3,096
Accretion expense	1,753	3,252	—	—	5,005
Amortization of acquired intangibles, net	—	11,567	—	—	11,567
Adjusted EBITDA ⁽¹⁾⁽²⁾	\$ 591	\$ 35,454	\$ (1,180)	\$ (29,571)	\$ 5,294

⁽¹⁾ Our Adjusted EBITDA calculation has been modified to add back accretion expense, a non-cash expense, to align with industry peer group methodology.

⁽²⁾ Pursuant to the PRB divestiture and classification as a discontinued operation, we are no longer presenting a PRB reporting segment. The former PRB reporting segment had adjusted EBITDA of \$36,819 for the period from January 1, 2016 to July 25, 2016.

CAPP Coal Operations. Adjusted EBITDA was \$0.6 million for the period from January 1, 2016 to July 25, 2016, driven by coal margin loss per ton of \$1.59, coal sales realization per ton of \$60.14 and cost of coal sales per ton of \$61.73.

NAPP Coal Operations. Adjusted EBITDA was \$35.5 million for the period from January 1, 2016 to July 25, 2016, driven by coal margin per ton of \$4.84, coal sales realization per ton of \$43.93 and cost of coal sales per ton of \$39.09.

Trading and Logistics Operations. Adjusted EBITDA was (\$1.2) million for the period from January 1, 2016 to July 25, 2016, driven by coal margin per ton of \$5.63, coal sales realization per ton of \$54.64 and cost of coal sales per ton of \$49.01.

All Other category. Adjusted EBITDA was (\$29.6) million for the period from January 1, 2016 to July 25, 2016, primarily driven by wages and benefits expense of \$8.9 million, incentive pay of \$8.1 million, professional fees of \$5.8 million, rent, utilities and property costs of \$5.0 million and stock compensation expense of \$0.5 million.

Year Ended December 31, 2015 (Predecessor)

The following tables summarize certain financial information relating to our operating results for the year ended December 31, 2015.

Revenues

<i>(In thousands, except for per ton data)</i>	Predecessor	
	Year Ended December 31, 2015	% of Total Revenues
Revenues:		
Coal revenues:		
Steam	\$ 434,360	46.9%
Met	381,650	41.2%
Freight and handling revenues	97,237	10.5%
Other revenues	12,774	1.4%
Total revenues	\$ 926,021	100.0%
Tons sold:		
Steam	8,238	
Met	5,501	
Total	13,739	
Coal sales realization per ton:		
Steam	\$ 52.73	
Met	\$ 69.38	
Average	\$ 59.39	

<i>(In thousands, except for per ton data)</i>	Predecessor	
	Year Ended December 31, 2015	% of Total Revenues
Coal revenues ⁽¹⁾ :		
CAPP Operations	\$ 298,810	32.3%
NAPP Operations	468,178	50.6%
Trading and Logistics Operations	49,022	5.3%
Total coal revenues	\$ 816,010	88.2%
Tons sold:		
CAPP Operations	4,099	
NAPP Operations	8,953	
Trading and Logistics Operations	687	
Coal sales realization per ton ⁽¹⁾ :		
CAPP Operations	\$ 72.90	
NAPP Operations	\$ 52.29	
Trading and Logistics Operations	\$ 71.36	
Average	\$ 59.39	

- ⁽¹⁾ Does not include any portion of the price paid by our export customers to transport coal to the relevant outbound shipping port.

Total revenues were \$926.0 million for the twelve months ended December 31, 2015 and consisted of coal revenues of \$816.0 million, freight and handling revenues of \$97.2 million, and other revenues of \$12.8 million. Our sales mix of met coal and steam coal based on volume was 40.0% and 60.0%, respectively, and our sales mix of met coal and steam coal based on coal revenues was 46.8% and 53.2%, respectively, for the twelve months ended December 31, 2015. Average coal sales realization per ton was \$59.39. CAPP, NAPP and Trading and Logistics Operations' coal revenues comprised 32%, 51%, and 5%, respectively, of total revenues for the year ended December 31, 2017.

Costs and Expenses

<i>(In thousands, except for per ton data)</i>	Predecessor	
	Year Ended December 31, 2015	% of Total Revenues
Cost of coal sales (exclusive of items shown separately below)	\$ 730,812	78.9 %
Freight and handling costs	97,237	10.5 %
Depreciation, depletion and amortization	149,197	16.1 %
Amortization of acquired intangibles, net	2,223	0.2 %
Selling, general and administrative expenses (exclusive of depreciation, depletion and amortization shown separately above)	44,158	4.8 %
Asset impairment and restructuring	297,425	32.1 %
Other expenses	(99)	— %
Total costs and expenses	1,320,953	142.6 %
Other (expense) income:		
Interest expense	(28)	— %
Interest income	4	— %
Equity loss in affiliates	(7,712)	(0.8)%
Miscellaneous income, net	(85)	— %
Total other expense, net	(7,821)	(0.8)%
Reorganization items, net	(10,085)	(1.1)%

Income tax benefit		155,052	16.7 %
Net loss from continuing operations	\$	(257,786)	(27.8)%
Cost of coal sales:			
CAPP Operations	\$	302,323	32.6 %
NAPP Operations	\$	384,848	41.6 %
Trading and Logistics Operations	\$	43,641	4.7 %
Tons sold:			
CAPP Operations		4,099	
NAPP Operations		8,953	
Trading and Logistics Operations		687	
Cost of coal sales per ton ⁽¹⁾ :			
CAPP Operations	\$	73.76	
NAPP Operations	\$	42.99	
Trading and Logistics Operations	\$	63.52	
Coal margin per ton ⁽²⁾ :			
CAPP Operations	\$	(0.86)	
NAPP Operations	\$	9.30	
Trading and Logistics Operations	\$	7.84	

⁽¹⁾ Cost of coal sales per ton exclude costs associated with our All Other category.

⁽²⁾ Coal margin per ton for our reportable segments is calculated as coal sales realization per ton for our reportable segments less cost of coal sales per ton for our reportable segments. Coal margin per ton is not shown for our All Other category since it has no coal sales or coal production related to our continuing operations.

Cost of coal sales was \$730.8 million, freight and handling costs were \$97.2 million, other expenses were (\$0.1) million, depreciation, depletion and amortization was \$149.2 million for the twelve months ended December 31, 2015.

Amortization of acquired intangibles, net was \$2.2 million and selling, general and administrative expenses were \$44.2 million for the twelve months ended December 31, 2015.

Asset impairment and restructuring expenses were \$297.4 million for the twelve months ended December 31, 2015 and consisted of impairment charges of \$296.2 million and severance related expenses of \$1.2 million and consisted primarily of severance and related benefits, professional fees for consulting, and reserves for other assets that may not be recoverable. See Critical Accounting Policies and Note 10.

Reorganization items, net were (\$10.1) million for the twelve months ended December 31, 2015 due to Alpha's bankruptcy filing in August 2015. Refer to Note 22 for disclosures related to reorganization items.

Income tax benefit of \$155.1 million was recorded for the twelve months ended December 31, 2015 on a loss before income taxes of \$412.8 million. The income tax rate differs from the federal statutory rate of 35% primarily due to the impact of the percentage depletion allowance and state income taxes, net of federal tax impact.

Segment Adjusted EBITDA

Segment Adjusted EBITDA for our reportable segments is a non-GAAP financial measure. This non-GAAP financial measure is presented as a supplemental measure and is not intended to replace financial performance measures determined in accordance with GAAP. Moreover, this measure is not calculated identically by all companies and therefore may not be comparable to similarly titled measures used by other companies. Segment Adjusted EBITDA is presented because management believes it is a useful indicator of the financial performance of our coal operations. The following table presents a reconciliation of net (loss) income to Adjusted EBITDA for the year ended December 31, 2015:

	Predecessor				
	Year Ended December 31, 2015				
	CAPP	NAPP	Trading and Logistics	All Other	Combined
Net (loss) income from continuing operations	\$ (118,543)	\$ (249,090)	\$ 795	\$ 109,052	\$ (257,786)
Interest expense	28	—	—	—	28
Interest income	(3)	(1)	—	—	(4)
Income tax benefit	—	—	—	(155,052)	(155,052)
Depreciation, depletion and amortization	42,869	104,479	13	1,836	149,197
Reorganization items, net	3,438	6,306	336	5	10,085
Impairments	72,012	224,139	3	—	296,154
Restructuring	1,573	(420)	118	—	1,271
Accretion expense	3,005	2,691	—	—	5,696
Mark-to-market adjustment for other derivatives	(2,635)	(446)	—	—	(3,081)
Amortization of acquired intangibles, net	350	1,873	—	—	2,223
Adjusted EBITDA ⁽¹⁾⁽²⁾	<u>\$ 2,094</u>	<u>\$ 89,531</u>	<u>\$ 1,265</u>	<u>\$ (44,159)</u>	<u>\$ 48,731</u>

⁽¹⁾ Our Adjusted EBITDA calculation has been modified to add back accretion expense, a non-cash expense, to align with industry peer group methodology.

⁽²⁾ Pursuant to the PRB divestiture and classification as a discontinued operation, we are no longer presenting a PRB reporting segment. The former PRB reporting segment had adjusted EBITDA of \$67,272 for the year ended December 31, 2015.

CAPP Coal Operations. Adjusted EBITDA was \$2.1 million for the twelve months ended December 31, 2015, driven by coal margin loss per ton of \$0.86, coal sales realization per ton of \$72.90 and cost of coal sales per ton of \$73.76.

NAPP Coal Operations. Adjusted EBITDA was \$89.5 million for the twelve months ended December 31, 2015, driven by coal margin per ton of \$9.30, coal sales realization per ton of \$52.29 and cost of coal sales per ton of \$42.99.

Trading and Logistics Operations. Adjusted EBITDA was \$1.3 million for the twelve months ended December 31, 2015, driven by coal margin per ton of \$7.84, coal sales realization per ton of \$71.36 and cost of coal sales per ton of \$63.52.

All Other category. Adjusted EBITDA was \$44.2 million for the twelve months ended December 31, 2015.

Liquidity and Capital Resources

Our primary liquidity and capital resource requirements stem from the cost of our coal production and purchases, our capital expenditures, our debt service, our reclamation obligations, our regulatory costs and settlements and associated costs. Our primary sources of liquidity are derived from sales of coal, our debt financing and miscellaneous revenues.

We believe that cash on hand and cash generated from our operations will be sufficient to meet our working capital requirements, anticipated capital expenditures, debt service requirements, acquisition-related obligations, and reclamation obligations for the next 12 months. We have relied on a number of assumptions in budgeting for our future activities. These include the costs for mine development to sustain capacity of our operating mines, our cash flows from operations, effects of regulation and taxes by governmental agencies, mining technology improvements and reclamation costs. These assumptions are inherently subject to significant business, political, economic, regulatory, environmental and competitive uncertainties, contingencies and risks, all of which are difficult to predict and many of which are beyond our control. We may need to raise additional funds more quickly if market conditions deteriorate; or one or more of our assumptions proves to be incorrect or if

we choose to expand our acquisition, exploration, appraisal, or development efforts or any other activity more rapidly than we presently anticipate. We may decide to raise additional funds before we need them if the conditions for raising capital are favorable. We may seek to sell equity or debt securities or obtain additional bank credit facilities. The sale of equity securities could result in dilution to our stockholders. The incurrence of additional indebtedness could result in increased fixed obligations and additional covenants that could restrict our operations.

At December 31, 2017, we had total liquidity of \$255.6 million, including cash and cash equivalents of \$141.9 million and \$113.7 million unused commitments available under the Asset-Based Revolving Credit Facility, subject to limitations described therein. On March 17, 2017, we entered into a \$400.0 million Term Loan Credit Facility with a maturity date of March 17, 2024. On April 3, 2017, we entered into a \$125.0 million Asset-Based Revolving Credit Agreement expiring on April 4, 2022. We entered into the First Amendment to the Asset-Based Revolving Credit Agreement on June 9, 2017 and the First Amendment to Term Loan Credit Agreement on June 13, 2017. The amendment, among other things, permitted an aggregate amount of \$150.0 million of cash to be used for the (i) payment of a one-time cash dividend on common stock no later than July 28, 2017, and (ii) repurchase of common stock at any time no later than December 31, 2017, subject to certain terms and conditions.

To secure our obligations under certain workers' compensation and reclamation-related bonds, we are required to provide cash collateral. At December 31, 2017, we had cash collateral in the amounts of \$52.0 million and \$15.2 million classified as short-term and long-term restricted cash and short-term and long-term deposits, respectively, on our balance sheet. Once the permits associated with the PRB transaction have been transferred, we estimate approximately \$24.0 million, comprised of short-term restricted cash and short-term deposits, will be returned to operating cash. The permit transfer process is estimated to be completed in the first half of 2018. If the permit transfer process is not completed as expected, it could have material, adverse effects on us.

On June 16, 2017, we declared a Special Dividend comprised of approximately \$92.8 million payable to eligible holders of record of common stock as of the close of business on July 5, 2017, the record date and pursuant to the terms of the Company's management incentive plan, dividend equivalent payments in the amount of approximately \$7.9 million in the aggregate (including the amounts payable with respect to each share underlying outstanding stock option awards and restricted stock unit awards and outstanding restricted common stock under the MIP) were paid to plan participants. The \$92.8 million portion of the dividend was paid on July 12, 2017 and the dividend equivalent payments were made on July 11, 2017. Pursuant to terms of the debt amendments, we made an offer to all Term Loan Credit Facility lenders to repay the loans at par concurrently with the payment of the Special Dividend, in an aggregate principal amount equal to \$10.0 million. All the Term Loan Facility lenders accepted the offer, and we repaid \$10.0 million on July 13, 2017.

On September 15, 2017, we repurchased 309,310 shares of common stock issued pursuant to awards under the MIP for a total purchase amount of \$17.4 million, or \$56.40 per share. On September 26, 2017, we announced the commencement of a modified "Dutch Auction" tender offer to repurchase up to \$31.8 million of common stock. On December 21, 2017, we repurchased an aggregate of 530,000 shares of common stock at a purchase price of \$60.00 per share. The total repurchase price of \$32.6 million (comprised of \$31.8 million of share repurchases and \$0.8 million of related fees) was recorded as treasury stock in the Consolidated Balance Sheet. Upon completion of the tender offer, provisions within our Term Loan Credit Facility and Asset-Based Revolving Credit Agreement limited our future repurchases of our common stock.

During the fourth quarter of 2017, we entered into an asset purchase agreement to sell a disposal group (comprised of property, plant and equipment and associated asset retirement obligations) at a preparation plant within our Central Appalachia Operations segment. As of December 31, 2017, assets and liabilities held for sale in the amounts of \$0.2 million and \$27.2 million, respectively, represent the fair value of the disposal group. The transaction is estimated to close during the first half of 2018. At the transaction close date, we will pay \$10 million and will provide a series of additional cash payments in the aggregate amount of \$1.5 million, per the terms stated in the agreement.

Cash Flows

Cash and cash equivalents increased by \$14.0 million, increased by \$127.9 million, decreased by \$0.2 million, and increased by \$0.2 million over the year ended December 31, 2017, the period from July 26, 2016 to December 31, 2016, the period from January 1, 2016 to July 25, 2016, and the year ended December 31, 2015, respectively. The net change in cash and cash equivalents was attributable to the following:

	Successor		Predecessor	
	Year Ended December 31, 2017	Period from July 26, 2016 to September 30, 2016	Period from January 1, 2016 to July 25, 2016	Year Ended December 31, 2015
<i>Cash flows (in thousands):</i>				
Net cash provided by operating activities	\$ 305,565	\$ 70,918	\$ 60,690	\$ 150,862
Net cash (used in) provided by investing activities	(121,307)	15,552	(25,029)	(97,034)
Net cash (used in) provided by financing activities	(170,282)	41,478	(35,822)	(53,585)
Net increase (decrease) in cash and cash equivalents	\$ 13,976	\$ 127,948	\$ (161)	\$ 243

Operating Activities

Net cash flows from operating activities consist of net income (loss) adjusted for non-cash items, such as depreciation, depletion and amortization, amortization of acquired intangibles, net, accretion of acquisition-related obligations discount, mark-to-market adjustments for warrants derivative liability and acquisition related obligations, equity loss in affiliates, accretion of asset retirement obligations, employee benefit plans, deferred income taxes, non-cash loss on extinguishment of debt, non-cash loss on disposals, asset impairment and restructuring charges, and changes in net working capital.

Net cash provided by operating activities for the year ended December 31, 2017 was \$305.6 million and was primarily attributable to net income of \$154.5 million adjusted for depreciation, depletion and amortization of \$65.0 million, amortization of acquired intangibles, net of \$59.0 million, accretion of asset retirement obligations of \$21.3 million, a loss on early extinguishment of debt of \$13.7 million, stock-based compensation of \$20.4 million, and a loss on the sale of PRB of \$36.1 million, partially offset by a \$38.9 million gain on settlement of acquisition-related obligations and deferred income taxes of \$78.7 million. The change in our operating assets and liabilities of \$26.1 million was primarily attributed to increases in trade accounts payable of \$31.1 million, decreases in trade accounts receivable of \$34.8 million, decreases in other non-current assets of \$24.5 million, and decreases in deposits of \$38.4 million, partially offset by increases in prepaid expenses and other current assets of \$40.4 million, decreases in acquisition-related obligations of \$22.8 million, and decreases in other non-current liabilities of \$16.5 million.

Net cash provided by operating activities for the period from July 26, 2016 to December 31, 2016 was \$70.9 million and was primarily attributed to net loss of \$10.9 million adjusted for depreciation, depletion and amortization of \$44.0 million, amortization of acquired intangibles, net of \$61.3 million, and mark-to-market adjustment for warrants derivative liability of \$34.0 million. The change in our operating assets and liabilities of \$62.1 million was primarily attributed to increases in trade accounts receivable of \$114.2 million and increases in inventories, net of \$32.0 million partially offset by increases in trade accounts payable of \$59.2 million and increases in accrued expenses and other current liabilities of \$51.1 million.

Net cash provided by operating activities for the period from January 1, 2016 to July 25, 2016 was \$60.7 million and was primarily attributed to net loss of \$67.2 million adjusted for depreciation, depletion and amortization of \$85.4 million, amortization of acquired intangibles, net of \$11.6 million, and deferred income taxes of \$34.9 million. The change in our operating assets and liabilities of \$30.3 million was primarily attributed to decreases in trade accounts receivable of \$42.8 million and decreases in inventories, net of \$16.7 million partially offset by increases in long-term restricted cash of \$16.3 million.

Net cash provided by operating activities for the year ended December 31, 2015 was \$150.9 million and was primarily attributed to net loss of \$417.6 million adjusted for depreciation, depletion and amortization of \$202.1 million, deferred income taxes of \$250.7 million and asset impairment and restructuring of \$558.7 million. The decrease in our operating assets and liabilities of \$13.3 million was primarily attributed to decreases in trade accounts receivable of \$41.4 million, offset by

decreases in accrued expenses and other current liabilities of \$31.8 million and decreases in other non-current liabilities of \$16.3 million.

Investing Activities

Net cash used in investing activities for the year ended December 31, 2017 was \$121.3 million, driven by the purchase of additional ownership interest in equity affiliate of \$13.3 million, capital expenditures of \$83.1 million, capital contributions to equity affiliates of \$5.7 million, and cash paid on sale of PRB of \$21.4 million, partially offset by proceeds from sale of property, plant and equipment of \$2.6 million.

Net cash provided by investing activities for the period from July 26, 2016 to December 31, 2016 was \$15.6 million. The cash provided by investing activities for the period from July 26, 2016 to December 31, 2016 primarily included cash acquired in the Acquisition of \$51.0 million offset by capital expenditures of \$34.5 million, and capital contributions to equity affiliates of \$2.7 million.

Net cash used in investing activities for the period from January 1, 2016 to July 25, 2016 was \$25.0 million, driven by capital expenditures of \$23.4 million and capital contributions to equity affiliates of \$2.1 million, partially offset by proceeds from the sale of property, plant and equipment.

Net cash used in investing activities for the year ended December 31, 2015 was \$97.0 million, primarily driven by capital expenditures of \$59.5 million and acquisition of mineral rights under federal lease of \$42.1 million, partially offset by proceeds from the sale of property, plant and equipment of \$10.5 million.

Financing Activities

Net cash used in financing activities for the year ended December 31, 2017 was \$170.3 million, primarily attributable to principal repayments of debt of \$369.5 million, dividend payments of \$100.7 million, debt extinguishment costs of \$25.0 million, debt issuance costs of \$14.4 million, and common stock repurchases and related expenses of \$49.9 million. These amounts were partially offset by proceeds from borrowings on debt of \$396.0 million.

Net cash provided by financing activities for the period from July 26, 2016 to December 31, 2016 was \$41.5 million. The cash provided by financing activities for the period from July 26, 2016 to December 31, 2016 primarily included \$42.5 million of proceeds from borrowings on debt.

Net cash used in financing activities for the period from January 1, 2016 to July 25, 2016 and the year ended December 31, 2015 was \$35.8 million and \$53.6 million, respectively, and was primarily attributable to transfers to Alpha.

The major components of cash flows related to our discontinued operations are as follows:

	Successor		Predecessor	
	Year Ended December 31, 2017	Period from July 26, 2016 to December 31, 2016	Period from January 1, 2016 to July 25, 2016	Year Ended December 31, 2015
Depreciation, depletion and amortization	\$ 30,090	\$ 38,005	\$ 19,303	\$ 52,918
Capital expenditures	\$ (10,420)	\$ (11,123)	\$ (8,071)	\$ (14,839)
Acquisition of mineral rights under federal lease	\$ —	\$ —	\$ —	\$ (42,130)
Other significant operating non-cash items related to discontinued operations:				
Mark-to-market adjustments for derivatives	\$ —	\$ —	\$ —	\$ 4,683
Accretion of asset retirement obligations	\$ 11,341	\$ 6,019	\$ 7,400	\$ 12,202
Asset impairment and restructuring	\$ —	\$ —	\$ 659	\$ 261,274

Long-Term Debt

See Note 13 for disclosures on long-term debt.

Analysis of Material Debt Covenants

We were in compliance with all covenants under the Term Loan Credit Facility, as amended, and the Asset-Based Revolving Credit Agreement, as amended, as of December 31, 2017. A breach of the covenants in the Term Loan Credit Facility, as amended, and the Asset-Based Revolving Credit Agreement, as amended, could result in a default under the terms of the agreement and the respective lenders could elect to declare all amounts borrowed due and payable.

Pursuant to the Asset-Based Revolving Credit Agreement, as amended, during any Liquidity Period (capitalized terms as defined in the Asset-Based Revolving Credit Agreement, as amended), our Fixed Charge Coverage Ratio cannot be less than 1.00 to 1.00 as of the last day of any Test Period, commencing with the Test Period ended immediately preceding the commencement of such Liquidity Period. The Fixed Charge Coverage Ratio is calculated as (a) Consolidated EBITDA of the Company and its Restricted Subsidiaries for such period, minus nonfinanced Capital Expenditures (including Capital Expenditures financed with the proceeds of any Loans) paid or payable currently in cash by the Company or any of its Subsidiaries for such period to (b) the Fixed Charges of the Company and its Restricted Subsidiaries during such period. As of December 31, 2017, we were not in a Liquidity Period.

In the event that there shall be Excess Cash Flow for any fiscal year, pursuant to the Term Loan Credit Facility, as amended, we will, no later than 130 days after the end of such fiscal year, prepay the Term Loan Credit Facility, as amended, based on the Total Leverage Ratio as follows:

Total Leverage Ratio ⁽¹⁾	Prepayment Amount ⁽²⁾
Equal to or greater than 2.50	75% of Excess Cash Flow
Less than 2.50 and greater than or equal to 1.25	50% of Excess Cash Flow
Less than 1.25	25% of Excess Cash Flow

⁽¹⁾ Total Leverage Ratio is calculated as the ratio of (i) Consolidated Net Total Debt on such date to (ii) Consolidated EBITDA (capitalized terms as defined in the Term Loan Credit Facility, as amended) for the period of the four consecutive fiscal quarters ending as of the date of the financial statements most recently delivered.

⁽²⁾ % of Excess Cash Flow is reduced by voluntary repayments of the Term Loan Credit Facility, as amended, as defined within the Term Loan Credit Facility, as amended.

Excess Cash Flow is calculated in accordance with our Term Loan Credit Facility Credit Agreement, as amended, and is equal to (i) the sum, without duplication, of Consolidated Net Income, the amount of all non-cash charges, the amount of the decrease, if any, in Consolidated Working Capital and the amount of non-cash losses on the disposition of property to the extent deducted in arriving at Consolidated Net Income minus (ii) the sum, without duplication, of the amount of all non-cash credits included in arriving at Consolidated Net Income, certain capital expenditures, certain amounts of regularly schedule principal payments of Indebtedness made in cash, the amount of the increase, if any, in Consolidated Working Capital and the aggregate amount of non-cash gains on the disposition of property to the extent included in arriving at Consolidated Net Income.

Consolidated Net Income is calculated in accordance with our Term Loan Credit Facility, as amended, and is equal to the net income determined in accordance with GAAP, excluding, without duplication, noncash compensation expenses related to common stock and other equity securities issued to employees, extraordinary and non-recurring gains and loss, income or losses from discontinued operations, any non-cash impairment charges or asset write-offs resulting from the application of certain ASC standards, net unrealized gains or losses resulting from non-cash foreign currency remeasurement gains or losses, net unrealized gains or losses results in such period from certain derivatives, non-cash charges including non-cash charges due to cumulative effects of changes in accounting principles, any net income or loss of any person that is not a restricted subsidiary or that is accounted for by equity method accounting except to the extent the dividends or similar distributions are paid in cash to the specified person or restricted subsidiary, the net income (but not loss) of any restricted subsidiary to the extent that the declaration or payment of dividends or similar distributions by that restricted subsidiary of that net income is not at the date of determination permitted without any prior governmental approval (that has not been obtained) or, directly or indirectly, by operation of the terms of its charter or any agreement, instrument, judgment, decree, order, statute, rule or governmental regulation applicable to that restricted subsidiary or its stockholders (other than any restriction that has been waived or released), plus, without duplication, any cash dividends and/or distributions actually received by the Company or restricted subsidiary from any restricted subsidiary and/or Joint venture to the extent not already included therein.

Additionally, under the Term Loan Credit Facility, as amended, our ability to engage in activities such as incurring additional indebtedness, making investments and paying dividends is also tied to certain financial ratios, including Consolidated EBITDA as defined per the Term Loan Credit Facility. Consolidated EBITDA is defined as EBITDA further adjusted to exclude certain non-cash items, non-recurring items, and other adjustments permitted in calculating covenant

compliance under the Term Loan Credit Facility. EBITDA, a measure used by management to evaluate our ongoing operations for internal planning and forecasting purposes, is defined as net income (loss) from operations plus interest expense, income tax expense, amortization of acquired intangibles, net and depreciation, depletion and amortization, less interest income and income tax benefit. EBITDA is not a financial measure recognized under United States generally accepted accounting principles and does not purport to be an alternative to net income as a measure of operating performance or to cash flows from operating activities as a measure of liquidity. The amounts shown for EBITDA as presented may differ from amounts calculated and may not be comparable to other similarly titled measures used by other companies.

Consolidated EBITDA is calculated in accordance with our Term Loan Credit Facility, as amended, and is equal to Consolidated Net Income plus, without duplication (i) consolidated interest expense; (ii) to the extent deducted in computing such Consolidated Net Income, the sum of all income, franchise or similar taxes; (iii) depreciation, depletion, amortization (including, without limitation, amortization of intangibles, deferred financing fees and any amortization included in pension or other employee benefit expenses) and all other non-cash items reducing Consolidated Net Income (including, without limitation, write-downs and impairment of property, plant, equipment and intangibles and other long-lived assets and the impact of acquisition accounting) but excluding, in each case, non-cash charges in a period which reflect cash expenses paid or to be paid in another period; (iv) non-recurring restructuring costs, expenses and charges, including, without limitation, all business optimization costs and expenses, facility opening, pre-opening and closing and consolidation costs and expenses, advisory and professional fees and stay and retention bonuses; *provided* that the amount of non-recurring restructuring costs, expenses and charges permitted to be added back pursuant to this clause (iv) for a four-quarter period shall not exceed 20% of Consolidated EBITDA for such period (calculated before giving effect to such add-back); (v) any expenses, costs or charges related to any equity offering, Investment permitted, acquisition, disposition, recapitalization or Indebtedness permitted to be incurred by the indenture (whether or not successful); (vi) all non-recurring or unusual losses, charges and expenses (and less all non-recurring or unusual gains); (vii) all non-cash charges and expenses; (viii) any debt extinguishment costs; (ix) any amount of asset retirement obligations expenses; (x) all Transaction Costs incurred in connection with the Transactions contemplated hereby; (xi) transaction costs, fees and expenses incurred during such period in connection with any acquisition or disposition not prohibited hereunder or any issuance of debt or equity securities by the Borrower or any of its Restricted Subsidiaries, in each case, for such expenses; and (xii) commissions, premiums, discounts, fees or other charges relating to performance bonds, bid bonds, appeal bonds, surety bonds, reclamation and completion guarantees and other similar obligations; *provided* that, with respect to any Restricted Subsidiary, such items will be added only to the extent and in the same proportion that the relevant Restricted Subsidiary's net income was included in calculating Consolidated Net Income.

The calculation of Consolidated EBITDA is based on our results of operations in accordance with the Term Loan Credit Facility, as amended, and therefore, is different from Adjusted EBITDA presented elsewhere in this report. The calculation of Consolidated EBITDA for purposes of the Excess Cash Flow calculation is performed at the end of each fiscal year (commencing with the fiscal year ending December 31, 2017 for the portion of such fiscal year occurring after the Closing Date). For the fiscal year ending December 31, 2017, we had Excess Cash Flow as calculated per terms of the Term Loan Credit Facility, as amended, and we will therefore prepay \$3.3 million of our Term Loan Credit Facility outstanding principal balance no later than 130 days after the end of the December 31, 2017 fiscal year.

Acquisition-Related Obligations

On October 23, 2017, Alpha completed a transaction with Lexington Coal Company ("LCC"), which included the transfer by Alpha to LCC of certain idle and non-active assets and other real and personal properties located in Kentucky, Tennessee and West Virginia. As a result of that transaction, we eliminated approximately \$29.7 million of our acquisition-related obligations, primarily related to the Contingent Reclamation Funding Liability and Contingent Credit Support Commitment. We recorded a gain related to this extinguishment, which is classified as other operating income in the Consolidated Statement of Operations during the quarter ending December 31, 2017. See Note 14 for additional details and disclosures on acquisition-related obligations.

Off-Balance Sheet Arrangements

In the normal course of business, we are a party to certain off-balance sheet arrangements. These arrangements include guarantees, operating leases, indemnifications and financial instruments with off-balance sheet risk, such as bank letters of credit and performance or surety bonds. Obligations related to these arrangements are not reflected in our Consolidated Balance Sheet. However, the underlying liabilities that they secure, such as asset retirement obligations, workers' compensation liabilities, and royalty obligations, are reflected in our Consolidated Balance Sheet.

We are required to provide financial assurance in order to perform the post-mining reclamation required by our mining permits, pay our federal production royalties, pay workers' compensation claims under workers' compensation laws in various

states, pay federal black lung benefits, and perform certain other obligations. In order to provide the required financial assurance, we generally use surety bonds for post-mining reclamation and workers' compensation obligations. We can also use bank letters of credit to collateralize certain obligations.

As of December 31, 2017, we had outstanding surety bonds with a total face amount of \$403.4 million to secure various obligations and commitments, including \$237.4 million related to the PRB. To secure our obligations under these bonds, we had cash collateral in the amounts of \$52.0 million and \$15.2 million classified as short-term and long-term restricted cash and short-term and long-term deposits, respectively, on our balance sheet as of December 31, 2017. Once the permits associated with the PRB Transaction have been transferred, the Company estimates approximately \$24.0 million comprised of short-term restricted cash and short-term deposits will be returned to operating cash. The permit transfer process is estimated to be completed in the first half of 2018.

As of December 31, 2017, we had real property collateralizing \$26.7 million of reclamation bonds.

We meet frequently with our surety providers and have discussions with certain providers regarding the extent of and the terms of their participation in the program. These discussions may cause us to shift surety bonds between providers or to alter the terms of their participation in our program. To the extent that surety bonds become unavailable or our surety bond providers require additional collateral, we would seek to secure our obligations with letters of credit, cash deposits or other suitable forms of collateral. Our failure to maintain, or inability to acquire, surety bonds or to provide a suitable alternative would have a material adverse effect on our liquidity. These failures could result from a variety of factors including lack of availability, higher cost or unfavorable market terms of new surety bonds, and the exercise by third-party surety bond issuers of their right to refuse to renew the surety.

Other

As a regular part of our business, we review opportunities for, and engage in discussions and negotiations concerning, the acquisition or disposition of coal mining and related infrastructure assets and interests in coal mining companies, and acquisitions or dispositions of, or combinations or other strategic transactions involving companies with coal mining or other energy assets. When we believe that these opportunities are consistent with our strategic plans and our acquisition or disposition criteria, we will make bids or proposals and/or enter into letters of intent and other similar agreements. These bids or proposals, which may be binding or non-binding, are customarily subject to a variety of conditions and usually permit us to terminate the discussions and any related agreement if, among other things, we are not satisfied with the results of due diligence. Any acquisition opportunities we pursue could materially affect our liquidity and capital resources and may require us to incur indebtedness, seek equity capital or both. There can be no assurance that additional financing will be available on terms acceptable to us, or at all.

Contractual Obligations

The following is a summary of our significant contractual obligations as of December 31, 2017:

(in thousands)	2018	2019	2020	2021	2022	After 2022	Total
Long-term debt ⁽¹⁾	\$ 7,323	\$ 4,000	\$ 4,000	\$ 4,000	\$ 4,000	\$ 363,677	\$ 387,000
Other debt ⁽²⁾	3,407	308	33	20	—	—	3,768
Acquisition-related obligations ⁽³⁾	14,500	14,500	15,000	2,000	—	—	46,000
Equipment purchase commitments	22,983	—	—	—	—	—	22,983
Transportation commitments	3,042	3,072	3,102	—	—	—	9,216
Operating leases	893	783	747	737	182	326	3,668
Minimum royalties	1,304	1,131	1,054	1,064	647	859	6,059
Coal purchase commitments	311,424	13,612	2,329	—	—	—	327,365
Other ⁽⁴⁾	4,682	—	—	—	—	—	4,682
Total	\$ 369,558	\$ 37,406	\$ 26,265	\$ 7,821	\$ 4,829	\$ 364,862	\$ 810,741

⁽¹⁾ Long-term debt includes principal amounts due in the years shown. Cash interest payable on this obligation, with an interest rate of 6.63%, would be approximately \$25,768 in 2018, \$25,420 in 2019, \$25,220 in 2020, \$24,882 in 2021, \$24,614 in 2022, and \$29,445 after 2022.

- ⁽²⁾ Includes capital lease obligation principal amounts of \$225 in 2018, \$148 in 2019, \$33 in 2020, and \$20 in 2021. Cash interest payable on these obligations with interest rates ranging between 5.20% and 9.50%, would be approximately \$34 in 2018, \$12 in 2019, and \$2 in 2020. Other debt includes principal amounts of \$3,182 in 2018 and \$160 in 2019. Cash interest payable on these obligations, with an interest rate of 4.49%, would be approximately \$61 in 2018.
- ⁽³⁾ Certain guarantees are excluded from the table above, for which the timing of payments are not estimable. See Note 14 for further disclosures related to these guarantees.
- ⁽⁴⁾ Includes personal property and real estate taxes principle of \$2,722 assumed pursuant to the bankruptcy settlement and maintenance and repair contracts of \$1,960 based on service performed under the respective contracts.

Additionally, we have long-term liabilities relating to asset retirement obligations, black lung benefits, life insurance benefits, and workers' compensation benefits. The table below reflects the estimated undiscounted cash flows for these obligations:

<i>(in thousands)</i>	2018	2019	2020	2021	2022	After 2022	Total
Asset retirement obligation	\$ 7,801	\$ 5,899	\$ 12,893	\$ 11,476	\$ 10,726	\$ 209,919	\$ 258,714
Black lung benefit obligation	202	13	13	13	103	46,768	47,112
Life insurance benefit obligation	834	750	698	685	676	17,506	21,149
Workers' compensation benefit obligation	5,674	3,280	2,228	1,734	1,393	7,959	22,268
Total	<u>\$ 14,511</u>	<u>\$ 9,942</u>	<u>\$ 15,832</u>	<u>\$ 13,908</u>	<u>\$ 12,898</u>	<u>\$ 282,152</u>	<u>\$ 349,243</u>

We expect to spend between \$64 million and \$74 million on capital expenditures during 2018.

Critical Accounting Policies and Estimates

The preparation of financial statements in accordance with GAAP requires management to make estimates and assumptions that affect reported amounts of assets, liabilities, revenues and expenses, and related disclosure of contingent assets and liabilities. We base our estimates on historical experience and on various other factors and assumptions, including the current economic environment that we believe are reasonable under the circumstances, the results of which form the basis for making judgments about the carrying values of assets and liabilities that are not readily apparent from other sources. We evaluate our estimates and assumptions on an ongoing basis and adjust such estimates and assumptions as facts and circumstances require. Foreign currency and energy markets, and fluctuations in demand for steel products have combined to increase the uncertainty inherent in such estimates and assumptions. As future events and their effects cannot be determined with precision, actual results may differ significantly from these estimates. Changes in these estimates resulting from continuing changes in the economic environment will be reflected in the financial statements in future periods.

Business Combinations. We account for our business combinations under the acquisition method of accounting. The total cost of acquisitions is allocated to the underlying identifiable net tangible and intangible assets based on their respective estimated fair values. Determining the fair value of assets acquired and liabilities assumed requires management's judgment, the utilization of independent valuation experts and often involves the use of significant estimates and assumptions with respect to the timing and amounts of future cash inflows and outflows, discount rates, market prices and asset lives, among other items.

Reclamation. Our asset retirement obligations arise from the federal Surface Mining Control and Reclamation Act of 1977 and similar state statutes, which require that mine property be restored in accordance with specified standards and an approved reclamation plan. Significant reclamation activities include reclaiming refuse and slurry ponds, reclaiming the pit and support acreage at surface mines, sealing portals at deep mines and the treatment of water. We determine the future cash flows necessary to satisfy our reclamation obligations on a permit-by-permit basis based upon current permit requirements and various estimates and assumptions, including estimates of disturbed acreage, cost estimates, and assumptions regarding productivity. We are also faced with increasingly stringent environmental regulation, much of which is beyond our control, which could increase our costs and materially increase our asset retirement obligations. Estimates of disturbed acreage are determined based on approved mining plans and related engineering data. Cost estimates are based upon third-party costs. Productivity assumptions are based on historical experience with the equipment that is expected to be utilized in the reclamation activities. Our asset retirement obligations are initially recorded at fair value. In order to determine fair value, we use assumptions including a discount rate and third-party margin. Each is discussed further below:

- **Discount Rate.** Asset retirement obligations are initially recorded at fair value. We utilize discounted cash flow techniques to estimate the fair value of our obligations. We base our discount rate on the rates of treasury bonds with

maturities similar to expected mine lives and adjust for our credit standing as necessary after considering funding and assurance provisions. Changes in our credit standing could have a material impact on our asset retirement obligations.

- *Third-Party Margin.* The measurement of an obligation at fair value is based upon the amount a third-party would demand to perform the obligation. Because we plan to perform a significant amount of the reclamation activities with internal resources, a third-party margin was added to the estimated costs of these activities. This margin was estimated based upon our historical experience with contractors performing similar types of reclamation activities. The inclusion of this margin will result in a recorded obligation that is greater than our estimates of our cost to perform the reclamation activities. If our cost estimates are accurate, the excess of the recorded obligation over the cost incurred to perform the work will be recorded as a gain at the time that reclamation work is completed.

On at least an annual basis, we review our reclamation liabilities and make necessary adjustments for permit changes as granted by state authorities, additional costs resulting from accelerated mine closures, and revisions to cost estimates and productivity assumptions, to reflect current experience and updated plans. At December 31, 2017, we had recorded asset retirement obligation liabilities of \$59.2 million, including amounts reported as current, and \$27.2 million asset retirement obligations liabilities classified as held for sale (see Note 2 for further detail on liabilities held for sale). While the precise amount of these future costs cannot be determined with certainty, as of December 31, 2017, we estimate that the aggregate undiscounted cost of final mine closures is approximately \$258.7 million.

Coal Reserves. There are numerous uncertainties inherent in estimating quantities of economically recoverable coal reserves, many of which are beyond our control. As a result, estimates of economically recoverable coal reserves are by their nature uncertain. Information about our reserves consists of estimates based on engineering, economic and geological data assembled by our internal engineers and geologists. Some of the factors and assumptions that impact economically recoverable reserve estimates include:

- geological conditions;
- historical production from the area compared with production from other producing areas;
- the assumed effects of regulations and taxes by governmental agencies;
- assumptions governing future prices;
- current mine plans; and
- future operating costs.

Each of these factors may vary considerably from the assumptions used in estimating reserves. For these reasons, estimates of the economically recoverable quantities of coal attributable to a particular group of properties, and classifications of these reserves based on risk of recovery and estimates of future net cash flows, may vary substantially. Actual production, revenues and expenditures with respect to reserves will likely vary from estimates, and these variances may be material. Variances could affect our projected future revenues and expenditures, as well as the valuation of coal reserves. At December 31, 2017, we had 742.7 million tons of proven and probable coal reserves, of which 189.8 million tons were assigned to our active operations and 552.9 million tons were unassigned.

Workers' Compensation. Individuals who sustain personal injuries due to job-related accidents may be compensated for their disabilities, medical costs, and on some occasions, for the costs of their rehabilitation, and the survivors of workers who suffer fatal injuries may receive compensation for lost financial support. The workers' compensation laws are administered by state agencies with each state having its own set of rules and regulations regarding compensation that is owed to an employee who is injured in the course of employment. Our obligations are partially covered through high-deductible third-party insurance policies. We accrue for any liability by recognizing costs when it is probable that a covered liability has been incurred and the cost can be reasonably estimated. Our estimates of these costs are adjusted based upon actuarial studies. Actual losses may differ from these estimates, which could increase or decrease our costs. At December 31, 2017, we had workers' compensation obligations of \$29.2 million with an offsetting expected insurance receivable of \$6.0 million.

Coal Workers' Pneumoconiosis. We are required by federal and state statutes to provide benefits to employees for awards related to coal workers' pneumoconiosis disease (black lung). Our subsidiaries are insured for black lung obligations by a third-party insurance provider using high-deductible plans. Provisions are made for estimated benefits based on annual evaluations

prepared by independent actuaries. As of December 31, 2017, we had estimated black lung obligations of approximately \$18.2 million.

Life Insurance Benefits. As part of the Alpha Restructuring and the Retiree Committee Agreement, we assumed the liability for life insurance benefits for certain disabled and non-union retired employees. Provisions are made for estimated benefits based on annual evaluations prepared by independent actuaries. As of December 31, 2017, we had estimated life insurance benefit obligations of approximately \$12.6 million.

Warrant Derivative Liability. We issued Series A Warrants on July 26, 2016 and classified the warrants as a derivative liability for the period from July 26, 2016 to December 31, 2016 as they possessed an underlying amount (stock price), a notional amount (number of shares), required no initial net investment, and allowed for net share settlement. The warrants were fair-valued using a Black-Scholes pricing model and marked to market with changes in value reflected in earnings. Pursuant to the retrospective adoption of ASU 2017-11, our warrants are no longer classified as a derivative liability as of January 1, 2017. See Note 18 for disclosures related to Warrants.

Income Taxes. We recognize deferred tax assets and liabilities using enacted tax rates for the effect of temporary differences between the book and tax bases of recorded assets and liabilities. Deferred tax assets are reduced by a valuation allowance if it is more likely than not that some portion or all of the deferred tax assets will not be realized. In evaluating our ability to recover our deferred tax assets within the jurisdiction in which they arise, we consider all available positive and negative evidence, including the expected reversals of deferred tax liabilities, projected future taxable income, taxable income available via carryback to prior years, tax planning strategies, and results of recent operations. We assess the realizability of our deferred tax assets, including scheduling the reversal of our deferred tax assets and liabilities, to determine the amount of valuation allowance needed. Scheduling the reversal of deferred tax asset and liability balances requires judgment and estimation. We believe the deferred tax liabilities relied upon as future taxable income in our assessment will reverse in the same period and jurisdiction and are of the same character as the temporary differences giving rise to the deferred tax assets that will be realized. Due to our formation through the acquisition of the core coal assets of Alpha as part of the Alpha Restructuring, a lack of history of operating results, and ownership change limitations applicable to net operating loss and other carryforwards, a full valuation allowance is currently recorded against the net deferred tax assets, excluding the alternative minimum tax credit carryforwards ("AMT Credits"), of ours.

Asset Impairment. U.S. GAAP requires that a long-lived asset group that is held and used should be reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of the long-lived asset group might not be recoverable. Testing long-lived assets for impairment after indicators of impairment have been identified is a two-step process. Step one compares the net undiscounted cash flows of an asset group to its carrying value. If the carrying value of an asset group exceeds the net undiscounted cash flows of that asset group, step two is performed whereby the fair value of the asset group is estimated and compared to its carrying amount. The amount of impairment, if any, is equal to the excess of the carrying value of an asset group over its estimated fair value. The amount of impairment, if any, is allocated to the long-lived assets on a pro-rata basis, except that the carrying value of the individual long-lived assets are not reduced below their estimated fair value. Long-lived assets located in a close geographic area are grouped together for purposes of impairment testing when, after considering revenue and cost interdependencies, circumstances indicate the assets are used together to produce future cash flows. Our asset groups generally consist of the assets and applicable liabilities of one or more mines and preparation plants and associated coal reserves for which cash flows are largely independent of cash flows of other mines, preparation plants and associated reserves.

Acquisition-Related Obligations. We entered into various settlement agreements with Alpha and/or the Alpha bankruptcy successor ANR and third parties as part of the Alpha Restructuring. We assumed acquisition-related obligations through those settlement agreements which became effective on July 26, 2016, the effective date of Alpha's plan of reorganization. These acquisition-related obligations include financial instruments which were fair valued on a recurring basis until their settlement in the fourth quarter of 2017. Observable transactions were not available to aid in determining the fair value. Therefore, the fair value was derived by using the expected present value approach in which estimated cash flows were discounted using a risk-free interest rate adjusted for market risk. See Note 14 and Note 17 for disclosures related to acquisition-related obligations.

New Accounting Pronouncements. See Note 2 for disclosures related to new accounting policies adopted.

Quantitative and Qualitative Disclosures about Market Risk

Commodity Price Risk

We manage our commodity price risk for coal sales through the use of coal supply agreements. As of March 20, 2018, we had sales commitments for approximately 7.2 million tons of NAPP coal for 2018, all of which is priced, and 2.7 million tons of CAPP coal for 2018, 42% of which is priced.

We have exposure to price risk for supplies that are used directly or indirectly in the normal course of production such as diesel fuel, steel and other items such as explosives. We manage our risk for these items through strategic sourcing contracts in normal quantities with our suppliers and may use derivative instruments in the future from time to time, primarily swap contracts with financial institutions, for a certain percentage of our monthly requirements. Swap agreements would essentially fix the price paid for our diesel fuel by requiring us to pay a fixed price and receive a floating price.

We expect to use approximately 5.9 million gallons of diesel fuel in both 2018 and 2019.

Credit Risk

Our credit risk is primarily with electric power generators and steel producers. Our policy is to independently evaluate each customer's creditworthiness prior to entering into transactions and to monitor outstanding accounts receivable against established credit limits. When appropriate (as determined by our credit management function), we have taken steps to reduce our credit exposure to customers that do not meet our credit standards or whose credit has deteriorated. These steps include obtaining letters of credit or cash collateral, obtaining credit insurance, requiring prepayments for shipments or establishing customer trust accounts held for our benefit in the event of a failure to pay.

Interest Rate Risk

We have exposure to changes in interest rates through our Asset-Based Revolving Credit Agreement, which bears interest based on the character of the loan (defined as either "Base Rate Loan" or "Eurocurrency Rate Loan") plus an applicable rate ranging from 1.00% to 1.50% for Base Rate Loans and 2.00% to 2.50% for Eurocurrency Rate Loans, depending on the amount of credit available. As of December 31, 2017, the Company had no borrowings under the Asset-Based Term Loan Credit Agreement.

We also have exposure to changes in interest rates through our Term Loan Credit Facility, which bears an interest rate per annum based on the character of the loan (defined as either "Base Rate Loan" or "Eurocurrency Rate Loan") plus an applicable rate of 4.00% to 5.00% depending on loan type (the "Applicable Rate"), payable bi-monthly in arrears. As of December 31, 2017, a 50 basis point increase or decrease in interest rates would increase or decrease our annual interest expense by approximately \$1.8 million.

Controls and Procedures

As we are a private company, we are not required to implement, maintain and evaluate, on a formal basis, internal control over either disclosures or financial reporting. However, our management team continues to develop processes designed to ensure that information disclosed by us is appropriately recorded, processed, summarized and issued. Even when fully completed, there are inherent limitations to the effectiveness of any system of controls and procedures, including the possibility of human error and the circumvention or overriding of the controls and procedures. Accordingly, even effective controls and procedures can only provide reasonable assurance of achieving their control objectives.

In addition, we have established a Code of Business Ethics designed to provide a statement of the values and ethical standards to which we require our employees and directors to adhere. The Code of Business Ethics provides the framework for maintaining the highest possible standards of professional conduct. We also maintain a process allowing employees, vendors and others to report anonymously violations of the Code of Ethics or other matters.

Reconciliation of EBITDA to Audited Operating and Cash Flow Statements as of December 31, 2017

The information below is provided solely to comply with Section 20(A) of the Series A warrants to acquire common stock of Contura Energy, Inc. (the “Company”) dated July 26, 2016 and with Section 10(a)(ii) of the registration rights agreement, dated July 26, 2016, as amended, by and among the Company and certain holders of its common stock party thereto. This information is not part of the Company’s Consolidated Financial Statements and Report as of December 31, 2017 and is unaudited.

Warrants Agreement
Section 20 - Annual Statements and Appraisals, Item (A), a calculation of EBITDA with a reconciliation to the audited operating and cash flow statements
(Dollars in thousands)

	Year Ended December 31, 2017		Year Ended December 31, 2017
Revenues:		EBITDA	\$ 229,032
Coal revenues	\$ 1,392,481	Interest expense	(36,392)
Freight and handling revenues	247,402	Interest income	229
Other revenues	10,086	Income tax benefit	85,660
Total revenues	1,649,969	Depreciation, depletion and amortization	(65,000)
Costs and expenses:		Amortization of acquired intangibles, net	(59,007)
Cost of coal sales (exclusive of items shown separately below)	1,090,660	Operating activities:	
Freight and handling costs	247,402	Net income	154,522
Depreciation, depletion and amortization	34,910	Adjustments to reconcile net income to net cash provided by operating activities:	
Amortization of acquired intangibles, net	59,007	Depreciation, depletion and amortization	65,000
Selling, general and administrative expenses (exclusive of depreciation, depletion and amortization shown separately above)	67,459	Amortization of acquired intangibles, net	59,007
Secondary offering costs	4,491	Accretion of acquisition-related obligations discount	7,531
Total other operating (income) loss:		Mark-to-market adjustment for acquisition-related obligations	3,221
Mark-to-market adjustment for acquisition-related obligations	3,221	Gain on settlement of acquisition-related obligations	(38,886)
Gain on settlement of acquisition-related obligations	(38,886)	Bargain purchase gain	(1,011)
Other expenses	178	Equity loss in affiliates	3,325
Total costs and expenses	1,468,442	Accretion of asset retirement obligations	21,275
Income from operations	181,527	Employee benefit plans, net	11,739
Other income (expense):		Deferred income taxes	(78,744)
Interest expense	(35,977)	Loss on sale of Powder River Basin	36,086
Interest income	210	Loss on early extinguishment of debt	13,665
Loss on early extinguishment of debt	(38,701)	Stock-based compensation	20,372
Equity loss in affiliates	(3,339)	Other, net	2,314
Bargain purchase gain	1,011	Changes in operating assets and liabilities:	
Miscellaneous income, net	1,025	Trade accounts receivable, net	34,840
Total other expense, net	(75,771)	Inventories, net	441
Income from continuing operations before income taxes	105,756	Prepaid expenses and other current assets	(40,425)
Income tax benefit	67,979	Restricted cash	(8,695)
Net income from continuing operations	173,735	Deposits	38,447
Discontinued operations:		Other non-current assets	24,498
Loss from discontinued operations	(36,894)	Trade accounts payable	31,138
Income tax benefit from discontinued operations	17,681	Accrued expenses and other current liabilities	(12,207)
Loss from discontinued operations	(19,213)	Acquisition-related obligations	(22,800)
Net income	154,522	Asset retirement obligations	(2,567)
Interest expense	36,392	Other non-current liabilities	(16,521)
Interest income	(229)	Net cash provided by operating activities	305,565
Income tax benefit	(85,660)	Investing activities:	
Depreciation, depletion and amortization	65,000	Capital expenditures	(83,121)
Amortization of acquired intangibles, net	59,007	Proceeds from sale of property, plant and equipment	2,579
EBITDA	\$ 229,032	Capital contributions to equity affiliates	(5,691)
		Purchase of additional ownership interest in equity affiliate	(13,293)
		Cash paid on sale of Powder River Basin	(21,375)
		Other, net	(406)
		Net cash used in investing activities	(121,307)
		Financing activities:	
		Proceeds from borrowings on long-term debt	396,000
		Principal repayments of debt	(369,500)
		Principal repayments of capital lease obligations	(1,009)
		Debt issuance costs	(14,385)
		Debt extinguishment costs	(25,036)
		Common stock repurchases and related expenses	(49,932)
		Debt amendment costs	(4,520)
		Proceeds from exercise of warrants	352
		Dividend paid	(100,735)
		Principal repayments of notes payable	(1,517)
		Net cash used in financing activities	(170,282)
		Net increase in cash and cash equivalents	13,976
		Cash and cash equivalents at beginning of period	127,948
		Cash and cash equivalents at end of period	\$ 141,924